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What's News

Business & Finance

◆ **Mark Zuckerberg** has been personally and intensely involved in the recruitment of researchers and engineers to beef up Meta Platforms' artificial-intelligence-development efforts. **B1**

◆ **Dine Brands**, the company behind Applebee's and IHOP, plans to use AI in its restaurants and back office to streamline operations and encourage repeat customers. **B3**

◆ **"How to Train Your Dragon"** led the domestic box office for the second straight weekend, having accumulated receipts of \$160.5 million since its release. **B2**

◆ **Bank of New York Mellon** approached Northern Trust to express interest in merging with its smaller rival in what would be a heavyweight deal for the financial-services industry. **B3**

◆ **News Corp's board** extended CEO Robert Thomson's contract through June 2030, keeping him at the helm during a period in which AI's rapid development is reshaping the industry. **B3**

◆ **Tesla rolled out** its long-awaited robotaxi service in Austin, Texas, opening the electric-vehicle maker to the growing autonomous ride-hailing market. **B5**

◆ **ARB Interactive**, the company behind online Modo Casino, emerged as the winning bidder in a recent bankruptcy auction for the assets of Publishers Clearing House. **B5**

◆ **Ordinary investors** appear to be souring on big tech commitments as they await fresh figures this week on consumer confidence, first-quarter GDP and the Fed's preferred inflation gauge. **B1**

World-Wide

◆ **Trump administration** officials said that the air and missile strikes against Iran's nuclear infrastructure were a devastating blow that has likely set back Tehran's nuclear program for years. **A1, A6**

◆ **U.S. officials signaled** that the strikes were a one-off intervention, while Iran vowed to hit back at American interests and leaders in Israel told its citizens to be prepared for a long campaign. **A1**

◆ **Forecasters warned** that dangerously hot and humid weather will keep blanketing millions of people in the U.S. this week as a heat dome traps the sweltering air. **A2**

◆ **Defense lawyers** for Sean "Diddy" Combs will soon attempt to counter the mountain of evidence prosecutors have offered in the sex-trafficking case against the hip-hop mogul. **A3**

◆ **The Trump-era rollback** of transgender rights is gaining momentum, as a nascent acceptance of more-inclusive societal norms ebbs in the political and legal spheres. **A3**

◆ **A push by fellow Democrats** to persuade voters to leave Andrew Cuomo off the ballot complicates the candidate's bid to win his party's primary in the New York City mayoral race. **A3**

◆ **The wreck of the Bayesian**, the luxury superyacht owned by the family of tech entrepreneur Mike Lynch, was raised 10 months after it sank off Sicily, killing Lynch and six others. **A8**

◆ **Died: Fred Smith**, 80, detail-oriented FedEx founder. **B1**

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U.S. Weighs Strikes' Damage in Iran

Tehran could further drag in Washington, or focus on war of attrition with Israel

By SHAYNDI RAICE
AND SUDARSAN RAGHAVAN

JERUSALEM—After hitting Iran's key nuclear facilities, President Trump wrote on Truth Social that now was the time for peace. It is unlikely to be up to him.

U.S. officials have signaled that the strikes were a one-off intervention and they are now seeking de-escalation. Iran has vowed to hit back at American interests. And Israeli leaders have told its citizens to be prepared for a long campaign.

The course of the conflict and whether it is settled on the battlefield or at the negotiating table will hinge on at least two key variables: First, how badly the U.S. and Israel have damaged Iran's nuclear capabilities and, second, will Iran choose to retaliate and how.

If Iran follows through on its promise to target U.S. military bases and other assets in the Middle East, it could spark a broader conflagration—something President Trump had pledged to avoid.

Iranian missiles hitting U.S. installations in Iraq, Qatar, Bahrain or elsewhere would likely prove impossible for Trump to ignore.

Israel has its own agenda, which goes beyond halting Iran's uranium enrichment to eliminating its ballistic missile program and maybe the way to regime change, something the U.S. says it isn't seeking. Israeli Prime Minister Benjamin Netanyahu said Sunday that Israel was "very, very close" to achieving its war aims, the first hint that it could be open to an end to fighting.

The Israeli military said 20 of its jet fighters on Sunday struck targets including stor-

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Satellite images collected by Maxar Technologies show the Fordow underground nuclear complex in Iran before the weekend's U.S. airstrikes, top, and after the bombing, above, which shows several large holes punched in a ridge over the underground installation.

Nuclear program is likely set back, but the fate of enriched uranium isn't clear

WASHINGTON—Trump administration officials said Sunday that the air and missile strikes against Iran's nuclear infrastructure were a devastating blow that has likely set back Iran's nuclear program for years.

By *Michael R. Gordon,
Lara Seligman
and Laurence Norman*

But Israel and the U.S. could nonetheless find the decades-long battle they have waged against Tehran's nuclear activities will continue indefinitely if the Iranians managed to relocate some of their stocks of highly enriched uranium and other key equipment before the U.S. military attacked.

Air Force Gen. Dan Caine, the chairman of the Joint Chiefs of Staff, said the operation was "designed to severely degrade" Iran's nuclear infrastructure. But he added that additional assessments of the damage were needed before the Pentagon could rule out the possibility that some of Iran's nuclear capability remained.

The surprise U.S. attack was launched a minute after midnight on Saturday, when seven B-2 stealth bombers took off from Whiteman Air Force Base in Missouri. The bombers flew for 18 hours, refueling multiple times in flight, and linking up with an array of advanced U.S.

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Oil Prices Surge

- ◆ Iran threatens shipping in Strait of Hormuz..... A6
- ◆ A decoy drew attention away from bombers..... A6
- ◆ Countries now broadcast spies' exploits..... A8

How Trump Got to 'Yes' on Military Mission

WASHINGTON—President Trump was flying over the palatial estates that neighbor his New Jersey golf club on Saturday when he made one of the

By *Tarini Parti,
Josh Dawsey,
Siobhan Hughes
and Alex Leary*

most consequential decisions of his presidency.

As he barreled toward a nearby airport on Marine One,

before flying to Washington, Trump received a call from Defense Secretary Pete Hegseth. It was time to make a final decision: move forward with U.S. strikes on Iran or abort the mission. The president, who had grown convinced that diplomacy alone wouldn't prevent Iran from developing a nuclear weapon, gave Hegseth the green light, according to people familiar with the matter.

Hours later, B-2 bombers targeted nuclear sites in Iran,

the culmination of a frenetic week of behind-the-scenes deliberations marked by covert plans to keep the operation a secret.

Trump and his advisers say the strikes were a targeted campaign to impede Tehran's nuclear ambitions. But the move threatens to drag the U.S. into a broader conflagration in the Middle East, potentially further dividing Trump's political coalition.

Ultimately, though, Trump

saw the operation as a way to assert U.S. dominance. "Our country is hot as a pistol," Trump told The Wall Street Journal in a brief interview on Sunday. He called the strikes "a great victory for our country."

Trump had been under pressure for weeks from his advisers and opposing wings of his MAGA coalition. Hawks, such as Sen. Lindsey Graham of South Carolina, were pushing the president to take military action, while some well-known

conservatives, such as Tucker Carlson and Rep. Marjorie Taylor Greene (R., Ga.), warned that hitting Iran was a mistake.

The hawks ultimately won out, as diplomatic efforts sputtered. Steve Witkoff, an influential Trump adviser who had long held out hope for a nuclear deal with Tehran, told the president that the Iranians were stringing the White House along. Israeli officials, meanwhile, argued that the air

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Premium Credit Cards Are Getting Even Pricier

By IMANI MOISE
AND JACOB PASSY

When JPMorgan Chase said it was raising the annual fee by 45% on its popular Sapphire Reserve credit card, longtime cardholder David O'Brien didn't notice.

"My eyes glaze over with this stuff," said the 36-year-old New York lawyer.

Until a reporter told him that the fee will soon rise to \$795, from \$550, he assumed he had been paying less than \$100 a year. A brief shock, acknowledged with an expletive, gave way to acceptance.

Top credit card companies have stumbled on a winning formula at odds with almost every other sector of America's inflation-obsessed economy: Raising their prices is good for business. Already sold by the status the cards convey, a large number of customers are willing to eat the costs.

This is JPMorgan's third and largest increase to its annual fee for the Sapphire Re-

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Thunder Win NBA Title



CHAMPS: Oklahoma City defeated the Indiana Pacers, 103-91, to win its first basketball title since moving from Seattle. **A14**

Cyber Cops Have a Problem: Cutesy Hacker Code Names

* * *

Security experts divide over monikers like Lucky Mouse; 'We're not naming Care Bears'

By ANGUS LOTEN

When Dutch intelligence services blamed a massive data breach at the Netherlands national police corps on a cabal of Russian-backed hackers, they identified their attacker as Laundry Bear.

Chalk up another indignity

for Ira Winkler.

"I hate these cutesy names," said the chief information security officer at cybersecurity firm CYE Security and a former intelligence analyst at the National Security Agency. "We're not playing a kid's game here. We're not naming

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A UFO Legend Lands Up at Elite Defense Lab

A piece of metal said to be from space takes an odd, three-decade journey

By JOEL SCHECTMAN
AND ARUNA VISWANATHA

The Pentagon man gathered top technology executives from the six largest defense contractors in 2022 to ask an unusual question: Have any of your companies ever gained access to alien technology?

"It would just make my job easier if one of you would 'fess up, give me the UFO, or help me find them," said Sean Kirkpatrick, who had been tapped by the Defense Department to investigate whether Washington had ever had a secret alien program.

The comment was made half jokingly, but for one company, Lockheed Martin, the answer was...complicated.

Lockheed's Skunk Works lab—a legendary facility known for its work on some

of the country's most secret projects—had, in fact, just tested, and attempted to replicate, a piece of metal that was said to have been gathered from a crashed UFO outside Roswell, N.M. The U.S. Army wanted to know whether it could use the material to build vehicles that bend the conventional rules of gravity.

Spoiler alert: The idea didn't fly. But the untold story behind the ersatz space metal turned out to be almost as strange as UFO fiction. The metal went on a three-decade journey from a fringe legend fed by a late-night radio personality to the hands of a 1990s-era rock star to the elite testing lab of a top defense contractor.

It was just one of a series of episodes Kirkpatrick's team dug into as it investigated claims that Washington

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U.S. NEWS



People sought out the shade in Washington, D.C., above, and elsewhere around the country this weekend as high temperatures baked a large part of the U.S.

Dangerous Heat Dome Puts Many at Risk

By ERIC NILLER

Forecasters warn that dangerously hot and humid weather will keep blanketing millions of people this week as a phenomenon known as a heat dome traps the sweltering air.

“We are definitely talking about dangerous conditions,” said Jaime Madrigano, professor at the Bloomberg School of Public Health at Johns Hopkins University. “It’s not just direct heat-related illnesses that occur, but we see all kinds of exacerbations of chronic conditions.”

A heat dome is an area of high pressure that traps hot air below it. Warm air builds on itself and can rise from Earth’s surface to 30,000 to 40,000 feet, said Bryan Jackson, meteorologist at the National Weather Service’s Weather Prediction Center in College Park, Md. As the high-pressure system expands, it diverts high-altitude jet-stream winds that might bring down temperatures on the surface.

Heat domes can exacerbate

humidity that is already present during the summer.

In this past week’s weather pattern, the clockwise rotation of the system has been picking up tropical moisture evaporated from the Gulf of Mexico and eastern Pacific Ocean, keeping humidity levels in the air high.

In addition, recent heavy rain across the upper Ohio Valley, Mid-Atlantic and southern Appalachian regions has made the soil soggy and is boosting humidity, Jackson said.

“Where we are seeing elevated soil moisture, as hot air comes in, it will evaporate that and contribute to the humidity,” he said.

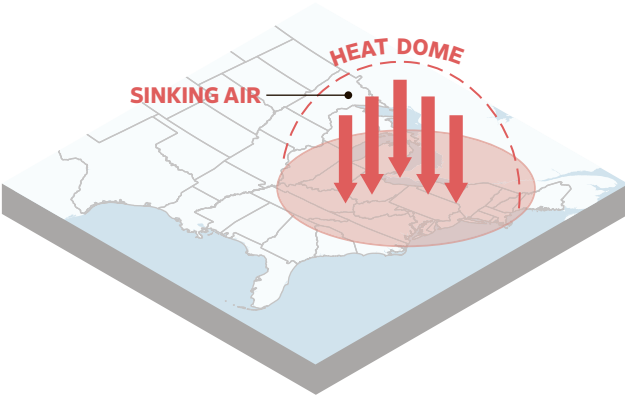
Heat domes can remain stationary for days until conditions change and the high-pressure system moves on. Forecasters expect this weather pattern to dissipate on Thursday.

Record or near-record high temperatures in some cities are predicted beginning Monday.

High temperatures are dangerous to human health.

Inside a Heat Dome

An area of high pressure traps warm air like a lid on a pot. As air sinks toward the surface, it becomes compressed. The sun heats the trapped air, making it warmer each day. A heat dome can last for days or even weeks until broken up by a cold front.



Sources: AccuWeather; National Weather Service

Sweat releases heat from the body when it evaporates, but when humidity is high, sweat doesn’t evaporate as quickly, and the body can’t cool down. Extreme heat causes the heart to beat faster and the blood vessels to dilate, increasing the risk of strokes and heart attacks.

Heat-related deaths and emergency-room visits start to increase when the combination of high heat and humidity—or heat index—rises above 95 degrees. The most vulnerable populations are outdoor workers, children and the elderly who have an underlying condition or who

don’t have air conditioning at home, according to Madrigano.

One of the deadliest heat-related events occurred in 2021, when a weeklong dome over the Pacific Northwest caused an estimated 650 heat-related deaths in the U.S. and Canada.

In 2023, 2,325 people died in the U.S. from heat-related causes, according to a 2024 report in the Journal of the American Medical Association.

As the climate warms, hotter-than-usual days and nights are becoming more common and heat waves are expected to last longer and become more frequent and intense, according to the Environmental Protection Agency.

Looking ahead to July, a heat dome is expected to develop around Utah, Idaho and Nevada; above-normal temperatures are forecast in the Northeast and across the Great Lakes region; and the Eastern U.S. will experience above-normal rainfall, according to a 30-day forecast issued from the NWS’s Climate Prediction Center.

U.S. WATCH

CALIFORNIA

At Least Six Dead After Boat Capsizes

Six people were confirmed dead and two others were missing after a boat capsized on Lake Tahoe in California during a powerful weekend thunderstorm that whipped up high waves, officials said.

The U.S. Coast Guard and the El Dorado County Sheriff’s Office responded Saturday afternoon to D.L. Bliss State Park following reports of 10 people in the water, officials said. Two people were rescued and taken to a hospital.

Winds of about 30 knots and swells of up to 8 feet were reported around the time the 27-foot gold Chris-Craft vessel flipped over near the lake’s southwest edge, Coast Guard officials said.

—Associated Press

RHODE ISLAND

Semiautomatic Rifle Ban Passes House

Rhode Island’s Democratic-controlled state House on Friday approved legislation that would ban the sale and manufacturing of many semiautomatic rifles.

The proposal now heads to the desk of Democratic Gov. Dan McKee, who said in a post on X that he plans to sign the bill into law. If that happens, Rhode Island will join 10 states that have some sort of prohibition on high-powered firearms that were once banned nationwide and are now largely the weapon of choice among those responsible for most of the country’s devastating mass shootings.

Gun control advocates have been pushing for an assault weapons ban in Rhode Island for more than a decade.

However, despite being a Democratic stronghold, lawmakers throughout the country’s smallest state have long quibbled over the necessity and legality of such proposals.

—Associated Press

TEXAS

Law Focuses on Ten Commandments

Texas will require all public school classrooms to display the Ten Commandments under a new law that will make the state the nation’s largest to attempt to impose such a mandate.

Gov. Greg Abbott said on Saturday that he signed the bill, which is expected to draw a legal challenge from critics who consider it an unconstitutional violation of the separation of church and state.

A similar law in Louisiana was blocked when a federal appeals court ruled Friday that it was unconstitutional. Arkansas also has a similar law that has been challenged in federal court.

—Associated Press

Exclusive Credit Card Fees Go Up

Continued from Page One

serve card since it was launched in 2016 at \$450 a year. It takes effect Monday for new customers and in October for existing customers.

American Express, whose Platinum card usually carries the heftiest fee in its market segment, is expected to raise its \$695 fee—even higher than the Sapphire Reserve’s—in its fall refresh, analysts say.

“I’ve been surprised at the ability to continue to extract higher pricing,” said Moshe Orenbuch, a managing director at TD Securities.

When the Sapphire Reserve launched, analysts doubted there was much appetite for triple-digit annual fees. “Issuers have been positively surprised at how many of those folks there are.”

Price hikes make the cards appear more exclusive. Except rather than offering a luxury good such as a diamond ring or fancy ride, the companies offer the chance to spend more.

The cards’ allure “can lead to behaviors that you can’t justify” based on function alone, said Derek Rucker, a marketing professor at Northwestern’s Kellogg School of Management.

“That’s where the math doesn’t have to make sense,” he said.

Theoretically, the math can make sense. Chase touts the more than \$2,700 in annual value on its refreshed Reserve card, including hotel and din-



A Chase Sapphire Lounge in Boston. The Sapphire Reserve credit card’s annual fee is going up.

ing credits and travel perks. Amex Platinum offers similar benefits for frequent travelers.

O’Brien, the New York lawyer, said that despite the fee increase, he expects the math to work out for keeping his Sapphire Reserve card.

He regularly uses points from the card to book flights and hotel stays, and says lounge access offsets the cost of a few pricey airport cocktails.

But many perks go unredeemed. According to the latest data from the Consumer Financial Protection Bureau, cardholders earned over \$40 billion in rewards in 2022, yet more than \$33 billion went unclaimed—a 40% jump since before the pandemic.

The average account sat on \$150 in unused perks.

Redemption now requires more effort than ever before.

Jacob Moon, a 36-year-old investment banker in Los An-

geles, didn’t mind the fee increase, but bristled at the fine print.

Many perks are delivered in increments and expire monthly. For instance, Chase is advertising a \$500 hotel credit as a new benefit with the Sapphire Reserve. But half of the credit must be used in the first six months of the year, and half of it in the last six months.

“For the amount I spend, I want freedom, not a schedule,” Moon said.

“This card is giving me homework.”

Such complexity favors users who track every point and benefit—and banks know that. Regardless of whether perks are redeemed, the card issuer collects the fee.

“The vast majority of people will see all that as a headache,” said Greg Davis-Kean, founder of travel website Frequent Miler.

Chase has taken steps to streamline its rewards. Cardholders now earn eight points on all travel booked through its portal—previously, different rates applied to flights and hotels. Chase also shows unclaimed benefits in its app.

“We’re all about getting customers to redeem 100% of their benefits,” said Allison Beer, CEO of card and connected commerce at Chase.

The higher fees will inevitably be too much for some customers to swallow. That might be the point, said Pat-

rick Mrozowski, the founder of Atlas, a credit card company that charges a \$1,000 annual fee and offers cardholders access to a concierge service, including help securing hard-to-get reservations at such restaurants as New York’s The Corner Store.

“Maybe their overall number of customers drops, but the level of engagement from the core base increases, and that’s a better way to grow,” Mrozowski said.

Chase said it doesn’t expect significant attrition from its Sapphire Reserve revamp, but it acknowledged that some customers might decide to downgrade to the lower-fee Preferred card or opt out entirely.

A Bank of America Global Research survey earlier this month found that only 9% of Chase cardholders said they would cancel their most-used premium card if the annual fee increased by \$100.

Michael Andeberhan, a 44-year-old who works in asset management, carries both the Sapphire Reserve and the Amex Platinum and keeps a close eye on whether he’s getting his money’s worth from each.

But with the prospect of higher annual fees on both cards, he’s starting to question whether two is too many.

Having two cards divides his spending, and each credit card company reserves its best perks for customers who spend the most on their cards. For example, cardholders who charge more than \$75,000 a year on a Chase card unlock top-tier status at IHG Hotels and Resorts.

“Is it worth having two premium cards?” Andeberhan said. “Because you can only spend your money on one card.”

Redemption now requires more effort than ever before.

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U.S. NEWS

Transgender Rights Face Setbacks

Decision allowing states to restrict trans care for minors is the latest blow

By Aaron Zitner
And Laura Kusisto

Voters in at least 10 states have elected a transgender person to their legislature. A transgender man has argued a case before the Supreme Court. Last year, the first transgender woman was elected to Congress.

Transgender people have become visible in ways that were unthinkable five years ago, a development that advocates thought would generate more societal acceptance. And yet, the political and legal tides are shifting in a different direction.

Surveys find that Americans increasingly oppose allowing transgender people to use bathrooms or play on sports teams that don't conform to their sex assigned at birth, and more oppose than favor teaching about gender identity in schools. Lawmakers in at least 26 Republican-led states have restricted gender care for minors and passed a host of other laws curtailing the rights of transgender people.

Social conservatives added to their gains last week with

an eagerly awaited decision from the Supreme Court, which ruled it was constitutional for states to restrict gender-transition treatments for teenagers and children.

"The last 24 months has been a complete reversal and profound gains for those who have been defending the reality of biological sex," said Jay Richards, a senior research fellow at the Heritage Foundation, which advocates for conservative social policy.

Donald Trump's election has accelerated efforts to roll back transgender rights. He emphasized the issue during the home stretch of his campaign, including with ads that resonated with some voters. The president has moved to bar transgender people from serving in the military and withhold money from states that allow transgender women to play on female athletic teams.

Trump also has aligned federal policy to fit with the idea that biological sex is strictly defined and immutable. Trump issued an executive order contesting "that males can identify as and thus become women, and vice versa." Among other changes, Trump ordered that passports reflect a person's sex assigned at birth, precluding transgender people from using their chosen gender identity or a gender-neutral X.

The transgender-rights



Demonstrators outside the Supreme Court this month. Trump's election has accelerated efforts to roll back transgender rights.

Scientific Consensus Starts to Fray

The scientific consensus that provided the foundation for lawsuits against state bans on care for minors has begun to wobble.

Regulators in some European countries have begun limiting access to certain treatments, arguing for further research. In the U.K., a report last year found "no good evidence on the long-term outcomes of interventions to manage gender-related distress."

"The science just contin-

ued to get better and better on our side," said John Bursch, a lawyer at the Alliance Defending Freedom, a conservative legal group.

Some types of transgender rights have fared better than others, both in the courts and in public opinion. The Supreme Court ruled in 2020 that federal civil-rights law bars employers from discriminating against workers on the basis of their gender identity or sexual orientation.

that we cannot and will not make progress."

Evan Wolfson, founder of Freedom to Marry, said there

had been "missteps and unnecessary rigidity" on the part of transgender advocates that had alienated some people

who were still wrestling with questions around transgender rights or weren't fully supportive. But other factors were primarily behind the shifting public debate, he said, namely the escalation of Republican attacks.

Dahron Anneliese Johnson, a transgender woman in Nashville, said the Supreme Court ruling—which upheld a ban on gender treatments for minors—was a setback but that the increased visibility of transgender people in society remains an important force. Johnson pointed to Olivia Hill, a transgender woman elected to a seat on the legislative panel governing Davidson County, and to Marisa Richmond, the first Black transgender delegate to the Democratic National Convention, as local examples of transgender people in prominent roles in a conservative state.

N.Y. Progressives Pin Hopes on ‘Don’t Rank Cuomo’

By Alyssa Lukpat
And Joseph Pisani

In the battle for the Democratic mayoral primary, it is Andrew Cuomo versus ranked-choice voting.

Since the day Cuomo announced his candidacy, his fellow Democrats have teamed up to try to torpedo his chances by cross-endorsing each other—and have launched campaigns to urge voters to leave the former New York governor's name off the ballot entirely.

"Don't Rank Cuomo," the rallying cry of his political opponents and many longtime adversaries, has found its way onto T-shirts, bags and other merchandise. It has been splashed across social-media campaigns, chanted at rallies, and even found its way into some editorial headlines.

The goal among the field's progressive crowd is to use the ranked-choice system to funnel votes to any candidate except Cuomo—with state Assemblyman Zohran Mamdani of Queens hoping to be the top beneficiary.

The slogan has had various iterations since February. Initially the mantra surfaced as "DREAM—Don't Rank Eric Adams for Mayor." When Cuomo entered the race in March, it was changed to "Don't Rank



Progressive voters have adopted the mantra 'Don't Rank Cuomo' in an effort to use New York City's ranked-choice system to funnel votes to any mayoral candidate except Andrew Cuomo.

Eric or Andrew for Mayor."

After Mayor Adams opted to skip the primary and focus on the general election, it was refashioned as a direct hit at Cuomo: "Don't Rank Evil Andrew for Mayor." In recent weeks, with polls tightening ahead of Tuesday's primary, the messaging among left-leaning progressive Democrats got shorter and louder: "Don't Rank Cuomo."

Lawrence Wang, a political-communications strategist, was among those who first came up with the "DREAM"

moniker early in the primary. His group, an independent grassroots political-action committee, sells \$35 "Don't Rank Cuomo" T-shirts and works with social media influencers to post on the slogan. Other groups have said they came up with a similar slogan about the same time.

"We wanted something that would be both easy and memorable," said Wang, who was communications director for former U.S. Rep. Jamaal Bowman when the Democrat was in Congress. "Something that

easily rolls off the tongue."

Mamdani has drawn closer to Cuomo in recent polls. In May, Cuomo outpaced Mamdani as the voters' first choice by 19 points in a Marist poll. This month, Cuomo's lead narrowed to 11 points, according to Marist.

In the ranked-choice primary, voters have the option to list up to five candidates in order of preference. A candidate must get more than 50% support to win. If no one hits that threshold, the candidate with the fewest votes will be

eliminated. The ousted candidate's votes are redistributed to the voters' second choices. In 2021, Adams was declared the winner after several rounds.

If "Don't Rank Cuomo" succeeds as its supporters want, Cuomo would be eliminated from the primary at some point in the process.

Rich Azzopardi, spokesman for Cuomo, said voters won't be swayed by the rank-choice strategy. "New Yorkers know Gov. Cuomo has the experience and the real record of results needed to fix what's broken and put this city back on the right track," he said.

Mamdani, a democratic socialist whose campaign features proposals such as free city buses and a no-cost child-care system, recently landed endorsements from Sen. Bernie Sanders of Vermont and U.S. Rep. Alexandria Ocasio-Cortez of New York.

Ocasio-Cortez also gave a nod to mayoral candidates including the current city comptroller, Brad Lander, and the former comptroller, Scott Stringer. "RANK THEM, NOT CUOMO," the Queens congresswoman said.

Mamdani, Lander, City Council Speaker Adrienne Adams and Brooklyn state Sen. Zellnor Myrie are on the progressive slate backed by the

Working Families Party, which has asked voters to rank all four. Several of the candidates have cross-endorsed each other.

Stringer, while not included as part of the progressive slate, has nonetheless been a vocal Cuomo critic. Former state Assemblyman Michael Blake and the former hedge-fund manager Whitney Tilson are also among the other candidates running in the Democratic primary. Republican mayoral candidate Curtis Sliwa is running unopposed.

Adrienne Adams, a late entry to the race who received a fundraising boost from Mamdani after he told his supporters to donate to her, waited until June 20 to reveal her final position on cross-endorsements.

"After much deliberation, I decided not to cross-endorse in this race," said the speaker, who has been trying to position herself as a candidate with progressive values and a centrist approach.

But that doesn't mean she's bucking the anti-Cuomo strategy. "In addition to ranking me No. 1, I encourage New Yorkers to rank the full slate of Working Families Party candidates," she said. "Like nearly every other candidate in this race, I believe Andrew Cuomo should not be mayor."

Combs Faces an Uphill Battle as Trial Defense Is Set to Begin

By James Fanelli
And Corinne Ramey

After more than five weeks of testimony from some three dozen witnesses, federal prosecutors have offered a mountain of evidence in their sex-trafficking case against Sean "Diddy" Combs. The hip-hop mogul now faces the tough task of trying to scale it.

The drama has played out in a Manhattan courtroom where jurors have been forced to grapple with questions of consent, love, power and abuse. Combs faces five criminal counts, including allegations of sex trafficking. Prosecutors, who could rest their case as soon as Monday, have introduced graphic evidence to show Combs coerced ex-girlfriends into drug-fueled, dayslong sex parties that he called "freak offs."

As Combs begins his defense this week, his lawyers

will likely use their witnesses to bolster their argument that while Combs was violent with women, all sex was consensual and he didn't commit sex trafficking.

The testimony so far has been emotional, uncomfortable and, at times, complicated.

Prosecutors asked one former Combs girlfriend, who testified under the pseudonym Jane, why she continued to see him and send him loving text messages, even though she felt he manipulated her into participating in sex parties with male escorts.

"He's just so good at showing me with love and affection with all the sexual exploitation in between," Jane said. "It's just so confusing."

Jurors have been required to watch images from the freak offs on personal screens in front of their seats, which were shielded from public view. They also watched a

video of Combs assaulting another ex-girlfriend, Cassie Ventura, in a hotel hallway in 2016 as, according to prosecutors, she left a sex party.

Former federal prosecutor Maria Cruz Melendez said the government had effectively shown that some of Combs's former workers aided him in procuring drugs, paying bribes and compensating escorts—a key part of a racketeering conspiracy charge against him. Ventura, a singer who was once signed to a Combs's music label, also provided a compelling account, detailing Combs's hair-trigger temper and the control he had over her music career and finances, said Cruz Melendez, a partner at law firm Skadden, Arps, Slate, Meagher & Flom.

"They have powerful and clear testimony surrounding violent conduct by Combs," she said.

Dressed in a sweater and



Sean 'Diddy' Combs.

slacks, and sporting gray hair due to the lack of dye in jail, Diddy was sat flanked by lawyers in the courtroom during the trial. Occasionally, he has flashed a thumbs-up and smile to his family. Some days, crowds have camped outside the courthouse in hopes of getting a seat.

Brian Klein, a former fed-

eral prosecutor and partner at law firm Waymaker, said the defense team so far has been successful in providing additional context to the prosecution's allegations.

"The defense is working to paint a picture for the jury that this is a series of long-term relationships and, while the facts might be disturbing, they don't amount to sex trafficking," he said.

Witnesses have included a male escort who recounted giving away \$100 bills in Times Square after leaving a freak off high on ecstasy and former personal assistants to Combs who spoke about satisfying the bizarre demands of a mercurial boss.

The most anticipated testimony came from Ventura, who had an on-again, off-again relationship with Combs for more than a decade. She told jurors that Combs orchestrated sex sessions during

which the mogul micromanaged every detail, from lighting to costumes to when to apply body oil.

At first Ventura willingly participated in freak offs and enjoyed the time with him, she said. But as time went on, she said, Combs beat her, which made her feel worthless and like she had lost her agency and autonomy.

"I worried for my safety, I worried for my career," said Ventura, who settled a lawsuit she brought against Combs for \$20 million in 2023. "But I also was in love with him, so I worried that he wouldn't want to be with me anymore."

Cruz Melendez, the former prosecutor, said the defense scored its biggest win during its cross-examination of Jane. A lawyer for Combs was able to raise doubts on whether she was truly coerced into participating in the sex parties, Cruz Melendez said.

‘Big, Beautiful’ Bill Gets Slimmed Down

Provisions related to food aid, CFPB set to be cut after Senate ‘Byrd bath’

By SIOBHAN HUGHES

WASHINGTON—President Trump’s big beautiful bill is getting smaller just as Republicans head into a crucial week, after the Senate’s rules arbiter decided several controversial provisions don’t qualify for the special procedure the GOP is using to bypass Democratic opposition.

The tax and spending megabill centers on extending Trump’s 2017 tax cuts, delivering on the spirit of his campaign promises to eliminate taxes on tips and overtime, and providing big lump sums of money for border security and defense. Those new costs are partially offset by spending cuts, in particular to Medicaid.

But it also includes other provisions, some of which are now set to get dropped from the final bill. Senate GOP leaders are aiming to hold a vote on the measure in the coming days and send it back to the House, with the aim of getting

it to Trump’s desk by July 4.

Senate parliamentarian Elizabeth MacDonough, who has been hearing arguments from Republicans and Democrats behind closed doors, issued guidance in recent days on which measures don’t fit within the so-called budget reconciliation process. She is expected to issue more guidance through Sunday night into Monday.

Under budget reconciliation, provisions have to be primarily related to the budget to be eligible for a simple majority vote, rather than the 60 votes typically required in the Senate.

One of the top measures that the parliamentarian said didn’t fit, according to Democrats who publicized her decisions: a provision requiring states to pay a portion of food benefits, with their share increasing the more they mistakenly overpay or underpay beneficiaries. It isn’t clear if Republicans plan to rework the measure to try to accommodate the parliamentarian’s guidance.

The measure as originally passed in the House would have saved \$128 billion over a decade, according to the Congressional Budget Office. While the Senate scaled back the



Senate GOP leaders are aiming to vote on the tax-and-spending megabill in the coming days.

House cuts, it didn’t entirely eliminate them.

The parliamentarian also said a provision barring people living in the country illegally from receiving nutrition assistance didn’t conform to the requirements of the budget-reconciliation process.

She also struck out a mea-

sure that would have required plaintiffs to post potentially enormous bonds when asking courts to issue preliminary injunctions or imposing temporary restraining orders against the federal government.

The provision was a variation on a House measure that would have prevented the Su-

preme Court and other federal courts from enforcing contempt orders unless plaintiffs posted a monetary bond. Senate Minority Leader Chuck Schumer (D., N.Y.) cheered the parliamentarian’s decision, saying Republicans had been stopped from “a brazen attempt to crown Trump king.”

She said a provision that would reduce the Consumer Financial Protection Bureau’s funding to zero didn’t qualify for reconciliation. She also said a proposal to merge the Public Company Accounting Oversight Board, the U.S. audit watchdog, into the Securities and Exchange Commission, wasn’t eligible for the fast-track process.

In response to the recommendations on the CFPB and PCAOB, Sen. Tim Scott (R., S.C.) said he remains committed to advancing legislation that cuts waste and duplication in the U.S. government.

One measure that appeared to survive her review: a provision withholding broadband funds to states that regulate artificial intelligence technology.

Earlier, House Republicans had included in their version of Trump’s “big, beautiful bill” a measure that would have essentially imposed a moratorium on state regulation of artificial intelligence for 10 years. But Senate Republicans changed that language in hopes of preserving the spirit of the policy while ensuring that it could survive the parliamentarian’s Byrd bath—the review process named for the late Sen. Robert Byrd (D., W.Va.).

Republicans Push to Limit a Workaround to SALT

By RICHARD RUBIN

WASHINGTON—Republicans’ tax legislation aims to curtail a popular route for business owners to dodge the cap on the state and local tax deduction, spurring last-ditch attempts by accountants, dentists and business groups to get the GOP to back off.

The House and Senate versions of President Trump’s “big, beautiful bill” would both sharply restrict businesses’ workarounds to the deduction limit known as the SALT cap. The proposals would shrink a hole in the cap that reduces federal revenue by about \$20 billion a year.

The size of the SALT cap—whether it is \$10,000, \$30,000 or \$40,000—matters to upper-middle-class households and New York Republicans, and it is one of the most difficult challenges remaining in get-

ting the megabill enacted through the GOP’s slim majorities. But what happens on the workarounds matters far more to many high-income people who pay their businesses’ income taxes through their personal tax returns.

Limits on SALT cap workarounds would make business owners bear more of the cost of state and local taxes. For some, that would be enough to prompt them to move out of high-tax states, said Timothy Noonan, a law-firm partner at Hodgson Russ in New York City and Buffalo, N.Y., who advises business owners.

“From the high-net-worth community, that’s already a concern and already a reaction,” he said.

Congress created the \$10,000 SALT cap in the 2017 tax law. The limit raised money to pay for tax-rate cuts, and it reduced what Re-

publicans see as a federal subsidy for high state taxes.

Democratic-run states hated the cap and began searching for workarounds. But the SALT cap also pinched a core Republican constituency: owners of pass-through businesses—including car dealers and distributors—whose income passes through to their individual returns.

Red and blue states ultimately found a way around the cap for business owners. They imposed taxes directly on pass-through businesses. Those levies then satisfied the owners’ state income tax liabilities without being categorized as state taxes subject to the SALT cap.

The first Trump administration blessed the workarounds, and the Biden administration and the Democratic Congress didn’t change anything. Now, nearly

every state with a state income tax has a SALT cap workaround. The states get their tax revenue, and business owners avoid the cap—all at the expense of the U.S. Treasury.

What happened is that the SALT cap became a limit on wage earners and homeowners. Pass-through business owners, like corporations, have been able to get effectively unlimited SALT deductions.

Republicans considered and rejected the idea of limiting corporations’ SALT deductions this year. Some corporate income can face the cap—and yield federal revenue—when that income is received by individual investors as dividends or capital gains. Pass-throughs occupy a middle ground between corporations and individuals.

The Republican plans are

part of the broader effort to extend tax cuts and reduce spending. The changes would narrow the workarounds’ scope and provide tens of billions of dollars to pay for tax cuts.

The House bill would largely deny the workarounds to certain service-business owners such as doctors, lawyers and consultants. That distinction treats those business owners’ income as more like labor compensation subject to the SALT cap. Manufacturers, retailers, wholesalers and others could still circumvent the general limit, which the House set at \$40,000.

Dentists, lawyers and accountants objected to the House plan.

Jim Schulz, the American Dental Association’s chief lobbyist, said the House changes run counter to the GOP push

to continue existing tax cuts.

“This is not the dental community asking for something that wasn’t there before,” he said. “This is saying, it was here and now you’re harming businesses that were not harmed five years ago.”

The Senate took a different approach in the proposal it released this past week. Under that plan, pass-through business owners could get deductions for state and local taxes—generally, either \$40,000 or 50% of the benefit of workarounds, whichever is greater.

The outcome could vary by business and by state, but broadly, the Senate rule would allow full SALT cap workarounds for many smaller businesses while limiting them for high-income business owners. And the Senate wouldn’t create an industry-based distinction.

How Trump Got to ‘Yes’ On Iran

Continued from Page One

superiority they had established over Iran made an operation a much lower risk, administration officials said.

Graham, in an interview, said he told Trump that authorizing strikes in Iran would give the U.S. an opportunity to repair damage done to America’s reputation abroad after the botched withdrawal from Afghanistan. “You’ll be a new sheriff in town, and this will reset our relationship with the rest of the world,” Graham said he told the president.

Trump spent much of Sunday tracking news coverage of the strikes. His aides gave him a compilation of positive statements from supporters on social media, according to administration officials. He also stewed about Rep. Thomas Massie’s criticism of the strikes, discussing with advisers a primary challenge against the Kentucky Republican who called the U.S. attack on Iran unconstitutional.

Democrats, for their part, have called the Iran strikes unlawful, arguing that the president should have sought a war powers resolution from Congress before approving the military action. And they have alluded to the faulty intelligence that was a basis for the Iraq war, saying the administration failed to offer a detailed rationale for the timing of the strikes.

“We saw no evidence that Iran had made the decision to build a bomb or was actually affirmatively building the mechanism, which takes time,” said Sen. Adam Schiff (D., Calif.) on CNN’s “State of the Union.” “So in the absence of that, you don’t order a strike like this.”



President Trump speaking Saturday, watched by Vice President JD Vance, Secretary of State Marco Rubio and Defense Secretary Pete Hegseth.

Trump’s decision to launch strikes came after months of frustration over the pace of negotiations with Iran, according to administration officials. The president and Witkoff, his Middle East envoy, soured on talks as Iran continued to move ahead with its plans to build a nuclear weapon. In late May, Trump told advisers he was convinced that the Iranians were “tapping them along,” according to a person who heard his comments.

The president was leaning heavily toward moving forward with U.S. strikes by the time White House press secretary Karoline Leavitt told reporters on Thursday that Trump would make a final decision over the next two weeks. Trump—frustrated by reports that he was preparing to authorize strikes—instructed Leavitt to announce the two-week timeline in part because he believed

it would help obscure his plans, administration officials said.

As the U.S. moved closer to an attack, Trump and his team were in regular touch with Israeli officials. He also repeatedly asked his advisers to lay out what, if anything, could go wrong, according to the officials. Gen. Dan Caine, chairman of the Joint Chiefs of Staff, emerged as a trusted voice during the deliberations, administration officials said.

On Saturday, Trump’s aides gathered secretly in the Situation Room, where they went over attack plans and reviewed maps of the region. Another set of B-2 planes flew from the U.S., in a ruse meant to throw off Iranian officials. Administration officials believe the timing of the strikes caught Iran off guard.

The backlash from Trump’s political base has so far been muted, despite private misgiv-

ings from prominent supporters of the president. But some Republicans warned voter frustration could spread if the U.S. gets drawn into a sustained conflict in the region.

“If the base feels betrayed, then they’ll be more apathetic during the midterms, and it will be his own undoing,” Massie said in an interview. Greene, the Georgia lawmaker, wrote on X, following the strikes: “Every time America is on the verge of greatness, we get involved in another foreign war.” She added in her post, “this is not our fight.”

Trump has said in recent days that he has no intention of overthrowing Iran’s regime. But he appeared to signal on Sunday that he is open to that outcome. “It’s not politically correct to use the term, ‘Regime Change,’ but if the current Iranian Regime is unable to MAKE IRAN GREAT AGAIN,

why wouldn’t there be a Regime change???” he wrote on Truth Social.

Responding to concerns that the U.S. was entering another war abroad, Vice President JD Vance said Americans were understandably “exhausted after 25 years of foreign entanglements in the Middle East.”

“But the difference is that back then we had dumb presidents,” he told NBC News.

Vance, however, acknowledged that further military action in Iran is possible. “If they decide they are going to attack our troops, if they decide they are going to continue to try to build a nuclear weapon, then we are going to respond to that with overwhelming force,” he said.

Iran’s foreign minister on Sunday played down chances of further diplomacy, saying “they have proved that they are not men of diplomacy and

that they only understand the language of threat and force.”

As a candidate in 2016, Trump was a frequent critic of the second Iraq war, which was launched by Republican President George W. Bush. During the 2024 presidential campaign, he blamed then-President Joe Biden for allowing wars in Ukraine and Gaza to continue. In his Milwaukee convention speech, Trump said he could “stop wars with just a telephone call.”

But foreign policy matters have already consumed much of his early months in office, as lawmakers debate his legislative priorities and some in his base are frustrated with the slow pace of deportations, a campaign promise. Trump tried on Sunday to shift the focus back to his legislative agenda, saying in a social-media post: “Now let’s get the Great, Big, Beautiful Bill done.”

U.S. NEWS

Medicaid Work Requirements Haven’t Had Much Success

By JEANNE WHALEN

Republicans are pushing to add Medicaid work requirements to the budget bill they are moving through Congress, saying the provisions are necessary to cut costs and get more low-income Americans back on the job.

State experiments with that approach show its limits.

A short-lived program in Arkansas in 2018 didn’t boost employment among targeted residents, research has shown. The bureaucracy and confusion of the program also resulted in thousands of people losing their Medicaid coverage.

A current Medicaid pilot program in Georgia, meanwhile, has enrolled a fraction of the people the state aimed to register, in part because the monthly reporting requirements to prove employment are so cumbersome, according to doctors and healthcare experts.

“I think you could learn some reasonable lessons from both places,” said Dr. Ben Sommers, a Harvard economist and physician who has studied the state programs and served as a health official in the Biden administration. “Most of the people with Medicaid who can work are working, and there is a lot of confusion and a lot of red tape that goes with these requirements that people have trouble navigating.”

The Republican governors of Arkansas and Georgia defend the aim of tying Medicaid to work, though both states are now pursuing changes that would ease the work-reporting requirements.



Atlanta physician Kreena Patel.

“Our country cannot unleash unprecedented prosperity if able-bodied, childless adults sit on the sidelines,” Arkansas Gov. Sarah Huckabee Sanders wrote in a January letter.

Georgia Gov. Brian Kemp said in January that recipients are learning new skills that will “help them find greater opportunity, start a career and move off Medicaid.”

Medicaid, a mostly federally funded program administered by the states, provides healthcare coverage to more than 70 million lower-income and disabled people. Aside from the state experiments, Medicaid doesn’t mandate that recipients work.

Under new requirements in the Republican bill that passed the House last month, most childless adults without disabilities between the ages of 19 and 64 would need to spend 80 hours a month in work, job training or community service to qualify for Medicaid. Parents of dependent children, people with substance-use disorders and certain others would be exempt.

The Senate version of the bill unveiled this past week is more restrictive, requiring parents with children 15 and older to meet work requirements. Republicans aim to pass a bill by July 4.

The Congressional Budget Office estimates that the House rules would apply to about 18.5 million low-income adults, about 5.2 million of whom would likely lose Medicaid coverage by 2034 as a result. That would save Medicaid about \$344 billion over a decade, the CBO said. It added that the House bill overall would increase the nation’s labor supply by 0.6% on average through 2034, mostly through tax cuts that encourage people to work. Changes to Medicaid, food stamps and student loans “would increase the supply of labor to a lesser degree,” the CBO said.

House Speaker Mike Johnson (R., La.) called the requirements necessary to stop Medic-

aid abuse so that the program “will be there for the people that desperately need it.”

According to a KFF analysis of Census Bureau data, 44% of Medicaid recipients under 65 were working full time in 2023 and 20% were working part time. Another 29% weren’t working because of caregiving responsibilities, school attendance, illness or disability. About 8% were unemployed owing to retirement, an inability to find work or other reasons.

Georgia didn’t join other states in expanding Medicaid after passage of the Affordable Care Act. But in July 2023 it opened its program to more low-income people who could show at enrollment they were engaged in work, community service or job training for 80 hours a month. Recipients of the new coverage type, called Georgia Pathways, were required to report their working hours monthly.

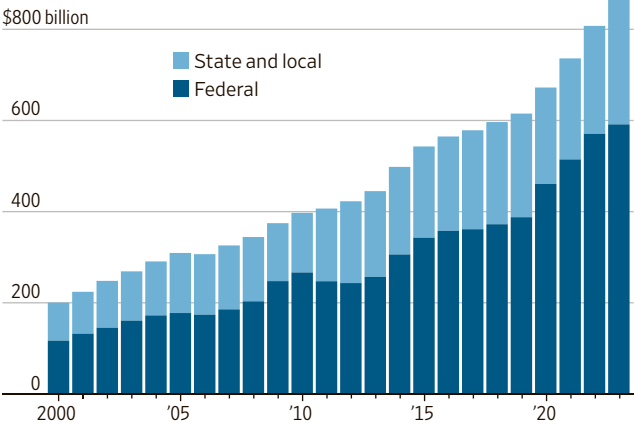
Two years later, state figures show that 8,100 Geor-

gians are enrolled in the program of a potentially eligible population of 240,000.

In a submission to the federal government opposing the work requirements, an Atlanta physician, Dr. Kreena Patel, called the low-income patients she serves “some of the hardest-working people I know,” and pointed to the perils of tying health coverage to job status.

She described a 34-year-old mother of five with high blood pressure who went untreated for years when she lost insur-

Spending on Medicaid



Source: Centers for Medicare and Medicaid Services

ance, before returning to Patel with end-stage kidney failure. The patient is now on dialysis and “unable to have any kind of meaningful employment,”

Patel said. With better medical coverage, “she would have been able to continue working and caring for her children,” Patel said.

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WORLD NEWS

Iranian Threats Leave Markets on Edge

Potential disruption to traffic in Strait of Hormuz sparks jump in oil prices

By David Uberti
And Costas Paris

Oil traders see it as a worst-case scenario. Pentagon officials have long warned against it. Vice President JD Vance believes it would be suicidal.

Yet Iranian lawmakers on Sunday reportedly threatened a closure of the Strait of Hormuz, a strip of water connecting the energy-rich Persian Gulf to global markets, after the U.S. joined Israeli strikes on Tehran's nuclear facilities. That rattled oil markets and sent U.S. stock futures lower on Sunday evening.

Roughly 20% of the world's petroleum passes through the 20-mile-wide strait, where dozens of skyscraper-size tankers each day funnel into a pair of 2-mile-wide traffic lanes separated by a 2-mile-wide buffer. The transit through that 6-mile strip within the strait includes a similarly huge share of the world's liquefied natural gas.

Crucial for cars, chemical makers and power plants around the world, the supplies help fuel the oil-hungry Chi-



Iranian navy personnel, seen near the Strait of Hormuz, south of Tehran, in 2019.

nese economy and dictate prices paid by U.S. drivers and air travelers. Iran has often harassed foreign-flagged tankers in the area and occasionally threatened to disrupt that trade more broadly in times of stress, a move that could upend financial markets and send global energy costs soaring.

On Sunday, after U.S. forces struck three Iranian nuclear sites, Iranian state media reported that Iran's parliament had approved a closure of the strait.

But they added that ultimate

power to do so lay with the regime's top security officials.

Many oil traders and energy executives still view the scenario as a scorched-earth tactic and distant possibility. Tanker-tracking firms said Sunday that traffic through the strait was proceeding as usual.

Even so, oil markets remain on edge. The cost of Brent crude futures, the international pricing benchmark, jumped 3.2% on Sunday, trading around \$79.50 a barrel. Prices have now climbed about 15% since Israel un-

leashed its punishing air campaign earlier this month.

U.S. stock futures edged lower, with contracts tied to the S&P 500 down about 0.5%.

"It's a bargaining chip," said Anthony Gurnee, a retired longtime tanker-company executive, referring to the strait. "Once they use it, it's gone."

Gurnee, who served in the 1980s as a U.S. Navy intelligence analyst focusing on threats to commercial shipping, said a full closure of the strait by Iran would prompt a swift military response by

American warships that have recently moved into the region.

But "I don't think it's a three- or four-day operation," he said. "It could take much longer."

Any disruption to ship traffic could also slow Iranian energy exports, a lifeline to Iran's economy. Although Israeli strikes have hit Iran's domestic energy infrastructure in recent days, shipments from the country have continued flowing to oil-hungry buyers in China and elsewhere. Rystad Energy estimates that Iranian exports since the outset of Israeli strikes are actually as much as 30% to 40% higher than typical volumes this time of year.

"Their entire economy runs through the Strait of Hormuz," Vance said Sunday on NBC, calling a closure "suicidal." "I don't think it makes any sense."

Hamidreza Azizi, a visiting fellow at the German Institute for International and Security Affairs said the likelihood of a disruption will ultimately depend on whether the conflict continues to expand—and if the regime itself is threatened in an existential way.

"Strategically, Iran could view short-term economic sacrifice as leverage," he said. "But it would also sacrifice its sole global energy revenue

stream, bear domestic blowback and risk long-term damage to its [reputation]."

Naval analysts and tanker operators say the Iranian navy has increasingly projected power using what is called an asymmetric tool kit, including groups of small, speedy boats that swarm larger targets. Mines laid in the waterway could cripple ships, while sunken tankers could potentially block the passage for a longer period of time.

"They can also storm ships on helicopters and hold them for long periods," said Erik Hanell, the chief executive of Swedish-based tanker operator Stena Bulk, which has tankers in the area.

Commandos from Iran's Islamic Revolutionary Guard Corps stormed one of the company's tankers, the Stena Impero, in 2019 and held it for three months in response to the U.K. stopping an Iranian tanker in Gibraltar.

Ship crews said IRGC speed boats have come within yards of tankers. "They are all over the place," said Mihai Barbu, an executive officer for a European tanker that is about to enter the strait from its north side. "They can use high explosives on the hull, hit us with rocket-propelled grenades or use heavy artillery from their bases on the coast. It's scary."

Ruse Drew Attention, as Bombers Maneuvered In

By Shelby Holliday
And Lara Seligman

Saturday morning, flight trackers picked up a host of stealthy U.S. B-2 bombers that took off from their Air Force base in Missouri and headed west over the Pacific. It was a ruse.

Also Saturday, a group of B-2s quietly made their way east, going on to attack Iran's most important nuclear sites, defense officials said. They hit well-defended facilities where giant U.S. bunker busters were thought to have the greatest chance of success. President Trump said U.S. submarines firing cruise missiles joined in the attack, striking other key nuclear facilities.

The move allowed the U.S. to get its bombers over Iran faster and with a lower risk of detection. The timing also helped hide the mission's aim. In the past few days, Trump has said he would take up to two weeks to decide whether

to attack to give diplomacy a chance to work. There had been no order given to ready a B-2 strike, officials said Saturday morning.

The net effect of the maneuvers and communications was the impression that Iran had more time before the bombs came.

"Decoy indeed," one of the defense officials said of the westward feint that masked the bombers that carried out the attack. "Hiding" them and preserving the element of surprise was critical.

Trump gave the final order to go ahead Saturday afternoon East Coast time at his private club in New Jersey.

"The goal was to create a situation when everyone wasn't expecting it," a senior administration official said of the timing of the president's order.

The Pentagon confirmed the details of the ruse in a briefing Sunday morning in Washington, saying as one group of B-2

bombers headed to the west, another group quietly split off and headed east to attack Iran.

"Tonight I can report to the world the strikes were a spectacular military success. Iran's key nuclear enrichment facilities have been completely and totally obliterated," Trump said later Saturday from the White House.

Iranian state media said only minor damage to entrance tunnels was done, and the country's Atomic Energy Organization said it would continue work on its nuclear program.

The U.S. bombers carried GBU-57 Massive Ordnance Penetrators, bunker-busting U.S. bombs designed to destroy hardened underground targets. A dozen were dropped on Fordow, and two more were used against Natanz, while Tomahawk cruise missiles were fired from submarines at Natanz and Isfahan, the defense official said.

It was the first time the

GBU-57 had been used in war. The U.S. had produced around 20 of the giant munitions.

The U.S. strike represented the second time Iran may have been misdirected at least in part by talk of diplomacy during week-old conflict. Israel's initial strike came days before U.S. and Iranian officials were to meet in Oman for a sixth round of nuclear talks.

Iranian Foreign Minister Abbas Araghchi complained of deception in the latest strike.

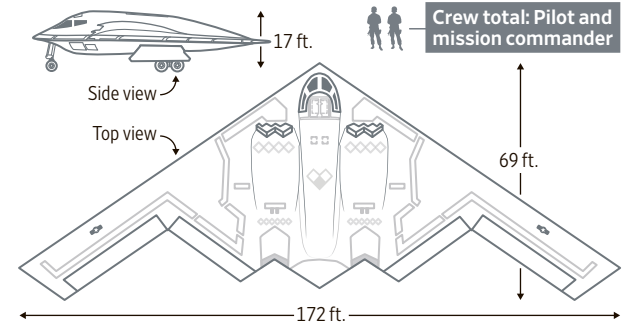
"We were in the middle of negotiations," Araghchi said of the timing while speaking to reporters in Istanbul. Referring to the Trump administration, he said, "I think they have proved that they are not men of diplomacy and that they only understand the language of threat and force, and this is very unfortunate."

The European talks ended without success, as Iran stuck to its insistence on retaining the right to enrich uranium, rejecting the core U.S. demand.

B-2 Spirit

At least nine of the U.S.'s 20 B-2 heavy stealth aircraft were active Saturday, dropping 14 GBU-57 bombs—30,000-pound 'bunker busters'—on Iranian nuclear facilities: 12 on Fordow and two on Natanz.

Cost: \$2.2 billion per aircraft in 2022 dollars
First flight: 1989
First delivered: 1993
Engines: Four General Electric F118-GE-100s
Top speed: High subsonic
Combat ceiling: 50,000 feet
Range: 6,900 miles without refueling
Weapons: Conventional and nuclear payloads
Base: Whiteman AFB, Mo.



Sources: U.S. officials; Northrop Grumman; Air Force JEMAL R. BRINSON/WSJ

U.S. Weighs Damage From Strikes

Continued from Page One fighters.

Just before 5 p.m. Eastern time, as the bombers were about to cross undetected into Iranian territory, a U.S. submarine in the Middle East launched more than two dozen Tomahawk cruise missiles at Iran's Isfahan facility.

As the B-2 armada soared over Iran, the fighters preemptively launched missiles against Iranian air defenses. No shots appeared to have been fired at the American planes by the Iranians, Caine said.

In total, the bombers dropped 14 of the 30,000-pound bunker-busting bombs, known as Massive Ordnance Penetrators, against the Fordow and Natanz nuclear facilities.

Vice President JD Vance said the air and missile strikes had been so decisive, they had shut down Tehran's only known option to develop nuclear weapons.

"I think that it is going to be many, many years before the Iranians are able to develop a nuclear weapon," Vance told NBC.

But some experts highlighted the uncertainties over the status of the Iranian program, raising the possibility that the U.S. and Israel might still need to keep close watch on Iran for years to come to be sure it is not trying to rebuild its nuclear program—and even use force again to



Defense Secretary Pete Hegseth and the chairman of the Joint Chiefs, Gen. Dan Caine, spoke Sunday about the Iran attack by stealth bombers and submarine-fired cruise missiles.

prevent it.

"We can reasonably assume that centrifuges in Fordow and Natanz were destroyed," Richard Nephew, a former negotiator with Iran during the Biden and Obama administrations, said in an interview. "But we still don't know if that is all the centrifuges. And we don't know what they may have taken out before the attack, especially Iran's stock of enriched uranium."

Inspectors from the International Atomic Energy Agency haven't been able to visit Iran's key nuclear sites since Israel began its air campaign against Iran on June 13.

If Iran evicts the monitors, the agency wouldn't be able to provide a detailed assessment of the status of what remains of Iran's battered program, IAEA chief Rafael Grossi has said.

Iran has always insisted its nuclear program is purely peaceful, intended for civilian purposes.

Trump administration officials say they haven't abandoned the goal of reaching an agreement with Iran that could resolve questions about Iran's residual capabilities and future work.

Vance alluded to that possibility in a Sunday television appearance on ABC. Asked if Iran might still retain a stockpile of already enriched uranium, he argued that it would be useless without the other components of Iran's program, but added that it was still a capability the U.S. wanted to end.

"We are going to work in the coming weeks to ensure that we do something with that fuel and that is one of the things that we're going to have conversations with the

Iranians about," Vance said.

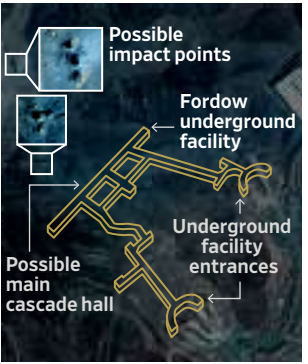
It isn't clear how the Trump administration plans to bring the Iranians back to the negotiating table now that it has been attacked by the U.S.

Following Trump's attack, the Atomic Energy Organization of Iran vowed Saturday to continue its efforts. It said in a statement that Iran "won't allow the progress of this national industry—built on the blood of nuclear martyrs—to be halted." Iran Foreign Minister Abbas Araghchi on Sunday warned that the U.S. will face "everlasting consequences" for the strike.

That means that discerning the status of Iran's nuclear program could remain challenging in the months ahead.

Fordow, which was targeted by a dozen of the U.S. bunker-busting bombs, each carrying the equivalent of

Fordow nuclear facility after June 22 strikes



Sources: Maxar (satellite image as of June 22); Open Source Center (analysis) ROSIE ETENHEIM/WSJ

roughly four tons of TNT, took a direct hit, Grossi said Sunday. He cautioned, however, that "the degree of damage inside the uranium halls can't be determined with certainty."

Satellite images collected by Maxar Technologies after Saturday's attack show several large holes punched in a ridge over the underground installation. Some of the hits appeared close to the ventilation system, a potential weak spot in the site's design. The attacks left the site covered with a layer of gray-blue ash.

Natanz was hit by two bunker-busters, while Isfahan was struck by more than two dozen sea-launched cruise missiles, although it remains unclear whether all of the underground stores of enriched uranium at the facility are buried under piles of rubble or were moved before the attack.

Over three decades, Iran has acquired much of the knowledge to build a bomb, which can't be wiped out by military campaigns, analysts said.

"There is no military solution that will completely eliminate this program," said Dana Stroul, former deputy assistant secretary of defense for the Middle East in the Biden administration.

At the same time, some experts and former officials think that the damage done by U.S. and Israeli forces would hugely complicate any attempt by Iran to covertly develop a nuclear bomb.

In addition to the potentially crippling U.S. and Israeli attacks on Iran's known enrichment sites, Israel has attacked other key locations. They include the conversion facility for turning uranium into the gaseous form from which it can be enriched and a facility for converting enriched uranium into the metal needed for the bomb.

Israel has also attacked centrifuge production facilities across the country, which make the machines necessary for enrichment.

While many of the components Iran would need for a nuclear program can be rebuilt, re-creating this supply chain of equipment for a weapon in secret would be difficult, not least because of how effective Israeli intelligence has been in spying on Iran's nuclear work.

Gary Samore, a nonproliferation expert and director of the Crown Center for Middle East Studies at Brandeis University in Massachusetts, said: "Although Iran retains nuclear scientists, knowledge and enriched uranium, and perhaps some remnants of its enrichment program, rebuilding will be very difficult and time consuming and vulnerable to additional sabotage and even military strikes."

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Countries Now Broadcast Spies’ Exploits

Fighting in Ukraine and the Middle East is bringing a new doctrine to spycraft

By DANIEL MICHAELS
AND DREW HINSHAW

Israel’s airstrikes on Iran exploded across the world’s screens as a public display of military firepower. Underpinning that was a less visible but equally vital Israeli covert operation that pinpointed targets, guided the attacks and struck Iran from within.

Agents from Israel’s spy agency, Mossad, operated inside Iran before and during the initial attacks earlier this month, Israeli officials said. The disclosure was itself an act of psychological warfare—a boast of Israel’s ability to act with impunity inside Iran’s borders, and Tehran’s failure to stop it.

Israel flaunted its tactical success by releasing grainy video emblazoned with Mossad’s seal that it said showed operatives and drone strikes inside Iran.

Not long ago, such covert operations stayed secret. Today, belligerents from Ukraine to the U.S. increasingly broadcast their triumphs, with messages amplified in real time by social-media networks.

When T.E. Lawrence wanted to publicize his World War I secret forays deep into Ottoman territory, he wrote a book and articles. Nobody saw those commando raids for half a century, until the blockbuster film “Lawrence of Arabia” recreated

his exploits.

These days, barely hours pass before the world sees action footage of Ukraine’s latest drone attacks on Russian military targets. Israel’s detonation of explosives hidden inside Hezbollah militants’ pagers played out in almost real time across the internet. The U.S. repeatedly fed social media the details—and sometimes imagery—of its special-operations strikes on Islamic State leaders in recent years.

The result is a major shift in warfare: Call it the battle of timelines. Spying and clandestine operations, in the traditional sense, have never been so difficult. Biometric data makes document forgery obsolete. Billions of cameras, attached to phones, rearview mirrors and doorbells, stand ready to capture the movements of any operative hoping to lurk invisibly. In seconds, artificial intelligence can rifle through millions of photos to identify the faces of foreign spies operating in the wild.

Instead, fighting in Ukraine and the Middle East is bringing a new doctrine to spycraft stemming from changes in both what their organizers seek to achieve and how information spreads. Operations that once would have been designed to remain under wraps are now meant to be seen, to produce spectacular optics. They play out not just on the battlefield, but also on social media, boosting morale at home while demoralizing the enemy watching from the other side of the screen.

“A major goal of covert operations is often to show an adversary’s leadership that we



Daniel Ellsberg, leaker of the Pentagon Papers, in 1971.

have identified and can damage elements involved in lethal activity,” said Norman Roule, a former senior U.S. intelligence officer. “Demonstrating this capability is hoped to act as a deterrent and even to encourage an adversary to seek diplomatic solutions.” Such operations aren’t undertaken lightly, because they are dangerous and risk exposure of sensitive sources and methods that, once compromised, can’t be used in the future, he added.

“You don’t waste such critical capabilities for a cheap political win,” Roule said. “That said, in addition to the operational impact, you can exploit such operations for propaganda, psychological impact or diplomatic gain.”

Covert operations once remained secret long after they were wrapped up, or they were revealed by chance. Allied World War II code-breaking efforts stayed largely unknown for three decades. Countless Cold

War-era espionage operations gained public attention only after the Soviet Union collapsed. Central Intelligence Agency efforts to raise a sunken Soviet submarine went public accidentally, following an office burglary in Los Angeles.

Exploits dubbed black ops—because the operations stay in the dark—traditionally fed into a quiet game of signaling and deception. One reason the release of the Pentagon Papers alarmed the White House in 1971 was that some information in them could have come only from a U.S. bug planted in Soviet leader Leonid Brezhnev’s car, former President Richard Nixon said in 1984.

Fast forward to 2021, when President Joe Biden took the exceptional step of going public with highly sensitive intelligence about Moscow’s plans to attack Ukraine. The pre-emptive disclosure of hard-won secrets didn’t stop the invasion, but it did restore allies’ percep-

tion of the U.S.—and American spycraft—which had been tarnished by the warnings of weapons of mass destruction that led to the Iraq War.

These days, secrecy is often beside the point. Almost weekly, Ukrainian drone attacks deep in Russia’s interior play out to the same script: An ordinary bystander whips out a phone to capture the flicker of a Ukrainian drone against the night sky, seconds before it reduces some strategic target—an oil refinery, an air base or a rail depot—to a fiery ball.

Soon, the footage circulates on social media. In come amateur war analysts posting commercial satellite photos of the damage, followed by declarations of responsibility from the Ukrainian special services eager to demonstrate their capabilities to ordinary Russians scrolling at home.

“Ukraine does an excellent job in planning out these operations, and they know that in this day and age every attack is going to be filmed,” said Samuel Bendett, a Russian-studies adviser at the Center for Naval Analyses in Arlington, Va.

Kyiv feels obliged to wage a public propaganda war against Moscow because it isn’t winning the shooting war. Israel goes public with results of its espionage and covert operations against Iran and its proxies to convince foreign governments and populations that Tehran is both dangerous and vulnerable.

The communication war is raging in an information free-for-all. Governments and elites that until the middle of the 20th century controlled their

information environment are today trying just to navigate it, said Ofer Fridman, a former Israeli officer and a scholar of war studies at King’s College London. “Now they’re struggling to communicate with their target audience through overwhelming noise,” he said.

Compounding that is the digitization of almost all information—both new memos and dusty archives—meaning that no event is guaranteed to remain secret from hackers or publicity-minded politicians with access to files.

Russia is still adjusting to this new form of warfare. The country has made filming or posting sensitive details about military attacks a crime in its front-line regions, punishable by fines. Not even the country’s police and special services have been able to discourage civilians who, almost by instinct, take out their phones when Ukrainian saboteurs strike. Soldiers on the front lines, disobeying their own codes of conduct, regularly capture battlefield operations.

For its part, Russia has made minimal effort to cover its own tracks in its barely disguised spree of covert operations in Europe. When a Russian helicopter pilot who defected to Ukraine was shot dead in Spain last year, Russia’s spy chiefs didn’t deny involvement—they all but boasted of it.

“This traitor and criminal became a moral corpse at the very moment he was planning his dirty and terrible crime,” Sergei Naryshkin, the head of Russia’s Foreign Intelligence Service, told state media.

Tehran Calculates Its Options

Continued from Page One
age and missile launch infrastructure, as well as satellite and radar sites in western Iran.

“De-escalation will happen when both sides want it,” said Phillips O’Brien, professor of strategic studies at the University of St. Andrews in Scotland. “It could happen soon if Israel believes it has achieved what it wanted and the Iranians believe further fighting imperils their rule.”

The fastest way out of the war is an Iranian surrender, in practice a diplomatic agreement to end uranium enrichment and potentially other curbs on its atomic ambitions. Analysts say it is also the least likely.

Iran’s foreign minister, Abbas Araghchi, said Sunday the Trump administration only understands “the language of threat and force.” Iran’s Supreme Leader Ali Khamenei issued what appeared to be his first public statement since the U.S. attack on Iran, in a post on X on Monday. “The Zionist enemy has made a grave mistake, committed a great crime,” the post said, referring to Israel.

Iranian officials may have bought themselves some time Sunday by saying the impact from the U.S. strikes to their nuclear program was limited. State media said damage at the key Fordow enrichment facility was limited to the en-



In Tehran, Iranian demonstrators gathered Sunday and held up posters in support of the regime’s theocratic rule.

trance tunnel and that important equipment had been moved out before the bombings. That could reduce the public pressure to retaliate immediately and instead provide the regime room to come up with a plan to deter future U.S. and Israeli strikes.

Yet Iran’s military options range from “poor to disastrous,” said Ali Vaez, head of the International Crisis Group’s Iran project. “It can try to escalate against Israel or the U.S. or U.S. interests in the region, but it is already outgunned by Israel and outmatched by the United States.”

A decision by Iran to ex-

pand the war by targeting U.S. forces or assets would all but ensure a U.S. response that could drag out the fighting and raise the risk of the collapse of the regime.

Iran could symbolically attack U.S. forces in the region, as it did after the U.S. airstrike that killed Iranian Maj. Gen. Qassem Soleimani in 2020. Trump played down those attacks, and the confrontation ended. That scenario could allow the U.S. to stay out of the war, while fighting between Israel and Iran would likely continue.

Or Iran could choose to raise the stakes by targeting

more substantive Western targets in Iraq, Lebanon or Syria, along with strategic locations in Israel and strikes on oil-producing regions or U.S. embassies in the region. Such a scenario could drag the U.S. into a full regional war.

Iran could also try to close the Strait of Hormuz—a transit chokepoint for a quarter of the world’s oil—by attacking ships or laying mines.

The goal would be to trigger an oil-supply crisis, a surge in prices and a drop in global stock markets in a bet that would pressure Persian Gulf nations and the U.S. to broker a diplomatic outcome. It is a

risky course that could instead lead to more U.S. attacks.

Iran could also pursue a middle ground where it focuses its response almost entirely on Israel, maintaining the current tit-for-tat fighting between the two.

The U.S. would be less likely to continue to fight Iran if the strikes are limited to Israel or only symbolically target U.S. assets. Trump halted a U.S. bombing campaign of Houthi-held Yemen in May that allowed the group to continue to strike Israel.

Such a scenario would see continued Israeli strikes on Iran and Iranian ballistic mis-

siles launched at Israel. Israel would have the upper hand militarily, but it could find itself unable to land a decisive blow, leading to an inconclusive end to the war.

Weakened but intact, the Iranian regime could work toward a nuclear weapon in secret. This scenario could buy time for events on the ground to change on their own. If a nuclear weapon is delayed by years, that could allow for events to outrun the threat.

Iran’s ability to respond is limited by the weakening of its axis of resistance, a group of allied militias around the region that have focused on attacking Israel.

Hamas, which launched the Oct. 7, 2023, attack that began the war in Gaza, is fighting for its life there. Iran’s most powerful ally, the Lebanese militia Hezbollah, is unable or unwilling to come to its defense. Other allies such as the Houthis have shown only limited ability to inflict damage on Israel, and they could face another U.S. bombing campaign if they were to target U.S. assets.

Israel’s campaign has wiped out Iran’s air defenses, giving the Israeli air force largely free rein in Iranian skies. Netanyahu said Israel has destroyed half of Iran’s missile launchers.

Iran can probably launch missiles at Israel for another month, said Sarit Zehavi, founder and president of Alma Research and Education Center, a think tank in Israel. The “worst case” scenario, Zehavi said, is “that Iran will not surrender and continue the war to exhaust us by launching a few missiles every day to prevent us returning to routine.”

Tech Mogul’s Sunken Superyacht Is Raised Off Sicily

By ALESSANDRO BOLDRINI

The wreck of the Bayesian, the luxury superyacht owned by the family of tech entrepreneur Mike Lynch, has been raised 10 months after it sank off Sicily, killing Lynch and six others.

The yacht was lifted out of the water by a specialized platform on Saturday after it was brought to the surface by U.K.-based TMC Marine. It is expected to take up to two days before the Bayesian is brought to shore, where it will be placed in a hangar for further investigation.

The Bayesian had been resting 161 feet down on the sea floor near the Sicilian port of Porticello. The sinking of the yacht in a sudden storm in August drew worldwide attention and triggered a criminal investigation.

The victims included Lynch’s teenage daughter, Hannah, Morgan Stanley International Chairman Jonathan Bloomer and his wife, Judy, the American lawyer Chris Morvillo and his wife, Neda, and onboard chef Recaldo Thomas.

Among the final and most delicate steps of the complex salvage operation was the cutting of the yacht’s 236-foot-high mast with a diamond-wire precision-cutting tool. Much of the dangerous recovery has relied on precision tools operated remotely.

Dutch diver Rob Cornelis Maria Huijben died following an explosion during an attempt to cut the yacht’s boom in May.

The 184-foot hull was lifted using several steel straps connected to one of the most powerful maritime lifting units in Europe—the Hebo Lift

10, a 5,695-gross-ton floating crane. The cost of recovering the Bayesian is estimated at around \$30 million.

On Sunday, the wreck will be transported to the port of Termini Imerese.

Once docked, the Bayesian will be lifted onto land on Monday by the Hebo Lift 10 and placed into a specially manufactured steel cradle positioned on the quay.

Investigators and experts will then carry out detailed inspections as part of an inquiry to determine the cause of the sinking.

Consultants representing three crew members who have been placed under investigation for possible manslaughter will also take part in the forensic examination. Prosecutors suspect a series of human errors led to the rapid capsizing of the vessel.



The Bayesian is moved after being lifted to the surface near the fishing town of Porticello, Sicily.

WORLD NEWS

Dictator Pardons Oil Workers Imprisoned in Equatorial Guinea

By MICHAEL M. PHILLIPS

Equatorial Guinea's dictator freed two South African oil workers that his regime had imprisoned for years in apparent retaliation for an unrelated legal dispute involving the ruling family's superyacht and vacation homes.

President Teodoro Obiang Nguema Mbasogo, in power in the tiny Central African country since 1979, included Frederik Potgieter, 55 years old, and Peter Huxham, 56, among 476 prisoners he pardoned for his birthday this month, according to a social-media message by the president's son.

The men, imprisoned for two years and four months, arrived home in South Africa on Saturday, the Pretoria government said.



Peter Huxham, top photo, and Frederik Potgieter were on break from shifts on offshore oil ships when they were arrested.

to carry his jet skis and other watercraft while he was partying on a second yacht. The ship was in port in South Africa for repairs at the time. The court also ordered the seizure of Nguema Obiang's two high-end villas in Cape Town.

The younger Obiang had previously been enmeshed in corruption scandals in Europe and the U.S. In one civil case, the U.S. Justice Department accused him of amassing a \$300 million fortune "through relentless embezzlement and extortion." Nguema Obiang

settled in 2014, surrendering a \$30 million Malibu mansion, a half-million-dollar Ferrari and a collection of Michael Jackson paraphernalia.

But he was incensed when the South African court seized the yacht and houses.

Two days later, police in Equatorial Guinea arrested Potgieter and Huxham, who were in Malabo on a break from shifts on offshore oil ships operated by Exxon Mobil and Chevron.

Their trial for alleged cocaine trafficking was a transparent sham. Prosecutors never even tried to prove the powder that police claimed to have found in the men's backpacks was, in fact, cocaine, according to court filings by the defense.

The court, however, sentenced each man to 12 years in prison and imposed more than \$5 million in fines.

A spokesman for Equatorial Guinea's embassy in Washington didn't return requests for comment on the pardons Saturday. Previously, the country's ambassador had denied that the arrests were connected to the South African court case.

The men's families conducted a publicity campaign to try to win their freedom. Their Dutch employer, SBM Offshore, pressed for their release, as did South African officials.

But there was very little visible progress until the president's birthday pardon list came out. A spokesperson for the families said they had no idea what led Obiang to relent.

Nguema Obiang, however, attributed the decision to his father's good nature. "Once again, His Excellency the President of the Republic has shown the world the values of humanity, solidarity and a sense of reconciliation that he embodies by pardoning two South African nations convicted of drug trafficking," Nguema Obiang said on social media.

WORLDWATCH

NIGERIA Deadly Mob Attack Leads to 22 Arrests

Police on Sunday arrested 22 suspects accused of a mob attack that left at least a dozen people dead two days ago in central Nigeria.

A passenger bus was mobbed in the Mangu area of the state of Plateau, according to police. The passengers were on their way to a wedding when the attack happened Friday night after they lost their way.

Police said 21 were rescued from the "angry mob," and that some passengers were killed, without providing further details. Nigeria's police, a federal authority, often provide lower death tolls than local authorities and witnesses. Amnesty International said 12 people were instantly killed and 11 others injured in the attack.

"Authorities must ensure that the actual persons behind the horrific attack are brought to justice," the rights group said Saturday.

Nigeria's north-central region has been plagued by increasing violence, driven by farmer-herder clashes and attacks on communities by armed gangs. At least 100 people were killed in a deadly gun attack on a village in neighboring Benue state about two weeks ago.

—Associated Press

SYRIA Assault in Church Kills at Least 19

A suicide bomber on Sunday opened fire, then detonated an explosive vest inside a Greek Orthodox church filled with people in Dweil'a, on the outskirts of Damascus, state media reported.

The Health Ministry put the toll at at least 22 dead and 63 wounded. The Britain-based Syrian Observatory for Human Rights said there were at least 19 killed and dozens wounded. The casualties included children, some local media reported.

The attack was the first of its kind in Syria in years, and comes as Damascus under its de facto Islamist rule is trying to win the support of minorities. As President Ahmad al-Sharaa struggles to exert authority across the country, there have been concerns about the presence of sleeper cells of extremist groups in the war-torn country.

"The security of places of worship is a red line," Interior Ministry spokesman Nouredine Al-Baba said. No group claimed responsibility Sunday.

Witnesses said the gunman, his face covered, entered and fired at the people. When a crowd charged at him, he detonated his explosives. One priest, though, said there was a second gunman.

—Associated Press



FLAT OUT: The finish line of Sunday's inaugural Copenhagen Sprint, a WorldTour race, with Belgian Jordi Meeus in front.



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FROM PAGE ONE

UFO Claim Lands Up At Test Lab

Continued from Page One

was hiding what it knew about a secret program to reverse-engineer fallen extraterrestrial spacecraft.

Along the way, Kirkpatrick's investigation brought him into contact with a growing collection of UFO true believers from the Pentagon.

They included men whose careers had taken them to unconventional places in the outer reaches of the American intelligence community, where they explored the potential uses of psychic powers and teleportation in warfare—not to mention werewolves. Alleged evidence to support the whistleblowers' theories appeared to vanish just as Kirkpatrick got close to it.

By the time Kirkpatrick's inquiry wrapped up—culminating in a report last year by the Defense Department that found allegations of a government coverup to be baseless—his witnesses saw him, too, as part of the vast UFO coverup.

In a statement, Pentagon spokeswoman Sue Gough, said the investigation “has not discovered any verifiable information to substantiate claims that any programs regarding the possession or reverse-engineering of extraterrestrial materials have existed in the past or exist currently” and “determined that claims involving specific people, known locations, technological tests, and documents” that say otherwise “are inaccurate.”

This account is based on interviews with two dozen current and former U.S. officials, scientists, and military contractors involved in the inquiry as well as thousands of pages of documents, emails, text messages and recordings.

Art's parts

In 1996, Art Bell, a late-night radio host whose program on the paranormal was one of the most popular in the country, received a mystery package in the mail. It contained metal fragments from an anonymous listener who wrote that their grandfather had collected them as part of a military crash-retrieval team at Roswell.

Roswell had long been a touchstone of UFO culture. In 1947, the Army announced it had recovered the remnants of a flying disc near a base there. Although the government eventually revealed it was really a U.S. spy balloon, there was no convincing many UFO buffs that the military wasn't harboring alien technology.

“They are metal, they are charred, very charred, on the outside, either a result of re-entry or entry into the atmosphere, and the resulting heat, or a crash. I would have no way of knowing,” Bell said on the show, before moving on to discuss sightings of a mythical creature known as the chupacabra, which is said to suck the blood of goats.

More than a decade later, two scientists who had worked with the Pentagon helped run a research program examining the possibilities of alien technology and explored “metamaterials,” a type of synthetic substance. The program published research speculating that metamaterials could bestow aircraft with exotic powers such as invisibility.

Could the Bell sample be proof of the concept?

A group founded by Tom DeLonge, a frontman for the pop-punk band Blink-182, thought so. The group, called To The Stars, bought the pieces of metal from a UFO researcher in 2019 for \$35,000 to test that possibility.

By then, To The Stars had assembled a collection of heavyweights including the two scientists and a former Pentagon official. The former official, Luis Elizondo, joined after quitting the Defense Department and going public with the claim that he had helped run a government UFO program.

One of the scientists, Hal Puthoff, became vice president for the group. The other, Eric Davis, who also became an adviser to the group, told the New York Times in 2020 that testing of the sample had revealed it was not of this Earth. “We couldn't make it ourselves,” he told the Times. (Davis would be a source of many of Kirkpatrick's



Top and above right, driving along the Extraterrestrial Highway in Nevada. Above left, bikers gathered for a parade during the 2025 UFO Fest in Oregon.

witness accounts.)

To The Stars made the case to the Army that replicating this material could unlock futuristic weapons systems. The Army soon signed an agreement to test the metal for potential antigravity and cloaking properties.

The safe

Elizondo had experience with some of the Pentagon's stranger programs.

The combat veteran and counterintelligence specialist had been involved in one \$22 million project, championed by the late Sen. Harry Reid, which hypothesized about technology that might be used by aliens. The program also investigated purported sightings of glowing orbs, interdimensional visitors, and two-legged wolf creatures that were allegedly occurring around a remote ranch in northeastern Utah. In 2017, he quit the Defense Department and said in a resignation letter that “inflexible mindsets” were causing the Pentagon to possibly ignore “an existential threat to our national security.”

It was Elizondo who provided one of Kirkpatrick's most tantalizing leads. Tattooed and buff like the bouncer he once was at a Miami sports bar, Elizondo told Kirkpatrick he was prepared to share with him what he knew of a secret government program that had collected extraterrestrial “biologics.” He said he had hard evidence of the UFO findings he had collected for the Pentagon—information he had declined to make public, citing national security.

Where can we find out more about this? Kirkpatrick asked. There's a safe in my old office that has all of the files on a hard drive, Elizondo replied. A former colleague at the Pentagon had just confirmed a few

A Startling Tidbit from a UFO Hunter

Eric Davis, an astrophysicist and To The Stars adviser, was a storied character in UFO lore. He had spent more than 20 years investigating ideas for the military most would consider unfathomable, including teleportation, antigravity devices and the possibility of interstellar space travel using wormholes.

For years, Davis, now 64, was part of a small group of defense experts who had claimed to know about a top-secret program at Lockheed's Skunk Works to hoard extraterrestrial technology that might one day

be converted into fearsome weapons. Their claims gained credence in part because of the siloed nature of the U.S. national security establishment, which can make it almost impossible even for insiders to determine the truth of some of the country's most secret programs.

Davis told Sean Kirkpatrick's team at the Defense Department that he knew about both a U.S. alien program and a similar one by Moscow—and that Central Intelligence Agency officials in the late 2000s had asked him to look into a crashed UFO decades ear-

lier in Russia. In Davis's telling, Moscow was said to be reverse-engineering a laser system harvested from the vessel.

The CIA told Kirkpatrick's team that it had no record of Davis being tasked with any such assignment. But investigators came across another startling tidbit: The information Davis had was of a real, covert Russian laser program.

Kirkpatrick's team determined the UFO part of the story was likely Russian misinformation designed to throw America off the trail—not unlike the Air Force's own myths about Area 51.

days ago the device was still there, he said.

Hours after hearing of Elizondo's evidence, agents from the Federal Bureau of Investigation and the Air Force's investigations unit cordoned the office and gathered with a drill to break open the safe. As they approached it, they realized the drawer wasn't actually locked. When they opened it, they found yet another surprise: It was empty.

A secret project

Kirkpatrick reached out to Elizondo's onetime boss in the office of the undersecretary of defense for intelligence, who also seemed to have little to share. The official said he had never heard about any alien project in their years of working together.

In the weeks before his October 2017 resignation, Elizondo sent a series of emails that he later used to support his story.

“I can't overstate how important I believe this portfolio is with respect to our collective National Security,” Elizondo wrote in one, asking for support for the unidentified project.

The former boss responded, “at some point I need to know what this actually ‘is.’” In another, sent 10 days before his departure, Elizondo attached a brief memo that referenced drone threats. The emails were later released by the Pentagon in response to public-records requests.

Elizondo told another supervisor after his resignation that he hadn't briefed him on the project because it was too secret and was directed by the Secretary of Defense himself.

In an email, Elizondo told the Journal he had informed the supervisor. He said that he sat with investigators for several hours and provided information on the U.S. government historical efforts on unidentified anomalous phenomena.

The Pentagon spokeswoman said Elizondo had no assigned responsibilities for the UFO program he had claimed to have worked on.

Meanwhile, Kirkpatrick's investigators continued on the trail of the metal. They discovered that the Army had sent it for possible replication to Lockheed Martin's Skunk Works—the same place a series of witnesses had said was trying to reverse-engineer alien craft.

The myth that the government had a secret program to exploit extraterrestrial technology seemed to have transformed into something close to reality.

Kirkpatrick's team procured the metal, and sent it for another round of testing to Oak Ridge National Laboratory, one of the Energy Department's premier research facilities. Scientists there determined that the alloy isn't from outer space and doesn't have antigravity properties. Kirkpatrick's team found it was probably from a



Sean Kirkpatrick, former head of a Pentagon team looking into UFO claims left, and former Pentagon official Luis Elizondo, right.

World War II-era manufacturing test of an aircraft part or an armament, such as a shell casing.

Lockheed declined to comment and referred questions to the Army.

Giant spacecraft

Kirkpatrick's relationship with the UFO community soon grew contentious.

In April 2023, Kirkpatrick gave lawmakers a public update: He'd “found no credible evidence thus far of extraterrestrial activity, off-world technology, or objects that defy the known laws of physics.”

A few months later, a former Air Force intelligence officer, David Grusch publicly claimed that the government had football-field-sized spacecraft and criticized Kirkpatrick. “He should be able to make the same investigative discoveries that I did,” Grusch said in a television interview.

After the claims, Kirkpatrick reached out to a friend of Grusch to see if he would talk. The friend said Grusch was reluctant because he believed Kirkpatrick himself might be subject to a criminal investigation of the alleged coverup. Instead Grusch went before Congress and the media, accusing the government of retaliating against whistleblowers in the ranks.

Grusch has since gone to work as an adviser to Rep. Eric Burlison (R, Mo.), a member of the House caucus on unidentified anomalous phenomena, or UAP, and in that capacity recently met with Kirkpatrick's successor on the investigation.

High security

Threats against Kirkpatrick began to escalate. Pentagon's security officials notified him that people were posting the addresses of him and family members on UFO internet forums. Several months earlier, a man had driven hundreds of miles to Kirkpatrick's rural mountaintop home and waited overnight before being shooed away by neighbors.

The Pentagon gave Kirkpatrick a level of security usually reserved for a few top officials, including the Secretary of Defense.

In November 2023, Kirkpatrick announced his retirement. In an essay in the Scientific American two months later, he wrote that the narrative provided by the former officials “is a textbook example of circular reporting, with each person relaying what they heard, but the information often ultimately being sourced to the same small group of individuals.”



CARRY ON
DAWN
GILBERTSON

The best place to eat at the Plaza Hotel and Casino is Oscar's Steakhouse, a local favorite downtown named for former mayor and mob defense attorney Oscar Goodman.

I didn't get to try the 40-ounce porterhouse or the \$128 Australian wagyu filet during a two-night stay this month. The red bracelet affixed to my wrist at check-in sadly didn't cover fine dining.

Everyone's looking for a travel deal in this summer of economic uncertainty and the Plaza has an eye-catcher: an all-inclusive package starting at \$125 per night per person.

You get a room, two meals a day, unlimited alcoholic beverages and a waived resort fee, itself a \$44 value. Vegas deals sizzle in the searing summer heat, but the only way to beat this deal is to stay and eat for free through gambling comps.

So I booked a two-night stay to see if the savings are worth the trade-offs, knowing I'd have plenty of Vegas fun either way. Spoiler alert: I loved the \$250 all-in vacation price tag, but a columnist can't live on chicken sandwiches alone.

The historic Plaza, on the grounds of an old Union Pacific Railroad station, is downtown across from the Fremont Street Experience, 7 miles from the center of the famed Las Vegas Strip. It's an old-school hotel where bingo is such a calling card it gets its own button on the in-room phone. And this is no package for foodies: The Plaza restaurants in the package are heavy on food-court fare.

Read fine print

Disappointment descended as soon as I checked in. The hotel's website says you can enjoy "mouthwatering bites" from four hotel outlets with the all-inclusive package: Hash House A Go Go, Fresh Mexican Grill, Pop Up Pizza and Coffee Bar.

What the website doesn't say: you can only pick from a few items at each place and those don't change day to day. This isn't the kind of all-you-can eat buffet Vegas is known for; you get two meal vouchers a day. The bad news is delivered on a sheet of paper handed out along with your red wristband at the front desk.

I sent the lineup—think fried-chicken sandwiches, burgers, pizza and breakfast sandwiches, to the family group chat. My sister, a bargain hunter and unfussy eater, cracked, "Looks like a giant kids menu!"

Cruises and all-inclusive resorts have plenty of exclusions and other fine print, of course.



A \$125 All-Inclusive Vegas Deal? You Get What You Pay For.

The Plaza's offer of free food and drink lured our columnist into a summer bargain



▲ Yes, the food and drinks are free. But the menu options are limited at each place and you can't BYOB to the fifth-floor pool.

Soda hasn't been free on major cruise lines for years. Fine-dining restaurants usually cost extra. Heck, there wasn't even cheese at the burger bar at an all-inclusive I stayed in for a night in the Dominican Republic.

But this seemed stingy. Turns out there was even more fine

print, at least at Hash House. Want lettuce and tomato on that "free" burger? That'll be \$1.99. I was charged \$1.49 for cheese and 99 cents for ghost pepper aioli for my (delicious) chicken sandwich.

I was determined to stick with the free stuff. So, in addition to Oscar's, no Hash House signature chicken and waffles or Pinkbox doughnuts for me. I got by, but none of the food will make any Instagram highlight reels, and I missed picking restaurants each day.

▲ The Plaza Hotel & Casino in downtown Las Vegas is offering an all-inclusive package this summer.

Bottoms up

The menu of free drinks in the all-inclusive package is typical: well drinks, select beer and house wine. Basically what you get for free when playing machines or table games. But you can only get the free package drinks from two casino bars, and one of them was closed frequently during my stay.

There was nothing stingy about my room or the hotel's service. I was able to check in early and I could have done cartwheels in my big 20th floor room with distant views of the Stratosphere and other hotels on the northern end of the Strip. (The hotel wasn't aware I was a reporter.)

There was a minifridge with two free bottles of water. The air conditioning was solid despite one of those older, bulky units. The walls are thin, though: I could hear the news and action movie from my neighbor's TV.

The fifth-floor pool is plenty hip, with contemporary artwork, cabanas and a food truck—if you can stand triple-digit temperatures. I called the pool desk to see if I could bring in a drink from one of the participating bars (the wristband identified me and others as all-inclusive guests) and

was told no outside beverages.

The signature pool drinks start at \$16. I passed.

I played bingo for a couple of hours, which at \$39 including two free drinks was cheaper than sliding bills into a slot machine or onto a blackjack table. Though I did both of the latter and had better luck than I've had on the Strip.

Linda and Fred Wade live in Old Orchard Beach, Maine, and heard about the all-inclusive deal from a Las Vegas influencer on YouTube. They immediately switched their four-night Plaza reservation to that option to save money.

"We're like the cheapest people in the world," Linda says.

They visited recently to celebrate Linda's retirement from nursing. They were surprised by the limited menu choices and burger upcharges, paying \$15 to jazz up two patties one night. Still, they visit Vegas every year and say they would return for the all-inclusive deal.

So would the Philadelphia Phillies fan I ran into one morning on his way to breakfast (not the free one). "You can deal with a couple menu items for a couple days (and) you're getting all the drinks," he says.

If you're "real bougie," he added, "then you probably don't like it."

I'll try not to take that personally, but I'll be back to the Strip on my next visit.

How 'Trump Accounts' Compare to Other Plans

By DALVIN BROWN

There is a new type of investment account for children in the big tax-and-spending bill, but it has strings attached.

These so-called Trump Accounts, which for the next few years would be automatically funded with \$1,000, are part of the bill that the Senate Finance Committee introduced this month.

The free \$1,000 might be nice, but the accounts themselves offer fewer tax advantages and lower caps on contributions than 529 accounts. They also have more limited investment choices than custodial brokerage accounts.

How they work

The accounts would launch in 2026 for any U.S. citizen under age 8. Children born between 2025 and 2028 would get the \$1,000, provided both parents have work-eligible Social Security numbers.

Parents and relatives could contribute up to \$5,000 annually in after-tax dollars until the child turns 18, a limit that would increase annually with inflation. The funds

must be invested in a diversified index fund tracking U.S. equities, with the Treasury Department overseeing the program and banks or other financial institutions managing administration.

If parents don't open an account by the time they claim their child on a tax return, the Treasury will create one automatically.

Withdrawals could begin at age 18, when account holders may access up to half their balance for higher education, job training, small-business expenses or a first-time home purchase. Qualified withdrawals are taxed as long-term capital gains. Use the money for anything else, and it is taxed as ordinary income, generally a higher tax rate than long-term capital gains, with a 10% penalty.

At age 25, the full balance would become available for those same purposes. Trump Account funds must be used by age 31, or they are taxed as ordinary income.

If a child receives the \$1,000 seed at birth and no additional contributions are made, the balance could grow to roughly \$3,380 by age 18, assuming a 7% annual return, says Catherine Valega, a Boston-area certified financial planner.

If parents contribute the maximum \$5,000 each year from birth through age 17, a total of 18 years, the account could reach about \$170,000.

How they compare

Trump Accounts are like a mix of Roth IRAs, 529s and brokerage



accounts, but with more strings attached.

They are funded with after-tax dollars, like Roth IRAs. But investment gains are taxed at withdrawal—typically at capital-gains rates for qualified uses, or as ordinary income plus a penalty for everything else.

They are designed primarily for specific uses, much like 529 plans. But because the investment options are restricted to equities, it could be harder to scale down the risk as a child gets closer to, say, using the money for college. 529s typically offer age-based portfolios that shift from stocks to bonds as children grow older.

▲ The Senate Finance Committee's version of the big tax-and-spending bill included the proposal for the Trump Accounts.

Custodial brokerage accounts offer more investment options, letting parents buy individual stocks, exchange-traded funds or other assets.

Unlike 529 plans, Trump Account contributions wouldn't qualify for a state tax deduction, even in states that offer one for 529s.

Parents can contribute up to \$5,000 a year, but unlike with 529 plans, they can't front-load five years worth of contributions. With a 529, individuals can contribute up

to \$95,000, or \$190,000 for married couples, this year without triggering the gift tax.

Unlike 529s, Trump Accounts don't allow parents to transfer funds to another beneficiary if one child doesn't use the money. With a 529, parents can now roll up to \$35,000 into a Roth IRA for the same beneficiary, as long as the 529 account has been open for at least 15 years and the beneficiary has earned income in the year of the rollover.

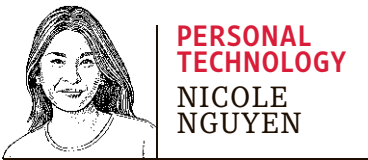
The Trump factor

The accounts were originally branded MAGA Accounts, short for "money accounts for growth and advancement," but House Republicans later amended the bill, renaming them Trump Accounts.

Financial planners say the political association could influence participation rates.

Even some Trump voters are uneasy about the branding. Stephen Kneubuehl, a 38-year-old tech entrepreneur in Denver who said he voted for Trump, supports the idea of early savings.

But he takes issue with the Trump-branded name. "It's not his money being given out," Kneubuehl said. "It's the American people's money. I'd rather it have a more generic, optimistic name."



PERSONAL
TECHNOLOGY
NICOLE
NGUYEN

These aren't just any specs. They're eyeglasses with hearing aids built in, designed for people with mild to moderate hearing loss. Look closely and you'll see tiny speakers in the arms and microphones around the front. The \$1,200 Nuance Audio frames, which launched in the U.S. in April, join Apple's AirPods Pro 2 as an auditory option for people who don't want traditional hearing aids. Some find hearing aids uncomfortable, or even stigmatizing. In this eyewear, made by Ray-Ban parent EssilorLuxottica, the tech is practically invisible. But how do they sound? When I put them on, the murmur of the coffee shop became a roar in my ear. I don't have hearing loss, so I sent the glasses—complete with prescription corrective lenses—to two people who could fully test them: Beth Yauman, my friend's mom, and Peter Rothman, my editor's father. While they have different hearing issues, they both miss parts of conversations in noisy surroundings. Their takeaway? The Nuance Audio glasses can upgrade your hearing *and* your vision—once you get the hang of using them.

A challenge

While millions of Americans have mild to moderate hearing loss, few wear aids. Barriers include price, audiologist appointments, social stigma, discomfort and, yes, over-the-ear competition with eyeglasses. Loss of hearing can lead to social isolation and cognitive decline, say doctors, so the more solutions, the better. And many affordable nonprescription options missed the mark.

The Nuance Audio glasses address those issues, at a price that's on par with regular aids. Prescription lenses cost extra. A hearing test online can determine whether you're a good candidate for this over-the-counter option, and many LensCrafters, Pearle Vision and Target Optical locations are selling them, with free tryouts. (If you have sudden hearing loss, you should see a doctor regardless.) Yauman needs prescription eyewear and hearing aids, so these frames seemed like a good solution. Last year, she tried the AirPods Pro 2's hearing-aid feature, but settled on hearing aids with longer battery life. Then her dog Buddy ate the \$1,700 pair—a common occurrence, say audiologists. I set up the Nuance Audio with

► Peter Rothman, age 81, second from right, sets the Nuance's audio mode to 'frontal' in noisy restaurants to amplify the speaker in front of him.

Eyeglasses With Built-In Hearing Aids Sound Promising

Nuance Audio is an option for people with mild or moderate hearing loss who resist traditional aids



Yauman, a former child psychologist who admits she's not a techie. "I felt overwhelmed when I picked them up," said the 75-year-old Rossmoor, Calif., resident. The glasses connect wirelessly to a mobile app where you can tweak volume and choose from four presets that amplify different



► Beth Yauman, age 75, said she's not a techie and was initially overwhelmed by Nuance Audio, which can be controlled with a mobile app.

Yauman, who has memory loss from a stroke, found the glasses integrated well without her having to adjust her daily routine. She charges them on a wireless pad next to her bed, though nailing the orientation (top down) was a little tricky. And Buddy didn't want to snack on them. The lightweight Nuance Audio frames have open-ear speakers, rather than bone conduction like some prescription aid/glasses combos. Standing a few feet from Yauman, I couldn't hear audio from the speakers. She said they sounded a little more "echoey" than her traditional hearing aids. But my speaking voice was "clear and smooth" with her preferred frequency settings.

Ideal for the tech-savvy

The Nuance Audio glasses come in two frame styles, square and round, available in black or burgundy. Yauman wished there were more options, but Rothman, an 81-year-old retired doctor based in Fort Wayne, Ind., was happy with the Wayfarer-style look. (The company says more styles are in the works.) Rothman prefers a setting that boosts higher frequencies, to combat tinnitus and hearing loss. Without the glasses, he said, "if I'm sitting in the kitchen and the dishwasher is on, I can't hear my wife." He has never worn traditional hearing aids. Rothman tried AirPods Pros, but he worried they would fall out (and that he might look rude wearing them while so-

cializing). A birth injury to his left ear canal makes any in-ear gear challenging. The glasses are "far superior" to the AirPods, he said. Rothman is comfortable with technology. During dinner conversations, he often has his phone under the table to adjust the volume and audio direction. "I can subtly shift it without people noticing," he said. The Nuance Audio's sound is "very natural, except at high volumes," he said. When loud noises become harsh and tinny, Rothman turns the volume down. At a recent family gathering with nine adults and six kids, he could easily tune into conversations. "It was much more pleasant and relaxing than the Easter party, when I forgot to bring my glasses," he said. The glasses can last eight hours on a single charge, while many traditional hearing aids can last days. Yauman rarely removes her glasses, so the battery runs out by the end of the day. Rothman only turns on hearing assistance while he's out and about, so the battery doesn't run down. While they connect to the app via Bluetooth, the glasses can't be used to stream music, like AirPods or some hearing aids. These hearing glasses are great for gadget-minded people who don't need deeply personalized auditory controls. I am wary of one thing we couldn't test: the lifespan. After 2½ years, the battery life will degrade to about 80% of its original capacity and can't be replaced, the company says. While many lithium-ion battery hearing aids are in a similar situation, others with coin-cell batteries can last up to six years. That is, if your dog doesn't eat them first.



Cyber Cops Divide Over Hacker Names

Continued from Page One Care Bears." Because of a quirk of the cybersecurity industry, the world's most dangerous hackers are getting increasingly cartoonish code names. Laundry Bear joined a team of supervillains that also included Vengeful Kitten, Lucky Mouse and Chatty Spider. While some security chiefs have come to embrace the taxonomy—saying dorky names are easier to remember than random numbers and letters—others have had enough. They say the practice minimizes and even undermines their work. Try convincing a group of corporate bigwigs of the real-world dangers posed by Charming Kitten or Vixen Panda. "If the actor's name is Gingersnap, most board members aren't going to find that group terribly nefarious," said Ferhat Dikbiyik, chief research and intelligence officer at Black Kite, a Boston-based cybersecurity firm. Cuddly monikers have proliferated because competing security services identify and name cybercriminals independently, so many attackers

end up with multiple public identities. The cluttered landscape has created incentives for firms to come up with ever more attention-grabbing monikers, at least some of which are meant to double as a form of marketing, industry experts say. In an online post last week, two former leaders of government cybersecurity agencies in the U.S. and U.K. called on the industry to stop "naming these groups in ways that mystify, glamorize or sanitize their nefarious activities." Adam Meyers, senior vice president of counter adversary operations at CrowdStrike, said memorable attack names play a crucial role in delineating different cybercriminals' techniques and strategies. Focusing too much on their silliness misses the point, he said. Meyers takes credit for coining "Fancy Bear" for a Russian-linked cyberattack after a morning run listening to Iggy Azalea's song "Fancy." He said he initially pitched "Iggy Bear" and thought better of it. "Names matter," said Vasu Jakkal, corporate vice president of Microsoft Security. "They help defenders de-

code the threat landscape and act fast," Jakkal said, adding that Microsoft's threat actor taxonomy is shaped by 84 trillion daily signals. Microsoft and CrowdStrike, two of the industry's biggest threat detectors, earlier this month released a cross-referencing guide linking different industry names for the same hackers. According to the guide, Crimson Sandstorm, a hacking group Microsoft links to Iran, is also known as Curium, Imperial Kitten, Tortoise Shell, Houseblend, and TA456. Likewise, the China-linked Heart Typhoon group also does business as Helium, Aurora Panda, APT-17, Hidden Lynx, Red Typhoon, Koas, SportsFans, DeputyDog and Tailgater. "I would never mention those names with executives or in a board meeting," said Rinki Sethi, who has held top cyber roles at Twitter, Walmart, eBay and payments company BILL, among others. "I would talk about what it is or what it does instead," she said. Heath Renfrow, chief information security officer and co-founder at Fenix24, a cyber disaster recovery service, said he's seen firsthand how

fanciful hacker names have derailed efforts to communicate the gravity of a threat to executives or corporate boards during a crisis. During a "high-severity" ransomware attack last year, Renfrow said, he briefed directors on an attacker known as Velvet Ant. A board member laughed and asked if the company was being attacked by a fragrance or an insect, he said: "We had to spend extra time refocusing the conversation." The stakes are high. Data breaches and ransomware attacks—in which hackers demand huge sums to return or unlock a company's data—can cost millions of dollars, cause irreparable damage to a brand and trigger class action lawsuits. Worse, nation-state attackers can cause life-threatening disruptions to hospitals, transportation hubs, ports and other systems. "Names like Vengeful Kitten or Laundry Bear don't reflect the reality of fighting organized, sophisticated adversaries who are causing significant financial loss, disruption and even psychological harm to victims," said Luigi Lenguito, chief executive at cybersecurity firm BforeAI. Lenguito said he would "strongly prefer" more sober, technical or professional designations like Storm-0216 or Dev-0322. Trey Ford, chief information security officer at Bugcrowd, a San Francisco-based cybersecurity firm, said action-figure names put "miscreants and well-funded adversaries on a pedestal."

Some say it doesn't help that CrowdStrike sells adversary figurines on its website—including a sinister-looking figure named Scattered Spider, a hacking group that has wreaked havoc on the Las Vegas Strip. (CrowdStrike says proceeds from the figurines are donated to charity.) At a private industry party last year, Microsoft served cocktails named after threat actors, including a Sangria Tempest and a Mint Sandstorm, according to attendees. But not all security chiefs are ready to abandon whimsical hacker names. "I'm in favor of the fun names," said angel investor Timothy Youngblood, a former chief information security officer at Dell, Kimberly Clark, McDonald's and T-Mobile. Once an attack pattern is recognized and linked to a colorfully named threat actor, responders know how the attacker operates, said Youngblood, currently CISO-in-residence at Astrix Security: "The quirky names do help people remember who they are dealing with," he said. Chad Cragle, chief information security officer at cyber platform Deepwatch, agrees, saying goofy names are memorable and can actually help deal with an attack. "If a name like 'Strawberry Tempest' sticks in the minds of my team and instantly brings up known tactics, techniques and procedures, or past incidents, that's a win," Cragle said. "Sometimes the absurdity makes it more effective."



Hackers are getting increasingly cartoonish code names—like Laundry Bear, Vengeful Kitten and Chatty Spider.

FROM TOP: ELENA SCOTTI/WSJ, NUANCE AUDIO; BETH YAUMAN (2); PETER ROTHMAN

CAM FLOUCK/WSJ

ARTS IN REVIEW

ART REVIEW

By MARY TOMPKINS LEWIS

Currently ensconced in the Frick Collection's new Ronald S. Lauder Exhibition Galleries, "Vermeer's Love Letters" is an intimate installation of three staggeringly beautiful works by the Dutch artist Johannes Vermeer (1632-75), and the first loan show to be presented in the recently restored museum, which reopened on April 17. Organized by guest curator Robert Fucci from the University of Amsterdam, it heralds the magnificent possibilities the Frick's reconfigured spaces allow.

A large text panel at the show's entry introduces us to the beguiling, epistolary theme that captured Vermeer's imagination. Among some three-dozen surviving paintings that can be securely attributed to him, six offer variations of the subject. In each, an impeccably attired young woman, pictured in a richly appointed interior, reads, writes or receives letters, which, as telling details imply, are likely missives exchanged with—or intended for—an amorous admirer. The three works on view, which date to Vermeer's late career, also include depictions of maid-servants, who figure in their formal compositions and enigmatic narratives. Splendidly installed in a single gallery, the paintings invite us to unravel their hidden stories and revel in their incomparable artistic mastery.

"The Love Letter" (c. 1669-70, the Rijksmuseum, Amsterdam), the smallest canvas in the exhibition at about 17 by 15 inches, allows the viewer a furtive glimpse into the serenely ordered, cloistered domain of women so perfectly chronicled in Vermeer's art. A diamond-patterned path of black and veined white marble tiles traces its deep, perspectival space, which is framed by a soil-stained wall at left, a black broom propped up at right, and a theatrical, tapestried curtain above. Espied through a darkened passageway that leads to a brilliantly illuminated chamber beyond, its seated protagonist—whose large pearl earring (probably glass) glimmers at the exact center of the composition—has paused

These gorgeous, naturalistic works are rich with unspoken drama.

while playing a cittern, a stringed instrument popular in Vermeer's day. She tentatively accepts a small note from her maid, who seems to have acted as intermediary with an unseen suitor as was the custom in polite Dutch society. Glancing quizzically toward her presumed confidante, the young woman appears uncertain as to its contents, while the servant, identified by her trademark blue apron, smiles reassuringly—her lips slightly parted as if speaking about the message she has just delivered.

As in many of Vermeer's works (and those of his contemporaries) depicting women engaged in musical pursuits, "The

Love Letter" may explore the theme of music making as a metaphor for courtship, and the hopes of a future harmony or "duet," a prospect seemingly promised by the tranquil seascape that hangs on the back wall. Such pictures-within-pictures, conceived as puzzles for the viewer, figure frequently in Vermeer's work, and add layers of ambiguity and narrative intrigue to their decorous subjects. In works such as

this, they underscore the intimacy of a world we can experience only at a remove.

The Frick Collection's larger "Mistress and Maid" (c. 1664-67) allows us to more closely engage with its subjects. A painted green

'The Love Letter' (c. 1669-70), below; 'Woman Writing a Letter With Her Maid' (c. 1670-72), right.

The Frick Collection highlights the artist's paintings of epistolary romance

Forever Yours, Johannes Vermeer



'Mistress and Maid' (c. 1664-67), above, is one of three paintings by Vermeer in the exhibition.

curtain once covered the composition's rear wall but has darkened over time, so that the highly expressive, almost life-size figures seem to exist in a shallow,

stage-like space. Vermeer's elegant young woman, garbed in the lemon yellow, fur-trimmed mantle he would also depict in the Rijksmuseum canvas, offers a breathtaking study in feminine reticence and timidity, her lost profile shielding her private emotions from the viewer and her ever-so-delicate pose capturing

her pensive demeanor. The painter's unusually soft brushwork here seems marvelously attuned to his image, while also revealing his fascination with scintillating optical effects. The tiny speck of light on the maid's open lips, the blurred circle of white dots of pigment that stands in for a pearl necklace, the reflection of the room's luminous windows in the shiny silver inkpots—all are virtuoso touches not to be missed as one falls under the spell of Vermeer's unique brand of naturalism that would captivate such 19th-century artists as Edouard Manet, Paul Cezanne and a fellow Dutchman, Vincent van Gogh. Unlike many of his peers, who depended upon a wealth of meticulously rendered details in their works, Vermeer employed a pictorial vocabulary that involved a complex array of effects and approaches, rendering astonishing, and highly original, illusions of reality. "Mistress and Maid"—the third Vermeer canvas to be acquired by the museum's founder, the industrialist and financier Henry Clay Frick (two others hang near the museum's grand staircase), and the last work of art he purchased—is the peerless centerpiece of the show.

"Woman Writing a Letter With Her Maid" (c. 1670-72, National Gallery of Ireland, Dublin) takes a different tack, portraying its subject energetically engaged in writing as her maid-servant patiently gazes out a light-filled, mullioned window. A curiously crumpled paper cover, a broken red seal, and a stick of sealing wax on the floor point to haste and an underlying story, but we are left to fill in the blanks. Painted only shortly before he died in penury at age 43, Vermeer's last essay on this endlessly appealing theme would be used by his wife, Catharina Bolnes—with whom he shared 11 children—to settle a bill with a local baker. In this splendid show, it offers not only an escape from the times we live in, but food for more serious thought.

Vermeer's Love Letters
The Frick Collection, through Aug. 31

Ms. Lewis, who taught art history for many years at Trinity College, writes about art for the Journal and other publications.



SPORTS

The Thunder Roll to the NBA Title

Oklahoma City didn’t just win a championship on Sunday. It served notice that basketball’s newest dynasty has arrived.

By ROBERT O’CONNELL

Oklahoma City

All season long, the Oklahoma City Thunder had been the NBA’s most dominant team—one that specialized in blowouts and the total elimination of suspense.

When it came to finishing the job and winning the city’s first ever championship, though, the Thunder still needed to survive one of the most nerve-racking challenges in sports: a Game 7 in the NBA Finals.

But just as it has with every other test this season has thrown up, the Thunder passed with flying colors. In front of a feverish home crowd on Sunday night, Oklahoma City beat the Indiana Pacers 103-91, to secure the franchise’s first title since it relocated from Seattle in 2008.

But the most frightening thing for the rest of the NBA isn’t the records this young Thunder team set in the regular season or the championship it just claimed.

It’s that the Thunder are just getting started.

Not only is Oklahoma City the youngest team in the NBA—and the league’s youngest champion in more than four decades—it also has an embarrassment of future draft picks on the way. Those will add to an already dazzling stockpile of superstars who haven’t even reached their prime.

All of which means that the scariest team in basketball could shortly get a whole lot scarier.

“We deserve this,” said Thunder point guard Shai Gilgeous-Alexander, the league’s MVP and leading scorer. “There’s so much more room to grow.”

That may be hard to imagine for the Pacers, who lost their superstar point guard Tyrese Haliburton in the first quarter, and then watched the Thunder run away from them in the final two quarters. What had been a 1-point lead at the half turned into a 12-point deficit at the buzzer. Gilgeous-Alexander, finished the game with 29 points. Jalen Williams, his co-star, scored 20.



Shai Gilgeous-Alexander launches a shot during a 29-point outing that helped turn Game 7 the Thunder’s way.

There was no denying that the Haliburton injury changed the game dramatically. He had entered Game 7 nursing a calf injury, before collapsing to the hardwood midway barely seven minutes in. He was done for the night—and so, too, were Indiana’s best chances for a championship. Haliburton’s father John later told

ESPN that his son had sustained an Achilles injury.

Without their leader, the Pacers hung tough but couldn’t match the Thunder’s firepower. Three straight 3-pointers early in the second half stretched out a nine-point Oklahoma City lead. Time and again, the hard-pressing Thunder defense ripped the ball

away from the Pacers and sprinted the length of the floor for layups.

“We had 24 minutes to go get it. Twenty-four minutes to finish our season,” Gilgeous-Alexander said. “It was either gonna be that or it wasn’t gonna be pretty. We did everything we could.”

For the Thunder, the victory set off a long-awaited celebration.

Since the Seattle SuperSonics relocated to Oklahoma City and changed their name in 2008, fans in one of the NBA’s smallest markets have loyally backed the team.

The Thunder had made it to the brink of a championship before, led at that time by Kevin Durant and Russell Westbrook, but lost in the 2012 Finals to LeBron James and the Miami Heat. (Even the Sonics had only managed a single title in their entire history, dating back to 1967.)

Though they were pushed to the limit by the Pacers in a seven-game series, the Thunder are now set up as a dynasty in the making. At a time when generational icons such as James and Stephen Curry are starting to age out of relevance, Oklahoma City general manager Sam Presti has built basketball’s greatest youth movement in the heartland.

A single trade, in 2019, brought Gilgeous-Alexander to the Thunder, as well as a haul of five first-round draft picks; one of which turned into Williams. Those two All-Stars are just 26 and 24 years old, and the youth of the rest of the roster—the oldest player on the entire team is 31—means that Oklahoma City can play a frenetic, hard-pressing defensive style that puts the clamps on even the highest-flying offenses.

The Pacers learned how effective that can be the hard way. A team that had blitzed through the season scoring 117.4 points per game was held 26 below its average.

Presti isn’t out of moves to make. Nikola Topic, last year’s first-round pick, is due back after missing the entire season with a torn ACL. And Oklahoma City has a whopping 13 first-round picks over the next seven drafts, giving them the ultimate flexibility to maintain their roster with young players or package those assets in the trade market.

For a city that waited a lifetime to celebrate a championship, Sunday might not just be the end of a long journey. It might be the beginning of a new annual tradition.

The WSJ Daily Crossword | Edited by Mike Shenk

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- 44 Family
nickname
- 45 Cruel sort
- 46 First-rate
- 50 Any of nine
in a Social
Security
number
- 52 Usher’s place
- 55 Social taboo
- 56 Understands
- 57 Russia’s ___
Mountains
- 61 Start for
angle or cycle
- 62 Brief time,
briefly

MOVING PARTS | By Azriel Wasser

- Across
- 1 Neckwear
named for
a British
racecourse
- 6 Attire
- 11 Record label
that signed
Elvis
- 14 Opera great
Callas
- 15 Increase the
speed of, as
an engine
- 16 Dawn goddess
- 17 Peaceful
episode
- 18 Major
appliance
brand
- 19 Abbr.
preceding
Paul’s,
Smith’s and
Butterworth’s
- 20 Rock
stretching
its legs?
- 23 Bread with
a pocket
- 25 Luthor of
Metropolis
- 26 Expert
- 27 Seyfried of
“Mamma
Mia!”
- 29 Sixth sense,
for short
- 32 Pants part
that branches out
for a stroll?
- 33 Balloon fill
- 36 Everybody
- 37 Traffic signals
out for a jog?
- 45 Inverness
resident
- 47 Wildebeest
- 48 Mississippi
city on the
Gulf
- 49 “That’s ___ off
my mind”
- 51 Nineteenth
Greek letter
- 53 Makes a
choice
- 54 User manual
diagram
racing for the
finish line?
- 58 “Was ___ los?”
 (“What’s up?”
in German)
- 59 Attendees, in
combinations
- 60 Fissures
- 63 About-face
from NNW
- 64 Spy’s
gathering,
for short
- 65 Prior to,
quaintly
- 66 Black goo
- 67 “I’d like ___
you try!”
- 68 Words from
a song
- 10 Involuntary
twitch
- 11 Takes out
- 12 Transparent
layer of the
eye
- 13 Agreement
- 21 Smoothing,
in a wood
shop
- 22 Chore
- 23 Pussy foot
- 24 “___ Believer”
(hit for the
Monkees)

Down

- 1 Pal in Paris
- 2 Feeling low
- 3 Piece of
quartz
- 4 Furnace
feeder
- 5 Story
- 6 Hang loosely
- 7 Some dance
records
- 8 Mobley of the
Cleveland
Cavaliers
- 9 Like anthems
and arias

Previous Puzzle’s Solution

A	P	O	P	I	C	B	M	S	A
R	O	G	E	T	G	R	E	A	T
M	E	L	E	E	L	I	E	D	A
S	T	E	R	N	M	O	S	T	T
S	T	O	O	P	S	S	U	N	
S	H	A	P	E	S	G	E	M	I
A	C	U	T	E	B	E	E	N	O
R	O	M	G	U	T	B	O	M	B
I	R	I	S	S	A	C	E	R	I
A	N	D	T	H	E	N	R	A	D
A	I	D	Y	A	C	H	T		
S	W	I	N	G	T	A	G	T	E
K	I	N	D	H	E	A	R	T	A
A	D	O	C	A	N	D	O		
T	I	E	N	R	A	S	P	T	Y

The contest answer is **ANGST**. Each of the theme answers begins with a word that is also a word in German (LIED is German for “song,” STERN is “star,” GUT is “good,” TAG is “day” and KIND is “child”). Those English words appear at the ends of the clues for **ARIA**, **NOVA**, **GREAT**, **SUN** and **TYKE** respectively. The first letters of those answers spell the contest answer.

Are College Baseball Players Now Hitting the Ball Too Hard?

By JARED DIAMOND
AND TOM MCGINTY

Brock Ungricht, the University of San Diego’s head baseball coach, has spent virtually his entire adult life around the college game. So it’s fair to say that he’s intimately familiar with the *ping* that an aluminum bat makes when it connects with a ball.

But not even Ungricht was prepared for what he heard from the dugout last month. In the first inning of a game against Loyola Marymount, first baseman Jack Gurevitch launched a home run into right field that shot through the air with more force than Ungricht had ever seen.

“It’s like when you’re up close to a fireworks,” Ungricht says. “It was like a rocket coming out on the Fourth of July.”

He would later learn just how hard Gurevitch had hit it: 116.8 mph—an exit velocity usually limited to the likes of Aaron Judge and Shohei Ohtani.

But the remarkable thing about Gurevitch’s hitting speed is that it was no fluke. That same night, he also smacked a single that was measured at 116.1 mph.

To put that in context, only one major-league player has hit two balls at 116 mph in the same game this season: Pittsburgh Pirates outfielder Oneil Cruz. The difference is that Cruz has the highest average exit velocity in MLB. While Gurevitch is a college junior on a sub-.500 team who is ranked as the 139th best draft prospect in the country.

Which is why, as LSU and Coastal Carolina squared off in the title round of the College World Series this weekend, there was a pressing question that went beyond which school would emerge as national champion:

Are college players now hitting the ball too hard?

Heading into last week’s College World Series, The



College baseball players are hitting the ball at elite speeds.

Wall Street Journal identified 166 Division I games this season where batted ball data was publicly available. In that sample, there were 14 balls hit at 115 mph or above by 11 different players. By contrast, there are eight MLB teams that haven’t hit a single ball that hard all season.

Back in February, Alabama State outfielder Isaiah Landry hit a ball at 122.4 mph. Only one ball has ever been hit harder in MLB since the league’s Statcast technology went online in 2015. Xavier’s Clay Burdette hit balls at 118.1 and 117 mph in the span of a few days earlier this season. His coach, Billy O’Conner, said, “I have never seen a baseball hit that hard before.”

All told, 1.2 out of every 1,000 batted balls in MLB have been hit at 115 mph or harder, compared with 1.7 in the Journal’s sample. That means that you were 42% more likely to see that kind of exit velocity from an amateur than a major leaguer.

“I do get concerned about safety with pitchers or with infielders or with fans,” said O’Conner, the chair of college baseball’s rules committee. “There is real inherent danger, and that’s not, ‘Aw, man, I got a bruise.’ That’s potentially life-changing.”

The reasons for the surge in exit velocity aren’t entirely clear. Offense in college baseball soared in the early part

of this century, prompting the NCAA in 2011 to establish a new standard to ensure metal bats performed more like wooden ones. Scoring plummeted from 6.98 runs per game in 2010 to 5.08 runs in 2014.

The NCAA responded by adjusting the equipment again, this time flattening the seams on the ball to reduce drag. By 2019, runs per game were back to 5.85.

But that doesn’t explain the exit velocity spike, said Lloyd Smith, a professor in the School of Mechanical and Materials Engineering at Washington State University. He runs the lab that tests bats and balls for MLB and the NCAA and said that while flatter seams make the ball go farther, they should not change exit velocity.

“I would claim that bat performance hasn’t changed,” Smith said. “My testing of the ball indicates it hasn’t changed.”

Ben Brownlee, the NCAA’s associate director of officiating, said there “is not an overwhelming concern that now there’s too much offense in baseball.” Still, schools report anecdotally that players are hitting the ball harder than ever.

As a result, Brownlee said, “We need to work with our lab, as well as with manufacturers...to understand what we want to do as college baseball.”

OPINION

Trump’s Golden-Share Mistake



INSIDE VIEW
By Andy Kessler

Last week brought us the Golden Share. No, that isn’t a James Bond movie, or a detail from the Steele dossier, although the plot is as sinister. It’s the Trump administration’s first step to nationalize the steel industry.

In exchange for approval of Nippon Steel’s merger with U.S. Steel, the government receives a single preferred share, which includes voting rights and all sorts of control over U.S. Steel’s ability to close factories, invest capital and relocate jobs outside the U.S. This “Golden Share” is a bad idea. Nationalization is a fool’s errand, a slippery slope to fascism’s “government controlling the means of production.” Don’t do it.

President Harry S. Truman tried to nationalize the steel industry in 1952. The Supreme Court ruled against it. President John F. Kennedy wrote a strong letter to a dozen steel companies in 1961 telling them not to raise prices because “the clear call of national interest must be heeded.” Some raised prices anyway and later reduced them under pressure from Kennedy. Thus began the long, steady decline of steel in the U.S. that we’re still trying to arrest.

Now that we’re in the steel-cage driver’s seat, will regulators institute price controls to protect the golden

share? Tariffs are already an attempt at price manipulation. Where does it end?

Other examples have been less than stellar. After Penn Central’s collapse in 1970, Congress created the National Railroad Passenger Corp., better known as Amtrak, to run intercity passenger trains—nationalizing much of Penn’s key infrastructure. It has been a sinkhole for capital and an embarrassment. We’ve nationalized banks (Continental Illinois), coal mines and quasi-government agencies (Fannie and Freddie are still government-owned 17 years later). But the concept is mostly foreign—think Venezuela and its nationalized oil company, *Petróleos de Venezuela S.A.*, a total disaster. This expression sums it up: “Governments don’t pick winners and losers, they consistently pick losers.”

Nationalization is against the American capitalist spirit which thrives on competition. Why? Because profit motives go away and inevitable price controls lead to stagnation.

We have too many industries on the nationalization spectrum, owned effectively by regulators rather than formally by the government. But they are still controlled in various ways: airlines, autos, banks, healthcare and energy. Is the Federal Reserve’s owning Treasury securities and monetizing the federal debt to control interest rates a form of nationalization? Smells like it.

Under the Biden administration, the Chips Act provided money to build domestic semiconductor fabrication

plants. It was larded with all sorts of stipulations, including daycare requirements. This is the kind of meddling that kills industries.

When companies fail, my worry is that the golden-share concept will be used as precedent to do all sorts of zany things. If Intel loses money for a few more quarters, will the Trump administration nationalize the company in the name of national defense? It could. Will OpenAI, which loses money hand over fist, be on the government’s takeover radar? Implausible, but it fits the description in the America First Investment Policy laid out in a February presidential memorandum, as “critical to our national and economic security.”

Power-hungry types pretend this is all in the country’s best interest. Remember when President Barack Obama said, “What I have no interest in doing is running GM.” Maybe not, but he did want to hand 17.5% of it to the United Auto Workers. And Mr. Obama practically gave Chrysler away to Fiat in exchange for pushing what one Fiat specialist called “the Obama car,” the ugly, eco-obnoxious, underpowered Fiat 500.

One of Commerce Secretary Howard Lutnick’s demands

was for the golden share to last in perpetuity. Oh great. A future President Alexandria Ocasio-Cortez (please no) could force U.S. Steel to identify as corporate-fluid and be exclusively powered by cow exhaust.

Some of the sharpest minds on Wall Street, including David Shapiro and Michael Grimes, helped structure the deal and the Class G share. There must be better things for them to do. For the record, I don’t even like dual-class share structures at companies such as Comcast, Google or Meta.

The idea of a golden share will chase away future foreign investment scared off by bureaucratic input. Golden shares are also a bad example to set overseas as every two-bit dictator around the world will rationalize corporate seizures with, “well, the U.S. did it.”

Our stock market is the most valuable in the world, and entrepreneurs flock here from all over to start companies specifically because we don’t have government ownership or interference at the board level. That’s why the future is invented here. If we damage that with golden shares and other anticorporate policies, we’ll damage access to capital for the next wave of great businesses.

Not to torture the metaphor, but the Bond-like “The World Is Not Enough” for government meddlers will kill our golden goose and turn our economy into “Skyfall.”

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He would effectively nationalize U.S. Steel and make America a little less great.

BOOKSHELF | By Tunku Varadarajan

After Pax Americana

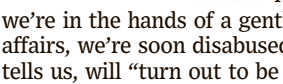
The Once and Future World Order

By Amitav Acharya
Basic, 464 pages, \$32.50

Dust-jacket blurbs on books are usually ignored by reviewers. But when a new book on international relations carries fulsome endorsements by Gareth Evans (a preachy former Australian foreign minister, now unfriendly to America) and Kishore Mahbubani (a Singaporean former president of the United Nations Security Council who thinks America’s moral authority is no greater than China’s), a reader must entertain doubts about the book’s true worth. With Amitav Acharya’s “The Once and Future World Order,” such doubts quickly turn into a conviction that the author hews to values of which we should beware.

Mr. Acharya, an Indian-born professor at American University in Washington, addresses a subject that alarms many of us: the unmistakable decline of the West and the serious fraying (if not quite yet the breakdown) of the American-led world order. But Mr. Acharya is not at all fazed by this. On the contrary, he’s impatient for the old order to end and for the world to emerge into the blazing sunshine of a multicivilizational, post-American nirvana.

“Would the end of U.S. and Western dominance really be so bad?” Mr. Acharya asks. “It need not be,” he says. Such an end “is not a disaster.” If these hedged



lull us, at first, into believing that we’re in the hands of a gently neutral analyst of international affairs, we’re soon disabused. The end of Pax Americana, he tells us, will “turn out to be a good thing.”

From Mr. Acharya’s standpoint, American and Western domination has been less a blessing than a threat—marred since its inception by “economic inequality, racism, and wars of choice waged usually in the global South.” The author is blithely (and blindly) optimistic, his beliefs rooted in a form of nonalignment that idealizes such events as the Bandung Conference of 1955, a gathering, in Indonesia, of anti- and postcolonial leaders from Africa and Asia. (Only a handful of them, it should be said, believed in democracy; the majority of the leaders present were, or soon became, autocrats and tyrants.)

Yet the memory of Bandung energizes Mr. Acharya, who describes it as “the first powerful sign of an emerging alternative” to the Western domination (however attenuated in the present) that still dogs the non-Western world. The inevitable breakdown of the U.S.-led world order will not result in “a kind of Putinesque law of the jungle,” Mr. Acharya writes, “aided and abetted by an ever more powerful China.” It will, instead, lead to “new balances” in “a genuinely more diverse global community in which no single member or group of members is able to achieve hegemony.” Instead of “fearing the future,” he says, the West should “learn from history and cooperate with the rest of the world to forge a more equitable order.”

Nevermind that appeals to the “equitable” in global relations are usually anti-Americanism dressed up in progressive finery; what exactly is this history to which the author points? Mr. Acharya’s framing of international relations is culturally resentful (call it the chip-on-the-shoulder school of IR). He’s indignant that non-Western peoples and civilizations are not given sufficient credit for their role in the emergence of “core elements of the existing world order.” Any claim that the principles that undergird the world order today are largely Western is, he believes, hubristic. Notions of republican government, due process and protections against torture, personal and property rights, humanitarian laws of war, and the freedom of the high seas, can all be traced back—in some way, he strains to tell us—to Sumerian, Egyptian, Persian, Indian, Chinese, Islamic, African and Native American peoples and civilizations, and not only to the Western world.

‘Would the end of U.S. and Western dominance really be so bad?’ ventures one scholar of international relations. ‘It need not be.’

He’s particularly resentful of the status accorded “in the Western mind” to ancient Greece (and Rome) as the source and origin of contemporary liberal-democratic life. Greece, he writes, is “the most mythicized of the ancient cultures,” treated much too deferentially by Western historians who ignore its (and Rome’s) many flaws. But even Mr. Acharya cannot deny that the Greeks pioneered self-government. The Romans followed suit. The modern West has improved on their achievements. That is something to be treasured.

Besides, in knocking myth-making, he gets an important political point wrong: All cultural traditions (yes, even India’s, China’s and the Islamosphere’s) hark back consciously to a time and place of origin, however inexact or mythological. The West’s foundational myths tend to be more scientific than most, supported as they are by archaeological and historical evidence. But since all things pertaining to the West must be attacked in the name of equity, Mr. Acharya dedicates many pages to a quixotic disparagement of the Greek and Roman roots of our heritage. Of Greece, he never tires of telling us that Western culture “understates both its dark sides and its indebtedness” to Egypt, Mesopotamia and Persia. So ancient Greece was syncretic—who denies that?

The post-Western order, he tells us, will not be a multipolar world where a handful of powers shape international security. Instead, we’re going to be blessed with a “global multiplex,” of which he gives us a definition that is pure waffle, progressive pablum of an almost breathtaking kind. The multiplex is a state of affairs in which “large, medium, and some innovative smaller nations, as well as people acting through governments, companies, and civil groups powered by social media and employing new forms of interdependence and interactions will shape world order.” For all this to happen, Western nations will, of course, “need to take ownership of their racist colonialism” in the global South, to abase themselves and—presumably—make material reparations.

Once that’s done, our ugly world will become a global Eden—almost prelapsarian in its sweetness—in which the violence of colonialism and racism, of inequality and slavery, of Western triumphalism and self-aggrandizement, withers away to extinction and we all live together happily ever after.

Someone should tell Iran’s Ayatollah Ali Khamenei about this New World Order. His reaction would be fascinating to record.

Mr. Varadarajan, a Journal contributor, is a fellow at the American Enterprise Institute and at New York University Law School’s Classical Liberal Institute.



AMERICAS
By Mary Anastasia O’Grady

President Trump has threatened to stop countries from free-riding off U.S. generosity, especially those that work to undermine American values.

Yet Trump policy at the Organization of American States—where the U.S. pays nearly 50% of the annual budget—has been going in the opposite direction. In March the administration had a chance to back a pro-American candidate for OAS secretary general but demurred, purportedly because he didn’t have the votes. Instead the job went to the candidate preferred by China and Brazil.

Three seats (out of seven) on the OAS’s influential Inter-American Human Rights Commission (IAHRC) are up for a vote on Friday. Unless pro-democracy candidates capture at least two of those seats, the commission will remain under the control of U.S. adversaries with a woke vision of justice. If that happens, already waning U.S. influence in the region is bound to shrink further.

It remains unclear why the U.S. wouldn’t go to bat for Paraguay’s Foreign Minister Rubén Ramírez in his bid to head the OAS this year. A seasoned diplomat with an M.B.A. from the University of California, Los Angeles, he was backed by U.S. allies Argentina, Ecuador and Panama and promised to lead reform. Paraguay shares U.S. principles on

democracy and the fight against criminal cartels. The country has been willing to bear the economic cost of sticking by Taiwan and has moved its embassy in Israel to Jerusalem.

Contrast this with Mr. Ramírez’s rival, Suriname’s Foreign Affairs Minister Albert Ramdin. In an interview with NTN 24 in February, Mr. Ramdin refused to call Venezuela a dictatorship. He was the favorite among much of the English-speaking Caribbean, which usually sides with Cuba and the leftist governments of Colombia and Chile. In 2023 Mr. Ramdin traveled to Beijing, where he spoke glowingly of China’s “significant and growing” role in Latin America.

Former Inter-American Development Bank President Mauricio Claver-Carone, an unpaid Trump adviser for Latin America at the time, saw no problem with Mr. Ramdin. Mr. Claver-Carone described both candidates as “pro-American” in an interview with the Miami Herald. But no man can serve two masters.

The IAHRC vote is a chance to recover some U.S. sway at the OAS. The commission carries a big stick because it decides which countries are investigated for allegations of human-rights violations and how they’re judged.

The IAHRC hasn’t given a pass to the region’s most notorious police states. In its 2024 annual report, the commission described Cuba’s “massive, gross, and systematic violations of human rights.” The report also called out Venezuela, with special attention to the

blanket repression before, during and after the July presidential election. And it condemned Nicaragua for actions designed “to perpetuate the totalitarian regime by concentrating power in the President’s family.” All three countries were included in the part of the report (Chapter IV.B) focusing on “urgent” crises.

Unfortunately, these findings have no bearing on the behavior of tyrants.

Will Rubio let the left control the Inter-American Human Rights Commission?

In Chapter V of the report, the commission monitors what it calls ongoing human-rights violations. Its recommendations are used to pressure democratic countries to adopt the majority’s views or risk getting moved to the more consequential Chapter IV.B, which can negatively affect trade agreements and multilateral borrowing at preferential rates and delegitimize the elected government.

The four IAHRC seats not up for election are split evenly. Two are held by commissioners who lean conservative, in favor of constitutional democracy and the rule of law. Two are held by progressives, who see the commission as a vehicle to override the sovereignty of OAS members on controversial issues like environmentalism, gender ideology and abortion. For these commis-

sioners, religious freedom takes a back seat to identity politics.

With the left in control, the commission has played down the danger of organized mayhem, such as Chile experienced in 2019, in its situational country reports. The commission explained away the Chilean violence as motivated by “historical” inequality and discrimination and criticized law-enforcement efforts (by a center-right government) to restore order. Peru and Colombia have also been accused of using excessive force when confronted by armed groups that use the streets to try to destabilize democracy.

The U.S. candidate for the commission in Friday’s vote is Rosa María Payá, the daughter of the late Cuban-democracy leader Oswaldo Payá, who died when a government vehicle ran his car off the road in 2012. Ms. Payá, who lives in the U.S., has continued her father’s work promoting a peaceful transition to Cuban self-government. The other conservative on the ballot is Carlos Bernal Pulido, a Colombian lawyer running for reelection and backed by Peru.

Both candidates have a real shot at winning if the U.S. uses its clout. Brazil’s President Luiz Inacio “Lula” da Silva, a disciple of Fidel Castro, knows this. Word around Washington is that Lula is working hard against Ms. Payá and Mr. Bernal Pulido. The contest is a test of Secretary of State Marco Rubio’s diplomatic skills and Mr. Trump’s will.

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Does Mamdani Know What ‘Intifada’ Is?

By Alvin H. Rosenfeld

Jerusalem

Zohran Mamdani, the self-described democratic socialist who could win Tuesday’s Democratic mayoral primary in New York, showed his true colors last week. In a podcast interview he claimed the phrase “globalize the intifada” isn’t a call for violence against Jews but expresses a desire for Palestinian “equality and human rights.”

That interpretation makes little sense to anyone familiar with the history of the deadly assaults against Israelis that marked the Palestinian intifadas, especially the second one, sometimes called the Al-Aqsa Intifada. Beginning on Sept. 28, 2000, and continuing for almost five years, Palestinian suicide bombers and other mili-

itants associated with Hamas and Palestinian Islamic Jihad carried out 140 terrorist attacks within Israel. The second intifada took the lives of more than 1,000 Israeli civilians and seriously wounded thousands more.

Globalizing it would bring suicide bombs and Oct. 7-style attacks to New York.

Those blowing themselves up on Israeli buses and in food markets, gasoline stations, hotels, cafes and restaurants weren’t acting to advance “human rights.” They did what they did to terrorize and murder Israeli Jews. Their success in doing so put a hard freeze on the possibil-

ity of peace between Israelis and Palestinians set forth in the Oslo Accords of 1993 and 1995 and seriously discussed at the Camp David Summit of July 2000. Hamas’s horrendous attacks on Israelis of Oct. 7, 2023, carried out under the code name Al-Aqsa Flood, might have made that freeze permanent.

I arrived in Israel on June 4. Affixed to a wall outside my apartment building here is a commemorative plaque inscribed with the names of Israelis murdered on Jan. 29, 2004, at this site. On that day, a Palestinian suicide bomber got on bus No. 19 and blew it up. Eleven Israeli passengers were killed and more than 50 injured.

Another plaque, affixed to a wall around the corner, is dedicated to the memory of Israelis murdered on March 9, 2002. What were they guilty

of? Nothing more than drinking coffee in the then popular Café Moment. A Palestinian suicide bomber entered the café and blew it up, killing 11 Israelis and injuring 65 others.

That’s what intifada is. To “globalize” it means bringing such violence everywhere, including in New York.

Similar commemorative tablets can be seen in smaller towns and major cities throughout Israel. They signify a dedication to keeping alive not only the memory of numerous innocent lives brutally taken but a resolve to put an end to such slaughter. Especially in the aftermath of Oct. 7, Israelis don’t wish such violence on anyone. Neither should New York Democrats.

Mr. Rosenfeld is director of Indiana University’s Institute for the Study of Contemporary Antisemitism.

OPINION

REVIEW & OUTLOOK

Trump Meets the Moment on Iran

President Trump’s decision to strike Iran’s three most significant nuclear sites on Saturday helped rid the world of a grave nuclear threat and was a large step toward restoring U.S. deterrence. It also creates an opportunity for a more peaceful Middle East, if the nations of the region will seize it.

“Iran’s key nuclear enrichment facilities have been completely and totally obliterated,” Mr. Trump said Saturday night. He made clear Iran brought this on itself. “For 40 years, Iran has been saying ‘death to America,’ ‘death to Israel.’ They’ve been killing our people,” he said, citing 1,000 Americans killed by Iran-supplied roadside bombs and other means. A nuclear Iran was a perilous threat to Israel, the nearby Arab states, and America.

Mr. Trump gave Iran every chance to resolve this peacefully. The regime flouted his 60-day deadline to make a deal. Then Israel attacked, destroying much of the nuclear program and achieving air supremacy, and still the President gave Iran another chance to come to terms. The regime wouldn’t even abandon domestic uranium enrichment. Ayatollah Ali Khamenei wanted a bomb more than peace.

The Pentagon on Sunday disclosed more details of the mission, which included effective deception and B-2 bombers and deep-penetrating bombs only the U.S. can deploy. A full damage assessment will take time, and some nuclear material or enrichment capability may have survived. But the Israelis believe the site at Natanz, where enriched uranium was stored, has been completely destroyed, and the Fordow site severely damaged. At the very least Iran’s nuclear program has been set back by years.

Military conflict is unpredictable and Iran may retaliate, no matter how self-destructive that would be. Iran and its Iraqi proxies have threatened U.S. regional bases with missile fire, but Mr. Trump warned that “future attacks will be far greater” if Iran goes down that road. It now knows Mr. Trump isn’t bluffing. If the regime values self-preservation, it will give up its nuclear ambitions and stand down.

Much of the press has fixated on the idea that Mr. Trump has now joined or even started a conflict. But Iran has been waging regional and terrorist war for decades. It’s as likely that he has helped end it. Leaving Iran with a hardened nuclear enrichment facility after an Israeli military campaign would have been a recipe for maximum danger, all but asking Iran to sprint to a bomb.

He bombs three nuclear sites to spare the world from an intolerable risk.

At the same time, the Israeli campaign yielded an unrivaled strategic opportunity. Suddenly, Iran’s airspace was uncontested. Its substantial ballistic-missile program was degraded. Several of its proxies had been bludgeoned into silence. Its nuclear program had been reduced to a few key sites.

The opportunity to act and the danger of standing pat may have proved decisive. We would say that they left Mr. Trump little choice, except U.S. Presidents always have a choice, and they have been known to kick the can down the road. To his credit, Mr. Trump didn’t. This shows the President wanted to leave no doubt about Iran’s nuclear program and take it all down.

Credit goes to him for meeting the moment, despite the doubts from part of his political base. The isolationists were wrong at every step leading up to Saturday, and now they are again predicting another Iraq, if not a road to World War III. But Mr. Trump had to act to stop the threat in front of him to protect America, which is his first obligation as President.

“History will record that President Trump acted to deny the world’s most dangerous regime the world’s most dangerous weapons,” Israeli Prime Minister Benjamin Netanyahu said Saturday night. Mr. Trump thanked him and said “we worked as a team.” The Israelis, who proved their strategic value as an ally, would like to complete the mission by destroying what remains of Iran’s missile infrastructure. They deserve a green light, especially as those missiles are threatening U.S. bases.

The removal of Iran’s nuclear threat and degradation of its military will create new possibilities in the Middle East. Iran’s proxies will be less able to make trouble in Lebanon, Syria, Iraq and Gaza. The Sunni Arab states want a new era of economic development, and Iran could join them if it chooses. Perhaps the Iranian people will get a say.

The chatter about TACO—“Trump always chickens out”—will now quiet down, but the more significant reassessment has to do with U.S. foreign policy. The Obamaites of the left, and lately of the right, counseled that the world had to bow to Iranian intimidation. The best we could hope for was a flimsy deal that bribed Iran with billions of dollars and left open its path to a bomb. They were wrong, and the world is safer for it.

Frederick W. Smith, 1944-2025

America is losing some of the great entrepreneurs of the 20th century, and among the greatest was the FedEx founder Fred Smith, who died this weekend at age 80.

Frederick W. Smith was born in Mississippi in 1944 and served in the Marines in the fraught 1960s, including two tours in Vietnam. He attended Yale but liked to say that he learned more about the principles he used to found and run FedEx from the Marines than at the Ivy League school.

Smith founded FedEx in 1973 with a handful of aircraft. By 2022 it had 560,000 employees in 220 countries. The company revolutionized package and letter delivery. It promised overnight delivery of letters and goods, and its ubiquitous envelopes marked new competition for the Pony Express that was the U.S. Postal Service. FedEx was an exemplar of American 20th-century innovation that improved the lives and businesses of tens of millions.

Fred Smith was also a rare CEO who wasn’t afraid to speak up on public-policy issues, espe-

cially as an advocate for free-market capitalism. His company benefited greatly from the government’s deregulation of transportation in the 1970s.

As he said in one of our Weekend Interviews in 2022, “People talk about capitalism and socialism and communism. There’s only two kinds of economic systems: the market-driven and the government-directed. That’s it! The more you move toward a state-directed economy, the less efficient and more corrupt it becomes.”

In recent years Smith advocated free trade and its benefits even as the political class turned against it. His voice was especially valuable in reminding Americans that the root of the country’s prosperity has been its openness to trade and global competition.

“Fred Smith was one of the finest Americans of our generation,” said former President George W. Bush about his Yale fraternity brother. “He was a citizen, not a spectator.” Few Americans have contributed as much to the well-being of their country.

The Marine vet and entrepreneur built FedEx into a giant.

Iran’s Strait of Hormuz Gambit

Iran’s Parliament voted Sunday to close the Strait of Hormuz, the narrow sea passage out of the Persian Gulf. If the regime does this, it will be consistent with Iran’s recent behavior, which is to go for its own jugular. Iran is run by Ayatollah Ali Khamenei and the Islamic Revolutionary Guard Corps, so the Supreme National Security Council will make the final decision.

Some 20% or more of the world’s oil supply moves through the Strait after loading from oil terminals in Kuwait, Saudi Arabia and Iran. There’s no doubt that closing the Strait would send oil prices higher, probably above \$100 a barrel for a time. A risk premium for a possible closure has already bumped the oil price to the mid-\$70 a barrel range since Israel launched its attacks on Iran.

The world supply of oil is more diverse than it was 20 years ago, thanks in part to American frackers. Some Gulf oil can also move via pipeline from Saudi Arabia. China would be one of the biggest losers from a Hormuz shutdown, as much of its oil comes from the Gulf. Secretary of State Marco Rubio made that point on the Sunday talk shows, urging China to advise Iran against closing the Strait.

Iran can certainly do some short-term damage. The shipping passage through the Strait is two miles at its narrowest and vulnerable to sea mines. Iran could harass ships with its naval forces, notably high-speed patrol boats, as well

as drones and missiles from onshore.

But the U.S. has ample Navy resources in the region and can clear the mines in relatively short order. Iran will also have to think about the prospect of losing its entire navy if it does close down the Strait.

Former Centcom Commander Frank McKenzie predicted Sunday on CBS’s Face the Nation exactly that prospect if Iran made that mistake, and Mr. Rubio said on the same program that closing the Strait “would be a suicidal move on their part because I think the whole world would come against them if they did that.”

The Hormuz threat underscores the wisdom of President Trump’s decision to eliminate Iran’s nuclear program. Imagine if Iran had nuclear weapons and threatened to close down the Strait to leverage some geopolitical or military advantage. The Western response to clear the Strait would be a much higher risk.

“There are no planned military operations right now against Iran unless—unless they mess around and they attack American[s] or American interests,” Mr. Rubio said. “Then they’re going to have a problem. Then they’re going to have a problem, and I’m not going to broadcast what those problems are.”

Mr. Trump is again offering Iran’s leaders a choice of negotiating peace or retaliating and inviting more harm to their country. They learned the hard way on Saturday that doubting Mr. Trump’s red lines is a mistake.

LETTERS TO THE EDITOR

Why I’m Proud to Have Been Arrested by ICE

In your editorial “Another Democrat in Handcuffs” (June 18), you ask, “Why can’t America’s politicians model better behavior?” That is the question posed after Immigration and Customs Enforcement agents aggressively arrested me for the heinous act of . . . walking alongside a frightened asylum seeker and asking to see the warrant law enforcement was using to justify his arrest.

I agree: Our government should be have better. What’s on the line right now is whether we’ll go down the path of decency or not. In recent weeks I’ve joined a growing group of volunteers who show up as “Friends of the Court” to observe immigration hearings, to provide basic “know your rights” information to law-abiding asylum seekers who don’t have lawyers or speak English, and to escort them out of court peacefully so they can return to their families.

That work is in the American tradition of nonviolent witness-bearing. As the video of my arrest clearly shows, I didn’t assault any law-enforcement officer, contrary to the Department of Homeland Security. I barely raised my voice.

Meanwhile, on orders from President Trump and his Justice Department to ratchet up deportations and “liberate” American cities from their elected officials, DHS lawyers have started stripping people of their rights, under international law, to explain why they fear persecution if returned to their country. ICE agents wearing masks, without official uniforms, lurk in elevator lobbies and descend on people like gangs. People like Edgardo, whom I accompanied last week, are disappeared without their families knowing why or where they are.

Those who ask questions, like Sen. Alex Padilla (D., Calif.), are detained. The government, far from modeling good manners, silences criticism.

It isn’t merely due process for asylum seekers that’s at risk; it’s constitutional protections for all Americans. Those stakes are too high to dismiss. That’s why I returned to the courthouse on Friday—and you better believe I’ll be back again.

BRAD LANDER
New York

Mr. Lander, a Democrat, is New York City’s comptroller and a candidate for mayor.

How to Steer Clear of a Social Security Iceberg

Your editorial “The Social Security Iceberg Gets Closer” (June 20) rightly warns of the urgent need to address Social Security’s looming insolvency. Doing nothing isn’t an answer, yet Congress has become paralyzed by a false choice between raising taxes and cutting benefits.

There’s another path, which a group of bipartisan senators and I have outlined in what we call the “Big Idea,” a practical update to how Social Security is financed. The reform can save the program not merely for today’s seniors but also for our children and grandchildren.

We propose creating a separate investment fund that would be managed independently and invested in the broader economy. Our sovereign-wealth-style investment fund would start with \$1.5 trillion and grow for 75 years, with all returns reinvested.

Based on historical performance, it would close about 70% of Social Security’s funding gap. The remaining third can be addressed with modest, phased-in changes without raising

taxes or cutting benefits. Our “Big Idea” would protect current retirees, preserve benefits for future generations and ensure the program remains solvent for the next 75 years.

Recipients, to be sure, wouldn’t see their benefits tied to market fluctuations. The fund bears the investment risk, not beneficiaries. We already know the concept works. Congress created the National Railroad Retirement Investment Trust in 2001 on nearly identical principles. It has stayed solvent and met every obligation. Most state, private and international pension systems follow the same logic.

Social Security is one of the most important programs in America. If we want to keep our promise to workers and retirees, Congress must act. The longer we wait, the harder the solution becomes and, as of now, every beneficiary will face a 23% benefit cut in eight years. That’s not a distant iceberg. We can see it from the ship’s desk. Turn the tiller now.

SEN. BILL CASSIDY (R., LA.)
Baton Rouge, La.

The Wrong Cure for the Campus Monoculture

John Ellis is right that the monocultural politics of universities is dangerous, but he’s wrong about the cure (“The Public Needs Campus Viewpoint Diversity,” op-ed, June 17). Forcing university departments to hire some minimum number of right-leaning professors would lead to the same hypocrisy and mediocrity that conservatives correctly condemn in diversity, equity and inclusion programs.

Quotas didn’t build the university, and they won’t restore it either. The real pathology is that politicians and the public have forgotten what is special about university knowledge. All of us should listen when scholars draw logical and occasionally surprising results from widely agreed on premises. Politics, on the other hand, is a subject on which opinions are plentiful and proof scarce. Mr. Ellis deserves a great deal of deference when he ventures an opinion on Kafka. On imperialism, not so much.

The current crisis in academia comes from pretending that faculty are smarter than the rest of us—and particularly our political enemies—along every possible dimension. This is silly and dishonest. What faculty can offer, sometimes, are arguments that help all sides think more clearly. Hiring and tenure should reward clever contributions no matter which political party they seem to favor.

EM. PROF. STEPHEN M. MAURER
University of California, Berkeley
Berkeley, Calif.

Three Cheers for the Tax Bill

The Senate Finance Committee’s version of the tax bill won’t merely give businesses confidence to invest on a longer horizon; it will help their near-term survival (“Two Cheers for the Senate Tax Bill,” Review & Outlook, June 18). I run a biotech startup in North Carolina. Our only revenue is research grants that are used to pay for research and development and related expenses. There is no profit, yet the company had to pay nearly \$50,000 federal and state income taxes for last year because of the rule to amortize R&D expenses. The House addresses this but only allows full deduction starting in 2025. The Senate’s version added an urgently needed three-year retroactive clause for small businesses, exactly what we’d prayed for. That’s one more cheer for the Senate from me.

YANCHUN SONG
Westfield, N.J.

Pepper ... And Salt

THE WALL STREET JOURNAL



“We thought a mouser was a good idea.”

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BUSINESS & FINANCE

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THE WALL STREET JOURNAL.

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Last Week: **S&P** 5967.84 ▼ 0.15% **S&P FIN** ▲ 0.81% **S&P IT** ▲ 0.88% **DJTRANS** ▲ 0.54% **WSJ \$IDX** ▲ 0.69% **2-YR. TREAS.** yield 3.907% **NIKKEI** 38403.23 ▲ 1.50% **See more at WSJ.com/Markets**



A Tesla Cybertruck. Once a darling of investors, the shares, like others in the Magnificent Seven technology companies, has fallen sharply this year,

Fred Smith Went From Vietnam To Founder Of FedEx

By ESTHER FUNG

When he was a student at Yale in 1965, Fred Smith wrote an economics paper that spelled out his idea for a nationwide overnight delivery system. His professor gave him a C.

Smith didn't give up. After serving as a Marine in Vietnam, he went to Little Rock, Ark., to launch the business at the age of 26 with a handful of small planes. It was a simple concept: People would pay up "when it absolutely, positively has to be there overnight," which would become the Federal Express advertising slogan.

Two years later, he moved **FedEx** to Memphis, Tenn. Over five decades, Smith built a global delivery giant with more than half a million employees, hundreds of jets crisscrossing the planet and annual revenue of around \$90 billion. He died Saturday at the age of 80, the company said.

FedEx—and such rivals as United Parcel Service—now operate in a world that needs to move millions of daily e-commerce boxes to homes, moving well beyond the business of shuffling overnight envelopes between offices.

Smith steered the company for much of its history before stepping aside as chief executive officer in 2022. He stayed involved as executive chairman and as one of FedEx's largest shareholders—with a stake that made him a billionaire. One of his sons, Richard, is a top FedEx executive.

A proponent of global trade and tax reform, Smith was no stranger to Washington. He was friends with prominent politicians including his Yale contemporaries, former President George W. Bush and former Secretary of State John Kerry.

He used his wealth to buy a stake in Washington's National Football League team. For many years its stadium was known as FedEx Field. Smith sold his stake in 2021.

The CEO made a cameo as himself in the Tom Hanks film "Cast Away," about a FedEx employee stranded on an island. Hanks's fictional character shared the real CEO's obsession with details. Smith was known for popping over to the company's Memphis air hub during spells of bad

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Ordinary Investors Sour on Tech

Some worry about stretched valuations after a big run-up in stock prices

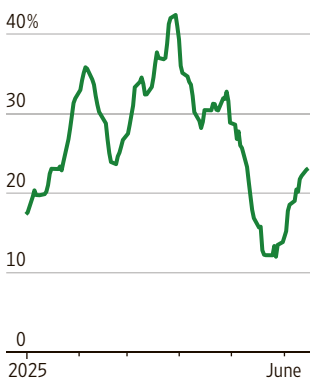
By HANNAH ERIN LANG

Patricia Andrews plugged tens of thousands of dollars into two tech-focused mutual funds during April's market turmoil. Now that those shares have rebounded, she is unloading most of them.

"I feel like they're probably running out of steam," said the 60-year-old entrepreneur based in Cedarville, Calif. She plans to invest the profits in a different pair of funds focused on international companies. "Knowing that it's still a really volatile market, it just makes me say, 'I've made enough on these.'"

Andrews is just one of the ordinary investors reconsidering how much money to hold

Retail flows into big tech stocks, as a percentage of total flows*

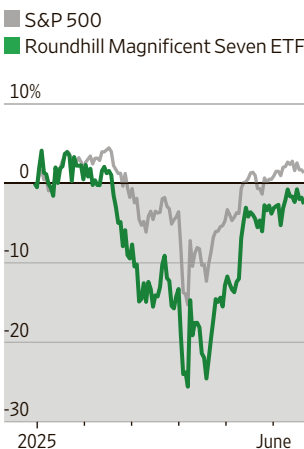


*10-day moving average. Includes Magnificent Seven stocks plus Advanced Micro Devices and Netflix
Sources: Vanda Research (retail flows); FactSet (performance)

in the market's longtime stars, particularly the Magnificent Seven group of tech behemoths—**Alphabet**, **Amazon.com**, **Apple**, **Meta**, **Microsoft**, **Nvidia** and **Tesla**.

When President Trump's

Index and fund performance



tariff announcement sent major U.S. stock indexes tumbling earlier this year, the Magnificent Seven helped lead the way down. In the days that followed, individual investors rushed to buy shares

at a discount, a multibillion-dollar dip-buying spree that powered the speedy recovery to near all-time highs.

While few are throwing in the towel, analysts say investors are moving some money into newer trades. Some are searching for new opportunities in international stocks or shares of smaller companies. Some have moved to the relative stability of utilities or companies making consumer staples. Some are just wary that the Magnificent Seven's popularity has stretched valuations.

"They've broadened their focus," said Steve Sosnick, the chief strategist at Interactive Brokers. "Having rallied so far so fast, people are not quite as eager to chase it."

Investors will get new insight into the economic impact of the Trump administration tariff policies that spurred the April selloff this week, with fresh figures due

on consumer confidence, first-quarter gross domestic product and the Fed's preferred inflation gauge. The economic effects of the trade war have been muted thus far, and analysts say it might take until second-quarter earnings reports roll out later this summer to get a better sense of how trade shifts have affected the largest U.S. companies.

Individual investors have cut back on purchases of the Magnificent Seven and other tech giants in recent weeks, according to Vanda Research. Retail buying has fallen as a percentage of total inflows to about 23% in mid-June from about 41% at the start of April's market turmoil.

Investors more broadly are funneling smaller sums into the tech sector this year than other parts of the market. A net \$7.1 billion has flowed into tech-focused exchange-traded funds in 2025 so far, according

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Zuckerberg Offers Big Bucks for AI Recruitment

The smartest AI researchers and engineers have spent the past few months getting hit up by one of the richest men in the world.

By Meghan Bobrowsky, Berber Jin and Ben Cohen

Mark Zuckerberg is spending his days firing off emails and WhatsApp messages to the sharpest minds in arti-

ficial intelligence in a frenzied effort to play catch-up. He has personally reached out to hundreds of researchers, scientists, infrastructure engineers, product stars and entrepreneurs to try to get them to join a new Superintelligence lab he is putting together.

Some of the people who have received the messages were so surprised they didn't believe it was really Zuckerberg. One person assumed it

was a hoax and didn't respond for several days.

And Meta's chief executive isn't just sending them cold emails. Zuckerberg is also offering hundreds of millions of dollars, sums of money that would make them some of the most expensive hires the tech industry has ever seen. In at least one case, he discussed buying a startup outright.

While the financial incentives have been mouthwater-

ing, some potential candidates have been hesitant to join **Meta Platforms'** efforts because of the challenges that its AI efforts have faced this year, as well as a series of restructures that have left prospects uncertain about who is in charge of what, people familiar with their views said.

Meta's struggles to develop cutting-edge artificial-intelligence technology reached a head in April, when critics ac-

cused the company of gaming a leaderboard to make a recently released AI model look better than it was. They also delayed the unveiling of a new, flagship AI model, raising questions about the company's ability to continue advancing quickly in an industrywide AI arms race.

To remedy Meta's AI malaise, Zuckerberg has become the company's recruiter-in-

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INSIDE



TECHNOLOGY

Billionaires and machine learning amp up interest in hardware. **B4**



AUTOS

Tesla launches its robotaxi service with 20 Model Ys in Texas. **B5**

One Man's Quest to Get Job Hunters a Fair Shake

By LAUREN WEBER

U.S. job hunters submit millions of online applications every year. Often they get an automatic rejection or no response at all, never knowing if they got a fair shake from the algorithms that gatekeep today's job market.

One worker, Derek Mobley, is trying to discover why.

Mobley, an IT professional in North Carolina, applied for more than 100 jobs during a stretch of unemployment from 2017 to 2019 and for a few years after. He was met with rejection or silence each time. Sometimes the rejection emails arrived in the middle of the night or within an hour of submitting his application.

Mobley, now 50 years old, noticed that many of the companies he applied to used an online recruiting platform created by software firm **Workday**. The platforms, called applicant tracking systems, help employers track and screen job candidates.

In 2023 Mobley sued Workday, one of the largest purveyors of recruiting software, for

discrimination, claiming its algorithm screened him out, based on his age, race and disabilities. Mobley, a Black graduate of Morehouse College who suffers from anxiety and depression, said the math didn't add up.

He says he applied only for jobs he believed he was qualified for. "There's a standard bell curve in statistics. It didn't make sense that my failure rate was 100%," said Mobley, who has since gotten hired and twice promoted at Allstate.

His suit is now emerging as the most significant challenge yet to the software behind nearly every hiring decision these days. Last month—after several failed challenges by Workday—a federal judge in California said Mobley's age-discrimination claim could proceed, for now, as a collective action. The ruling opens the door to millions of potential claims from job seekers over the age of 40.

While the judge has ruled that Workday didn't intentionally discriminate against Mobley, she left open the door for him to prove that Workday's



Derek Mobley sued Workday for discrimination in 2023.

technology still had the effect of penalizing him because of his age. She hasn't addressed the race and disability claims.

Mobley still has a tough case to prove, and the suit may go through years of legal wrangling. Yet the case could force Workday to part the curtains on how its algorithm scores applications, a process that has remained a black box since job searches began moving online decades ago.

"Hiring intermediaries have

strong, good, fair or low match.

While employer clients can set up "knockout questions" that lead to automatic rejections—for example, asking if a person has legal authorization to work in the U.S. or is available for weekend shifts—the software is designed so employers make the final decisions on candidates who make it through the initial screen, Workday argued in court filings.

"There's no evidence that the technology results in harm to protected groups," the company said.

Before his job search, Mobley's career path hadn't been smooth. He was laid off in the recession that followed the Sept. 11, 2001, terrorist attacks and again after the housing meltdown in 2008. After that, he left finance and transitioned to what he viewed as a more recession-proof career in technology.

Still, steady jobs were hard to come by. He spent a year as a contractor at IT firm HPE, hoping the stint would turn

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‘28 Years Later’ Makes Debut at No. 2



The horror film earned \$30 million this weekend.

Estimated Box-Office Figures, Through Sunday				
Sales, In Millions				
Film	Distributor	Weekend ¹	Cumulative	% Change
1. How to Train Your Dragon	Universal	\$37.0	\$160.5	-56
2. 28 Years Later	Sony	\$30.0	\$30.0	—
3. Elio	Disney	\$21.0	\$21.0	—
4. Lilo & Stitch	Disney	\$9.7	\$386.7	-38
5. Mission: Impossible - The Final Reckoning	Paramount	\$6.6	\$178.4	-38

¹Friday, Saturday and Sunday in North American theaters Source: Comscore

Investors Sour On Tech

Continued from page B1
to Morningstar Direct, which includes both retail and institutional flows. Meanwhile, funds that attempt to buy stocks at a discount saw an inflow of roughly \$25 billion, while international ETFs logged a net inflow of nearly \$70 billion.

After scooping up shares of Tesla and Nvidia during the selloff this spring, Tom Griffin has pivoted to purchases of **UnitedHealth** and **Wells Fargo**, which he loaded up on after the bank announced it would no longer be required to operate under a regulator-imposed asset cap. The Texas-based cattle rancher, 42, said he isn't so much turning away from tech as he is searching for shares of large, reliable companies at a decent price. That means shares of the large-cap tech stocks looked much more tempting a couple months ago than they do now.

‘It was too much of a good thing,’ says one investor in the tech sector.

“When the whole market dips, that’s when you buy the important huge companies,” he said.

Few are giving up on big tech stocks. Microsoft recently hit fresh highs. Nvidia, Tesla and Apple were still some of the most-traded tickers on the Interactive Brokers platform last week. And some of the newly popular trades reflect similar bets on the growth of artificial intelligence, with individual investors favoring related companies such as software company **Palantir** and nuclear-energy startup **Oklo**.

But Paul Taylor for months has been shrinking his holdings of the Magnificent Seven, which once made up nearly half of his investments. The Buffalo, N.Y., resident didn’t buy any more shares during the stock slide. Instead, he picked up shares of **Berkshire Hathaway**, retailers including **Walmart** and even, for the first time, a gold ETF.

“It was too much of a good thing,” the 70-year-old said of the tech shares, though he added he would never completely eliminate the Magnificent Seven stocks from his portfolio. “I just don’t think they warrant what they’re priced at right now.”



Investors are reconsidering investments in firms like Apple.

BUSINESS & FINANCE

Fred Smith Of FedEx Dies at 80

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weather and rewarding employees who came to him with cost-saving ideas. The founder got personally involved with customer complaints, former employees recall.

“It’s been said many times that the only certainty in life is change. That’s been true in my life and the life of FedEx,” Smith said during a speech at New York City’s Wings Club. “But that’s what makes the journey so exhilarating.”

His father helped build Greyhound’s bus system in the South and died when Fred was 4. His mother remarried and lived to age 93.

Smith first learned to fly at age 15. After graduating from Yale, Smith served two tours in Vietnam, where he was a platoon leader and forward air controller. He was awarded a Silver Star, Bronze Star and two Purple Hearts.

Smith returned after his service and soon began approaching investors with his overnight-delivery idea. A handful of venture capitalists put up \$80 million—along with a few million dollars from his family—forming one of the largest venture-capital packages ever assembled at that time.

Federal Express kicked off service in April 1973 in Memphis, a hub chosen for its central location and weather. On the first night of continuous operations, there were 186 packages. In 2023, FedEx delivered about 16.5 million shipments daily.

Early on, Smith had to ask for more money from investors and banks—one of his first pilots recalled putting about \$100 in fuel on his credit card when FedEx was having trouble paying its bills.



Fred Smith and FedEx’s first Falcon fanjet. The aircraft went on display in October 1983 at the Smithsonian Institution’s National Air and Space Museum in Washington.

Smith covered part of his expenses in those early days using \$27,000 that he won playing blackjack.

In the 1970s, Smith acknowledged to his board that he forged documents to obtain a bank loan that had required the approval of relatives, according to a book by Roger Frock, an early employee at FedEx who described the company’s start. Smith was indicted by a grand jury for allegedly forging documents and was acquitted at his trial after he showed supporting letters from his relatives.

By 1976, Federal Express had turned a profit. And in 1977, the deregulation of the airline industry allowed the company to carry more packages on bigger planes.

FedEx’s operating profit soared, in part because of Smith’s detailed control of the company. His success was attributed to several strategic decisions, including his use of a pioneering hub-and-spoke delivery system.

In the early days of running the company, Smith frowned on anything less than maximum effort. “If you brook mediocrity, eventually you will become mediocre,” he told The Wall Street Journal. “We make no apologies for that.”

In addition, the company pioneered a number of technological innovations and in 1994 became the first big transportation company to launch a website with tracking and tracing capabilities. At about the same time, Jeff Bezos started Amazon.com in his garage.

By the late 1990s, as technology improved and email took off, the need for “FedEx-ing” a document overnight diminished. FedEx acquired a company to give it a ground network and later launched residential deliveries, being a relatively late entry into the market.

FedEx tackled e-commerce deliveries next, lagging behind UPS in part because of Smith’s insistence of keeping express deliveries separate and of his

company being properly compensated for its services.

Tensions with Amazon mounted as the retailer’s business exploded and Bezos built out his own warehouse and delivery operations, even leasing cargo planes.

In 2019, Smith decided he didn’t want to deliver packages for a rival and ended the contracts.

When he stepped down as CEO in 2022, Smith told employees that he timed the appointment of his successor, Raj Subramaniam, to the company’s 50th anniversary. In the same year, the company had faced pressure from an activist investor, D.E. Shaw, to streamline operations and cut costs.

When asked about his legacy, Smith replied, “I don’t think that way. I just enjoy what I’m doing. I’m very focused on the here and now. The legacy will be the success of the company and, I hope, the success of my children, of which I have a lot of.”

Zuckerberg Recruits AI Experts

Continued from page B1
chief. He has tried to recruit OpenAI co-founder John Schulman and Bill Peebles, the co-creator of OpenAI’s Sora video generator, according to people familiar with the matter. Neither of them have joined.

Zuckerberg also has tried to recruit OpenAI co-founder Ilya Sutskever, according to people familiar with the matter.

Meta invested in Sutskever’s new AI startup called Safe Superintelligence earlier this year, and is in talks to hire Daniel Gross, SST’s CEO, and Nat Friedman, a former GitHub CEO and Microsoft executive. As part of those discussions, Meta is offering to buy out portions of their venture fund. At Meta, the two would help develop new AI products.

Zuckerberg also held discussions with Perplexity and offered to buy the AI search startup, according to people familiar with the matter. The

Information and Bloomberg previously reported details of Zuckerberg’s efforts.

Zuckerberg has offered \$100 million packages to some people. He doled out \$14 billion for a stake in AI startup Scale and its CEO Alexandr Wang, who is slated to run the new AI team that Zuckerberg is assembling. At that price, he essentially made the 28-year-old one of the most lucrative hires in history.

Beyond the Scale deal and a few other hires, it is unclear how successful his efforts will ultimately be. OpenAI CEO Sam Altman says his best people remain at his company. OpenAI has given counteroffers to people Meta has tried to poach, promising them more money and scope in their jobs if they stay, according to a person familiar with the matter. Meanwhile, Altman has been on a spending spree of his own, paying billions for former Apple designer Jony Ive’s startup.

For those who have turned him down, Zuckerberg’s stated vision for his new AI super-team was also a concern.

He has tasked the team, which will consist of about 50 people, with achieving tremendous advances with AI models, including reaching a point of “superintelligence.” Some found the concept vague



Meta’s Mark Zuckerberg

or without a specific enough execution plan beyond the hiring blitz, the people said.

Potential hires and Meta employees working on its AI teams also pointed to a major point of tension: Meta’s chief AI scientist is a skeptic of the fundamental approach that his company and others are currently taking to advance AI technology.

Yann LeCun, whom Zuckerberg persuaded to come run a newly started AI research division at the time in 2013 using the same tactics, doesn’t believe that the large language models that the company and others in the industry are currently building will get the world to artificial intelligence

that is smarter than human beings.

For Zuckerberg, the turning point came this past spring. After the model release fell flat, he sprung into action. These days, people inside the company say they have never seen him so focused on recruiting.

Zuckerberg is in a WhatsApp chat called “Recruiting Party” with Ruta Singh, a Meta executive in charge of recruiting, and Janelle Gale, the company’s head of people. Zuckerberg is also in the weeds of wonky AI research papers, digging into the tech and trying to find out about who is actually building it. He also believes there is a fly-wheel effect to recruiting: By talking to the smartest person he can find, they will introduce him to the smartest people in their networks.

When the Recruiting Party chat finds people worth targeting, Zuckerberg wants to know their preferred method of communication, and he gets their attention by sending the first messages himself.

Zuckerberg has taken recruiting into his own hands, according to a person familiar with his approach, because he recognizes that it is where he can personally have the most leverage inside the company he founded.

Workday Sued by Job Hunter

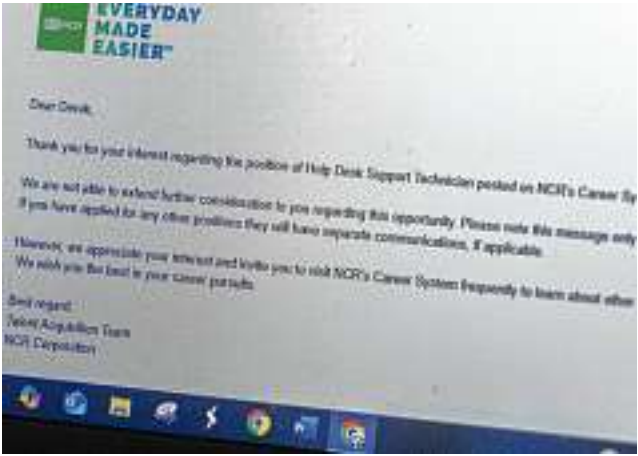
Continued from page B1
into a permanent position. Mobley said he was let go, and he later joined a lawsuit against HPE alleging age and race discrimination. The case was settled in 2020. HPE declined to comment.

That job loss led to two years of unemployment, starting in 2017. He applied to more than 100 jobs and found himself on Workday’s recruiting platform over and over.

He didn’t get a single interview, let alone a job.

Soon, Mobley felt he discerned a pattern. “It dawned on me that this must be some kind of server reviewing these applications and turning me down.”

He worried that hiring software screened him out because it picked up on his age and race through details on his résumé



Mobley shows a job rejection email on his personal laptop.

or that it detected his anxiety and depression through personality tests he took as part of some job applications.

He stayed afloat by driving for Uber and working short-term jobs.

Mobley eventually did find a job, the old-fashioned way. In 2019, he said, a recruiter for Allstate called him. A phone screen led to an interview with a hiring manager and then an offer. He is now a catastrophe controller, managing the work-

flow of customers’ property and auto damage claims.

Mobley said he suspects Workday’s software flagged his profile, essentially blackballing him across its entire system, regardless of which company he applied to.

Workday disputes that idea, and HR technology experts are skeptical of the theory. Employers customize recruiting software with their own criteria, they say, creating closed systems that shouldn’t theoretic-

cally speak to each other.

But there is evidence that underlying scoring algorithms can shut out certain job seekers, said Kathleen Creel, a computer scientist at Northeastern University who has been following the Workday case. That might happen, she said, through mechanical errors such as misclassifying a previous job title, or by incorporating more complicated algorithmic mistakes that penalize members of a single group or people with certain combinations of characteristics.

Since 2022, Workday has built a team focused on ensuring its products meet ethical artificial-intelligence standards.

If Mobley succeeds, software companies and their customers may be required to do more due diligence and disclosure to ensure they don’t enshrine bias. Employment lawyers say any finding of liability could open the door to job seekers also suing employers who use them.

“This isn’t a personal vendetta,” Mobley said. “I’m an honest law-abiding person trying to just get a job in an honest way.”

BUSINESS NEWS

Owner of Applebee’s, IHOP Tests AI BNY Reaches Out To Northern Trust

By Belle Lin

The company behind Applebee’s and IHOP plans to use artificial intelligence in its restaurants and behind the scenes to streamline operations and encourage repeat customers.

Dine Brands is adding AI-infused tech support for all its franchisees, as well as an AI-powered “personalization engine” that helps restaurants offer customized deals to diners, said Chief Information Officer Justin Skelton.

The Pasadena, Calif.-based company, which also owns Fuzzy’s Taco Shop and has over 3,500 restaurants across its brands, is taking a “practical” approach to AI by focusing on areas that can drive sales, Skelton said.

Streamlining tech support for its more than 300 franchisees is important because issues like a broken printer take valuable time away from actually managing restaurants, he said.

Dine Brands’ AI tool, built with Amazon’s Q generative AI assistant, allows the company’s field technology services staff to query its knowledge base for tech help using plain English, rather than manually searching for answers.

The company’s personalization engine, which also uses generative AI, automatically



IHOP’s loyalty program has given it insight about customers.

recommends new or additional items to customers based on their prior purchases and those of diners similar to them, Skelton said. IHOP was one of the first family-dining restaurants to install a loyalty program for diners, he said, which gives the chain insight into customers’ purchasing behaviors.

Dine Brands is exploring adding that technology to other channels, like servers’ tablets and tablets that customers order from, in the next six months, he said.

Increasing customer loyalty is a goal of the AI-based personalization engine, he said, which can also be used as a tool for upselling. As diners become increasingly price-sensitive,

Dine Brands has responded by adding promotions.

Dine Brands is also testing AI-powered cameras that can detect when a table needs to be cleared, as well as an AI app for restaurant managers that helps them oversee day-to-day operations like staffing, Skelton said.

It is technologies like these, which aren’t as flashy, that could deliver the most for a restaurant chain’s bottom line, said Brad Jashinsky, a director analyst at Gartner focused on retail, travel and hospitality.

Dine Brands declined to say how much it is spending on technology. Skelton said most of Dine Brands’ AI and tech initiatives are carried out with the help of third-

party vendors.

With these updates, Dine Brands joins McDonald’s and Yum Brands’ Pizza Hut and Taco Bell, which are similarly tapping AI in their restaurants and behind-the-scenes.

One promise of AI is that it can make fast-food and casual-dining restaurants more automated, lessening the need for human labor and speeding up the work of existing staff. The ability to offset labor costs—whether by reducing or more accurately forecasting it—is a major cost savings for restaurants, Jashinsky said.

AI can also make the dining experience more efficient and satisfying for customers at drive-throughs and in restaurants.

But there is reason to proceed with caution: AI-based order taking isn’t always accurate. Wendy’s faced backlash last year for testing menus that used AI to adjust pricing.

It isn’t yet clear to what extent robots and AI will replace humans, but many restaurant chains agree that there will be some disruption to their human labor force. Most are trying to strike the right balance between humans and automation inside of restaurants, Jashinsky said.

“AI is moving quickly, and I believe it’s going to be embedded in everything we do,” Dine Brands’ Skelton said.

By Lauren Thomas and Justin Baer

Bank of New York Mellon approached Northern Trust last week to express interest in merging with its smaller rival, people familiar with the matter said, in what would be a monster deal for the financial-services industry.

The chief executives of BNY and Northern Trust had at least one conversation, the people said, although the firms didn’t discuss a specific offer.

BNY is considering its next steps, which might include returning to Northern Trust with a formal bid.

Northern Trust has no interest in pursuing a deal with BNY, a person familiar with the company’s plans said.

Any deal would be huge. Chicago-based Northern Trust has a market value north of \$21 billion after its share price has risen about 9% year to date.

The Trump administration has signaled more willingness to approve big banking deals, after few have been tried in recent years.

The two companies each have an array of businesses that safeguard, manage and move money for companies, investment firms and finan-

cial advisers.

BNY is the world’s largest custodian bank, keeping records for pension funds and other institutional investors, and it helps manage companies’ cash and debt servicing. The bank also settles trades backed by U.S. government debt, and has a large asset-and wealth-management business.

Shares in BNY have surged more than 50% in the past year as a turnaround plan hatched by the bank’s chief executive, Robin Vince, has lifted profit and revenue. The stock’s rally has pushed the company’s market capitalization above \$65 billion.

A former executive at Goldman Sachs, Vince has served as BNY’s CEO since September 2022. He was appointed chairman earlier this month.

A deal would marry two of the world’s largest asset-servicing businesses and create an investment-management powerhouse that oversees more than \$3 trillion.

Northern Trust also provides back-office and administrative services to investment firms and, like BNY, has its own money-management division. Its chief executive, Michael O’Grady, is a former dealmaker.

News Corp Extends Chief Executive’s Contract to 2030

By Melissa Korn

News Corp’s board extended CEO Robert Thomson’s contract through June 2030, keeping him at the helm of the media company during a period in which artificial intelligence’s rapid development is reshaping the industry.

Thomson, 64 years old, has been chief executive of News Corp since 2013. His prior contract, signed in 2023, ran

through June 2027.

Under Thomson, News Corp has made Wall Street Journal parent Dow Jones, digital real-estate services and book publishing the company’s core focus. News Corp owns HarperCollins Publishers, digital real-estate businesses, the New York Post and U.K. and Australian newspapers.

During his tenure, Thomson has sharpened News Corp’s focus on reliable revenue from

subscriptions and data services, reducing its exposure to swings in the advertising market. He has been aggressive in protecting the company’s intellectual property as artificial intelligence changes the way people search for information and consume news.

“Robert has been instrumental in News Corp’s growth and transformation, and his vision and leadership are extremely important as the company con-

tinues to navigate this era of rapid change,” said Lachlan Murdoch, News Corp’s chair.

Publishers are contending with major changes in web traffic caused in part by new AI-powered search and chat offerings from tech platforms, including Alphabet’s Google. News Corp reached a content deal with OpenAI last year, while two of its subsidiaries have sued Perplexity.

“For journalists, for au-

thors, for society, for those who strive and aspire, these are times of immense challenge and boundless opportunity,” Thomson said in a statement following his contract extension.

Chair Emeritus Rupert Murdoch stepped down as chair of News Corp and Fox Corp. in 2023. The Murdoch family trust, which he controls, holds more than 40% of the voting shares in each company.

Murdoch has sought to pass control of the trust after he dies to his son Lachlan, who in addition to his role at News Corp is CEO and executive chair of Fox Corp. Three of Murdoch’s other children opposed the move, in which they would lose voting power.

A recommendation by a Nevada probate commissioner late last year blocked Murdoch from doing so. There is a challenge pending.

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TIM HIGGINS

Sci-Fi Hardware Dreams Come to Life

The world is on fire, and that's giving some of the richest men the audacity of hope. Hope that their billions, brains and brashness can usher in a new world filled with robot cars, killer drones and solar power. In other words: *hard* tech.

These sci-fi dreams—made popular by Elon Musk—have been building for some time. But they have become harder to ignore in the past month, with gambits from the likes of Mark Zuckerberg, Sam Altman, Palmer Luckey and Daniel Ek.

They're all pouring money into efforts that a few years ago would have seemed like the stuff of science fiction but are now becoming very real. Their collective interest is giving hard tech a moment, not unlike the rush of investment and entrepreneurs to software with the debut of the iPhone and the rise of mobile computing.

The enthusiasm for hard tech is fueled, in large part, by breakthroughs in artificial intelligence. It holds the eventual promise of greater autonomy for physical machines and new advances in science.

Today's hard-tech moment, which is intertwined with the AI boom, presents the opportunity to change entrenched industries: defense, transportation, energy production and more. And with that, possibly create new winners.

This past week, for example, Ek, who created his fortune with streaming-music service **Spotify**, turned his attention to drone technology. It's an area that has taken on greater attention after high-profile drone attacks were used by Ukraine in Russia and by Israel in Iran.

Ek's investment firm, Prima Materia, led a 600-



Daniel Ek, who created his fortune with Spotify, is among the wealthy entrepreneurs investing in hard tech.

million-euro fundraising round, equivalent to \$691.4 million, for Helsing, a German defense-tech startup developing AI drones.

"There's an enormous realization that it's really now AI, mass and autonomy that is driving the new battlefield," Ek told the Financial Times.

Weeks earlier, the prospect of military application for another avant-garde hardware dream—extended-reality battlefield goggles—reunited Zuckerberg and Luckey, two billionaires who had a public break a few years earlier. Zuckerberg and Luckey's companies, **Meta Platforms** and defense-tech firm Anduril Industries, respectively, are teaming up to try to win a Pentagon contract for rugged headsets that could help soldiers on the battlefield.

And Musk has said **Tesla** soon expects to begin public rides in the automaker's ro-

botaxis in Austin, Texas. If the chief executive pulls it off, it could be a huge step in the company's pivot to robotics, which Musk has suggested could lead to humanoid robots outnumbering people.

The imagination is seemingly the only limit amid the cocktail parties in San Francisco these days. Engineers talk giddily about how they see ways AI can aid in developing new lifesaving drugs and creating new materials that might be lighter and stronger for aerospace.

It's a remarkable shift from a couple of years ago, when tech was seen as the problem—taking jobs, spreading hate, ruining the environment.

Marc Andreessen, the Silicon Valley venture capitalist who foresaw software "eating the world," pushed back against cynicism in a lengthy 2023 essay titled "The Techno-Optimist Manifesto." He argued our societies are built on technology,

which he called "the glory of human ambition and achievement, the spearhead of progress and the realization of our potential."

His firm, Andreessen Horowitz, launched an effort, dubbed "American Dynamism," aimed at investing in founders involved in national interests, including aerospace, defense and manufacturing. The firm is a backer of such companies as Anduril, OpenAI and SpaceX.

The effort comes as a new jingoism has emerged globally amid geopolitical tensions and renewed inward-facing domestic politics. Whether it is Ek investing in a European tech firm building drones for use in Ukraine against Russia or venture capitalist David Sacks leading the Trump administration's efforts to outpace China's AI development, new tech is suddenly the solution.

acquired Jony Ive's startup for \$6.5 billion, part of an effort that tasks the former Apple design star with over-seeing a consumer device to rival the iPhone.

As OpenAI gets into a place of more resources and more potential, we can just do more things," Altman said. "I would love to go build the Dyson sphere on the solar system and, like, you know, make the world's gigantic data center with the entire energy output of the sun."

Building a Dyson sphere, a hypothetical structure that surrounds a star to capture its energy, might be a couple of decades off, he acknowledged. Still, on Earth, Altman is among those who are investing in ways to better capture solar energy as entrepreneurs look at the incredible demand for electricity in a future where cars, robots and AI data centers are all thirsty for juice.

Hannan Happi's startup Exowatt is working to meet that need. He has seen the change in investor interest in hardware. Roughly a decade ago, he co-founded a drone company that was later sold to defense contractor Sierra Nevada. In 2023, he co-founded Exowatt, a solar company that aims to provide energy for AI data centers. "I think investors this time around are less skittish about hardware aspects of our business," Happi told me. So far, he's raised \$90 million.

"Every round we've raised has been oversubscribed," he said. "We're just about to finish another fundraising event that we didn't even initiate—it just came together—and I think part of that is because we're riding the AI infrastructure wave."

It's a good time to be working on hard things.

DAVID PAUL MORRIS/BLOOMBERG NEWS



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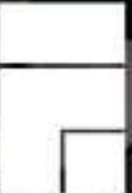
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TECHNOLOGY & BUSINESS

Rent the Runway Says Subscriptions Are Rebounding

By JENNIFER WILLIAMS

Rent the Runway's active-subscriber numbers have rebounded after hitting a multi-year low earlier this year, and the online clothing-rental company is making its largest investment yet in inventory to keep the momentum going.

The company had over 147,000 active subscribers renting wares from Gucci, Ulla Johnson, Oscar de la Renta and other labels at the end of its first quarter ended April 30, up nearly 23% from the previous quarter. While it often sees a subscriber surge in late spring, before proms and graduations and followed by the June wedding season, its latest count tops first-quarter figures in recent years.

Whether Rent the Runway remains an appealing option will depend in part on whether consumers, some of whom are spending more cautiously, decide monthly apparel rental fees—ranging from \$100 to \$315—are worth it. Rent the Runway's finance chief, Sid Thacker, thinks they will, particularly as it adds to the brands and styles it offers.

Shoppers several years ago flocked to apparel-rental options, embracing access to designer clothes for weddings and business meetings without having to shell out hundreds or thousands of dollars. But since the pandemic, the apparel-rental market has taken a hit.

Many consumers still work from home and are dressing more casually even in the workplace. Whipsawing tariff announcements have left some shoppers wary. They also have more rental options, with newer entrants such as Nuuly, launched in 2019 by **Urban Outfitters**, increasingly capturing shoppers' attention. For Rent the Runway, the crosscurrents have hit hard. Its shares plummeted nearly 90% in the year after going public in 2021 and have been down significantly since. The company has yet to turn a profit. Rent the Runway executed a reverse stock split last year to stay listed, while cutting around \$40 million in costs over three years.

In its latest quarter, the company seemed to shift gears. Along with a record number of active members—subscribers account for nearly 90% of Rent the Runway's revenue—retention was the strongest it has been in four years, Thacker said.

Revenue in the latest quarter fell 7.2%, to nearly \$70 million, compared with a year earlier.

But Thacker expects the

positive change to continue. One reason is inventory. Adding brands and styles holds subscribers' interest, which is why the company plans to double its inventory in this year and add around 90 new labels to its roster of hundreds of brands. Rent the Runway declined to say how much it is investing in inventory.

It has worked to make designer dresses, skirts and other items easier on the balance sheet. Some brands design exclusively for Rent the Runway, wares that tend to come at a significant discount in exchange for access to the company's customers. Some brands provide inventory at no or minimal cost and then take a share of the revenue when items are rented. Roughly 70% of the company's inventory is expected to fall into one of these two categories in the current fiscal year, up from around 20% in 2019.

And as rental businesses shed some of the stigma that some people associate with used clothing, shoppers are more willing to temporarily freshen up their wardrobe without the expense of a purchase, according to Thacker.

But analysts question whether stretched consumers will stick with their subscriptions. "The rental option is interesting in that it affords newness at a reasonable price. But it's not necessarily the most economical," said Simeon Siegel, a managing director at BMO Capital Markets.

"Plenty of people would say that a stretched consumer will cancel their subscriptions."

That likelihood increases if tariffs drive subscription prices up, analysts said.

Rent the Runway doesn't have significant direct exposure to tariffs, Thacker said. Its brand partners, however, might have to raise their own prices to offset the levies, which could push up Rent the Runway's costs. Asked if subscription prices would go up as a result, the CFO said: "We're trying to take care of customers."

Rent the Runway's efforts to transform the business come as the luxury market is struggling, said Herb Blank, chief quantitative analyst at stock-valuation and forecasting firm ValuEngine. Some analysts appear to have stopped covering the company, an indicator of its performance, he said. ValuEngine stopped covering the company this month.

"For a company that's really under the gun, they are doing everything to try to right the ship," Blank said. "It's just...they're swimming upstream."

Online Casino Operator Wins Auction for PCH

By AKIKO MATSUDA

Publishers Clearing House, the direct-to-consumer marketing company known for its Prize Patrol sweepstakes, found a new owner that plans to revive the classic brand, which went bankrupt after government scrutiny and a changing retail landscape.

ARB Interactive, the company behind online Modo Casino, emerged as the winning bidder in a recent bankruptcy auction for the assets of Publishers Clearing House.

ARB's offer includes \$7.1 million in cash, along with the assumption of certain prize-winner liabilities and roughly \$378,000 in expenses related to taking over existing contracts. ARB is considering offering jobs to existing PCH employees. PCH had 105 employees when it filed for bankruptcy in April.

Patrick Fechtmeyer, chief executive of Miami-based ARB Interactive, said ARB is committed to "digitally transforming the business through mobile-first, interactive, and

free-to-play games enhanced by the power of sweepstakes and prizes."

He said PCH has already begun adding apps and mobile games to its portfolio, and ARB plans to continue its digital transformation.

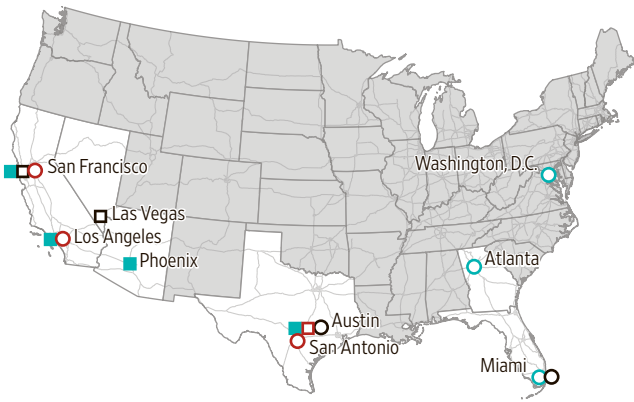
Judge Martin Glenn of the U.S. Bankruptcy Court in Manhattan is scheduled to hold a hearing Wednesday to review the sale.

The second-highest bid was submitted by PCH Interactive, according to the court filing. The bid consists of \$7 million in cash plus the assumption of roughly \$378,000 in expenses related to taking over existing contracts. It couldn't be determined whether PCH Interactive is related to the bankrupt company. Representatives for Publishers Clearing House didn't return a request to comment Friday.

Publishers Clearing House was founded on Long Island, N.Y., in the 1950s as a direct mailing firm soliciting subscribers to various magazines, calling it a "carpool for publishers."

Robotaxi operations for Waymo, Zoox and Tesla

■ Available to public □ Limited availability ○ Planned



A Tesla robotaxi seen in Austin on Sunday.

Tesla Launches Its Robotaxi With 20 Model Ys in Texas

Electric-car maker's technology will be put to the test against Waymo

By BECKY PETERSON

Tesla rolled out its long-awaited robotaxi service in Austin, Texas, on Sunday, opening the electric-vehicle maker to the growing autonomous ride-hailing market, where its technology will be put to the test against market leader Waymo.

Chief Executive Elon Musk has said the company will start small with up to 20 Tesla Model Ys driving on public roads, before expanding the service based on the technology's performance. There won't be a human driver behind the wheel. In a post on X, Musk said customers will be charged a flat fee of \$4.20. In an invitation shared on social media, Tesla said there would be a safety monitor sitting in the front-right passenger seat. Here is what to know about Tesla's robotaxi service.

vehicles could add \$5 trillion to \$10 trillion to Tesla's market capitalization, which is currently around \$1 trillion.

Tesla's core business of manufacturing vehicles is under pressure and sales are declining as a result of increased competition and an aging vehicle lineup.

Tesla also has faced a backlash from some owners and car buyers owing to Musk's work with the Trump administration. Last year, Tesla posted \$98 billion in revenue, three-quarters of which came from car sales.

Cathie Wood's ARK Invest projected that autonomous ride-hailing could be a \$951 billion business for Tesla by 2029, at which point the service could make up around 90% of Tesla's earnings.

Former Tesla President Jon McNeill, who is on the board of General Motors, said there is room for several autonomous-vehicle companies but questioned whether the robotaxi business is as large as Tesla and its supporters have projected. "It's hard to square how people are arriving at a

\$1 trillion opportunity," he said.

Some longtime investors are skeptical. The investor Gary Black recently said his Future Fund sold its remaining Tesla shares, citing the disconnect between its high market cap and declining vehicle sales. He doesn't think the robotaxi product will do much to boost the company's value. "I don't see the upside at this point, but I see plenty of downside," he said.

Who are rivals?

Industry leader Waymo said it makes more than 250,000 paid trips a week in San Francisco, Los Angeles, Phoenix and Austin. That business currently operates at a loss, but the company has said it sees a path to profitability.

Zoox is available for use by its employees and invited guests in Las Vegas and the San Francisco Bay Area. It plans to launch in Austin and Miami and is also testing in Los Angeles, Seattle and Atlanta.

Other companies have per-

mits to test autonomous-vehicle technology, but most aren't able to offer rides to the public.

What happens next?

Tesla has indicated it plans to expand services quickly to San Francisco, Los Angeles and San Antonio.

By the end of 2026, Musk said he expects there to be hundreds of thousands of Teslas driving fully autonomously on roads in the U.S.

Musk expects many of those will be personally owned vehicles running Tesla's most-advanced version FSD software. He has compared his plans to a combination of the vacation-rental company Airbnb and Uber Technologies.

Tesla faces some regulatory hurdles. Currently, autonomous vehicles are regulated at the state level and, in some cases, by cities. Musk has called for federal regulations, which would make it easier for the company to deploy its software on Teslas across the country.

What is a robotaxi?

A robotaxi is a driverless, autonomous vehicle that operates like a taxicab or ride-hailing service. Several companies are testing or operating robotaxi services in the U.S., including **Alphabet's** Waymo and **Amazon.com's** Zoox.

Tesla's new robotaxi service employs Model Y electric SUVs piloted by an advanced version of Tesla's driver-assistance software, which it calls Full Self-Driving, or FSD.

The Model Y is equipped with eight cameras that act as sensors for FSD. That is the same setup as the Model Y vehicles currently available for purchase.

The version available to Tesla owners requires the driver to pay attention to the road and be prepared to take over steering. Tesla plans to introduce two specially designed robotaxis to its service: a small, gold-colored sedan called the Cybercab, and a larger multiseater called the Robovan. Those vehicles have neither steering wheels nor pedals and could hit the road as soon as 2026.

How does it work?

Tesla opened up its robotaxi service to a limited number of customers in Austin, where the company has its headquarters. The service is available within a geofenced area of Austin, where the company has been testing its vehicles.

Musk has said the company is being cautious in how it rolls out this new technology. "We are being super paranoid about safety," he wrote on X.

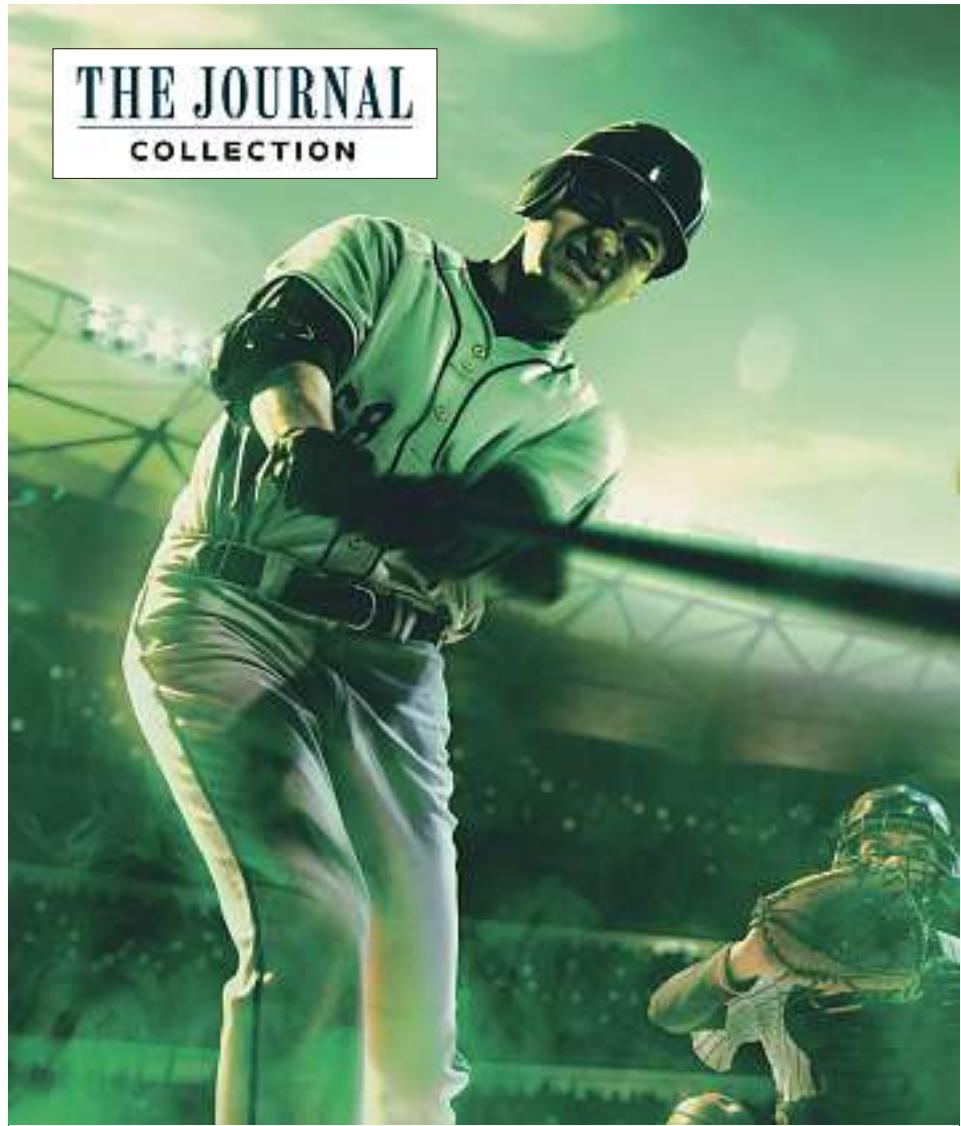
According to rider rules posted on Tesla's website, all passengers must be over 18 years old, and the number of passengers may not exceed two.

Like Waymo and Zoox, Tesla will remotely monitor the performance of the vehicles and help them to navigate through difficult situations. Tesla has said the vehicles will be equipped with microphones to support their response to sirens from emergency vehicles.

How valuable?

Musk has tied Tesla's fate to the performance of its robotics and artificial-intelligence business.

He forecasts autonomous



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BUSINESS & FINANCE

U.S. Is Set to Lose Clean-Energy Lead

Initiatives rollback is likely to play into China and Europe’s hands, say executives

By YUSUF KHAN

The U.S. is the world leader in clean hydrogen and carbon-capture production, but President Trump’s move to roll back green-energy subsidies could mean giving up that position to rivals.

It wouldn’t be the first time the country fell from the top spot in the clean-energy sector.

Right now, the U.S. is the unambiguous leader in just a few energy-transition technologies, said Julio Friedmann, chief scientist at Carbon Direct, a consulting firm focusing on decarbonization. “We have surrendered leadership on EVs, on batteries, on wind and on nuclear,” Friedmann said, adding the U.S. was also once a key player in solar energy.

The Manhattan Project played a crucial role in the advancement of nuclear energy. The first practical solar cell was developed by Bell Labs in the ’50s. The first large-scale wind farm was built in California in the ’80s. In the ’90s, the U.S. led the world on electric-vehicle battery development—in 2008, Tesla made the first EV able to travel more than 200 miles.

More recently, under the Biden administration, a combination of tax credits, subsidies and grants helped the U.S. to take the lead in clean hydrogen and carbon capture, even as China remains the largest producer of clean energy overall.

According to a study published last year by consulting firm group McKinsey & Co., North America is set to produce 52% of the world’s clean hydro-

gen by 2030, while China is on course for 30%. When it comes to carbon capture and storage technology, nearly half of all projects are set to be based in North America by 2030, according to the International Energy Agency, with Europe next highest with 31% of projects. Most of the North American projects are in the U.S., largely in Republican States and counties.

But over the past month, the Trump administration set about rolling back Biden’s incentives, canceling grants and removing tax credits that helped to spur production across the country. “On their current course, the administration will again abdicate leadership,” Friedmann said.

Last month, Energy Secretary Chris Wright moved to cut \$3.7 billion of grants and subsidies authorized under the previous administration that were designed to get clean-energy projects off the ground. Those included a carbon capture and storage project in Indiana, plastics recycling projects in Texas and a green cement project in California.

Under the “Big Beautiful Bill” proposal, hydrogen tax credits are set to end by the end of the year and clean-energy tax credits face a de facto repeal for projects coming online next year and in 2027. The Trump administration said the technologies were costly, burdening ratepayers and consumers, calling the sector a scam.

Gregory Nemet, author of the book “How Solar Energy Became Cheap,” likened the current rollback to policies that were put in place by President Richard Nixon but rolled back in 1981 by President Ronald Reagan, when subsidies for solar were axed. The U.S. had been the leader in solar technologies, thanks to research from NASA.

But withdrawal in government-led support meant the industry moved abroad, he said.

“That was the end of the line for the U.S. solar industry for quite a while. Japan picked it up, then Germany, then China,” Nemet said.

Currently, China dominates production of solar equipment, making up nearly 75% of modules, 85% of cells and 97% of wafer production, according to data from the International Energy Agency. It is a similar situation in batteries, with 70% of all electric vehicle batteries ever produced coming from China.

“The main loss is the reset in market expectations,” Nemet added. “There was a market for clean technologies that was huge and growing. If you were going to make a long-term investment based on long-term incentives, the last four years was meant to build that and this is a pretty big setback to those incentives.”

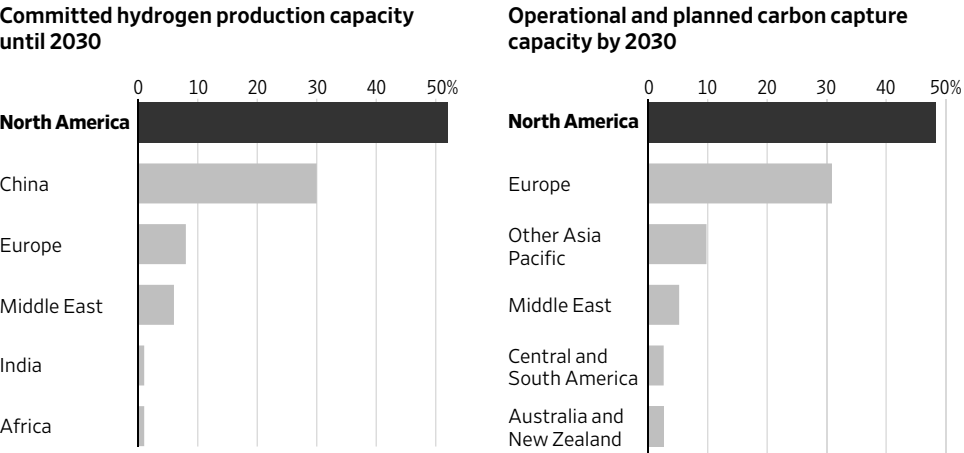
For carbon capture and storage, a number of startups like Climeworks, Heirloom and Air Products looked to base their first-of-a-kind plants in the U.S. That was in part because of its favorable geography, including plentiful underground storage, but also because of the funding and research on offer at America’s universities.

“The U.S. federal government began investing in technologies like direct air capture back in 2015, 2016, way before anyone else was thinking about this, and it really led in public investment and innovation,” said Giana Amador, executive director at the Carbon Removal Alliance, a non profit promoting carbon removals.

She said this led to companies wanting “to build their first-of-a-kind projects here, and doing so in partnership with the federal government



Stacks of trays holding limestone used to absorb CO2 from the air, at an Heirloom plant.



Sources: McKinsey & Co. (committed production); International Energy Agency (carbon capture)

and in particular the Department of Energy.” Amador pointed to programs like the 45Q tax credit, the carbon negative shot pilots program, and other policies that support carbon removal.

But climate startups in the clean-energy sector have started to feel the effects of Trump’s push against clean tech. Battery recycler Li-Cycle filed for bankruptcy, while job cuts have been seen at direct air capture startups Climeworks and Heirloom. Meanwhile, Group14, a Seattle-based silicon-battery maker said it was delaying opening its battery factory in Moses Lake, Washington, due to uncertainty over Trump’s tariffs. Share prices have fallen sharply too, with hydrogen startup Plug Power down about 50% this year.

Industrial-gases supplier Air Products & Chemicals had planned to build a \$4.5 billion hydrogen facility in Louisiana, but that project price tag has

ballooned to \$8 billion, the construction timeline has slipped and the company is still seeking customers. Similarly, Nel Hydrogen hit the brakes on a \$400 million factory in suburban Detroit, due to policy uncertainty.

“If we don’t make this investment now, we will be looking at more and more Chinese and even European activities, and you won’t be able to recover that ground,” said Frank Wolak, president of the Fuel Cell and Hydrogen Energy Association. “This is an investment in the U.S. future.”

For local policymakers, the move to push back against green-energy production resulted in thousands of job cuts. So far, 45 announced projects were canceled, closed or downsized resulting in 20,000 jobs being lost and \$16.7 billion in investments abandoned according to environmental policy advocacy group E2.

Of those, 72% of all jobs and 82% of investments were lo-

cated in Republican congressional districts, E2 added.

One of the other notable parts of the previous policy program was that it had strong backing from fossil fuel, chemicals and other heavy polluting industries. The axed projects by Energy Secretary Wright included carbon capture and hydrogen proposals from Exxon Mobil, Eastman and Heidelberg Cement.

“With the current situation, the whole of this is in jeopardy,” said Sunita Satyapal, former director of the U.S. DOE’s hydrogen and fuel cell office. She said that in particular the 45V tax credit had made U.S. hydrogen production some of the cheapest in the world—an important driver in jump-starting the industry and encouraging industries to use the fuel source. “Regardless of the technology, industry always needs a runway before take off and that is what subsidies provide.”

Investors Wary of ‘Revenge Tax’

By ROD JAMES

A tax on foreign investors in the Trump administration’s proposed tax bill is already causing European and Asian investors to rethink investments in U.S. private capital funds.

Some European investors have delayed signing subscription documents, the legal agreements that cement their commitments to these investment pools, as they consider “whether to take the squeeze” of the added tax burden should Section 899 of the bill be signed into law in its current form, said Richard von Gusovius, global co-head of distribution at Campbell Lutyens, a fundraising and second-ary adviser operating in Europe, North America and Asia.

“Section 899 went from a sleepy idea to Defcon1 for folks in the investment community,” said a senior lobbyist

for the private-finance industry, referring to a term that indicates the highest state of U.S. military readiness. “Even the potential for attacks like this has a chilling effect on capital flows into the U.S.”

Section 899 makes up part of the package of tax cuts that squeaked through the House of Representatives in May and remained largely intact in the version that emerged from the Senate Finance Committee.

Despite internal disagreements, the Republicans aim to have the bill on the president’s desk by July 4.

The provision calls for escalating U.S. taxes on residents and government entities of other countries that impose “unfair foreign taxes” on U.S. entities. Critics of the plan have called it a revenge tax and warn it could hit demand for U.S. assets.

While the provision is

mainly aimed at multinational corporations that impose what President Trump views as unjustified levies on U.S. businesses, particularly tech companies, the bill also has implications for private fund investors.

Many non-U.S. investors would be on the hook for sharply higher taxes on dividends derived from their investments in U.S. businesses. The new tax also would apply to overseas investors in credit funds that lend to U.S. borrowers and gains from U.S. real-estate investments, according to law firm Kirkland & Ellis.

Those subject to these taxes include foreign government pension plans and sovereign-wealth funds, a class of investors until now exempt from withholding taxes in the U.S. Sovereign funds are among the biggest investors worldwide in private funds.

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COMMERCIAL REAL ESTATE

UCC PUBLIC SALE NOTICE PLEASE TAKE NOTICE THAT MSC – Cambridge Charlotte Holdco, LLC (“Secured Party”) will offer for sale at public auction (“Sale”) 100% of the limited liability interests (the “Interests”) in Cambridge Acquisitions, LLC, Cambridge Acquisitions 2, LLC, Cambridge Acquisitions 3, LLC, and Cambridge Acquisitions 4, LLC, each a Delaware limited liability company collectively, “Pledged Entities” held by Cambridge Mezz LLC, Cambridge Mezz 2 LLC, Cambridge Mezz 3 LLC, and Cambridge Mezz 4 LLC (individually and collectively, “Mezzanine Borrower”) as set forth in that certain Amended and Restated Pledge and Security Agreement dated of November 30, 2018 (“Pledge Agreement”), together with certain rights and property representing, relating to, or arising from the Interests (collectively, the “Collateral”).

The Sale will take place on August 12, 2025 at 3:00 p.m. Eastern Time in compliance with Uniform Commercial Code Section 9-610 both (i) at Moritz Hock & Hanff LLP, 1407 Broadway, 29th Floor New York, NY 10018 and (ii) virtually via online video conference. The URL address and password for the online video conference will be provided to all registered participants.

The Sale is being made in connection with the foreclosure on a pledge of the Collateral to the Secured Party by Mezzanine Borrower under the Pledge Agreement, pursuant to which Mezzanine Borrower has granted to Secured Party a first priority lien on the Collateral as collateral for the loan in the original principal amount of \$6,900,000.00 (“Mezzanine Loan”) from Secured Party to Mezzanine Borrower. To participate in the auction, prospective bidders must consent to that certain Mezzanine Loan Agreement, dated October 9, 2018, as modified (“Mezzanine Loan Agreement”). It is the understanding of Secured Party (but without representation or warranty of any kind by Secured Party as to the accuracy of the following) that the Mezzanine Loan is in default.

Based upon information provided by the Mezzanine Borrower and its affiliates, it is the understanding of Secured Party (but without representation or warranty of any kind by Secured Party as to the accuracy of the following) that (i) Mezzanine Borrower owns the Interests, (ii) the Interests constitute the principal assets of the Mezzanine Borrower, (iii) Pledged Entities are the owner of certain real property located at 10101 Claude Freeman Drive, Charlotte, NC (“Property”), (iv) Pledged Entities’ principal assets are the Property and certain related rights, and (v) the Property is encumbered by a mortgage lien granted by Pledged Entities as security for a mortgage loan (“Mortgage Loan”) made pursuant to that certain Loan Agreement, dated October 9, 2018, as modified (“Mortgage Loan Agreement”). An online datasite for the Sale (the “Datasite”) is available at the following link: <https://r1.markitplace.com/listing/263437-6-9-million-charlotte-office-ucc-foreclosure>. The Datasite will include certain relevant information that Secured Party possesses concerning the Mezzanine Borrower, the Pledged Entities, the Property, the Mezzanine Loan, and the Mortgage (collectively, the “Disclosed Materials”) as well as the Terms of Sale for Public Auction relating to the Sale of the Collateral (“Terms of Sale”). Access to such information will be conditioned upon execution of a confidentiality agreement which can be found on the Datasite. To participate in the auction, prospective bidders must consent to their ability to satisfy the Requirements in the manner described in the Terms of Sale, and following such confirmation, such qualified participants will be provided a URL and password enabling access to the video conference for the Sale. No information provided, whether in the Datasite or otherwise, shall constitute a representation or warranty of any kind with respect to such information, the Collateral or the Sale. Participants are encouraged to review all Disclosed Materials and perform such due diligence as they deem necessary in advance of the Sale.

The Interests will be offered in a single lot. The Interests are being sold strictly on an “AS IS AND WHERE IS” BASIS, AND (i) WITHOUT ANY REPRESENTATIONS OR WARRANTIES (WHETHER EXPRESSED OR IMPLIED) OF ANY KIND MADE BY THE SECURED PARTY (OR ANY OTHER PERSON ACTING FOR OR ON BEHALF OF THE SECURED PARTY), INCLUDING, WITHOUT LIMITATION, WITH RESPECT TO THE EXISTENCE OR NONEXISTENCE OF OTHER LIENS, THE QUANTITY, QUALITY, CONDITION OR DESCRIPTION OF THE INTERESTS, THE PROPERTY, AND/OR THE VALUE OF ANY OF THE FOREGOING, AND (ii) WITHOUT ANY RECOURSE WHATSOEVER AGAINST THE SECURED PARTY (OR ANY OTHER PERSON ACTING FOR OR ON BEHALF OF THE SECURED PARTY). Without limiting the foregoing, any purchaser must purchase the Interests subject to the terms the governing documents of the Pledged Entities (including their operating agreements). There are specific requirements for any potential bidder in connection with obtaining information, bidding on the Collateral and purchasing the Collateral (collectively, the “Requirements”), including without limitation complying with: (1) the Mezzanine Loan Agreement and other documents executed in connection with the Mezzanine Loan, the Mortgage Loan Agreement and other loan documents executed in connection with the Mortgage Loan, and the Intercreditor Agreement between Secured Party and the holder of the Mortgage Loan dated October 9, 2018, as amended (“Intercreditor Agreement”), including without limitation in each case any requirements contained therein for a sale and transfer of the Collateral, (2) the Pledged Entities’ governing documents, (3) the Terms of Sale. The Requirements also include, without limitation, that each bidder must be a “Qualified Transferee” as that term is defined in the Intercreditor Agreement and the successful bidder must satisfy all of the applicable requirements of the Intercreditor Agreement, including but not limited to Section 6 thereof (including, without limitation, the furnishing to the holder of the Mortgage Loan acceptable Third-Party Agreements (as defined in the Intercreditor Agreement)). Meeting any requirements of the Intercreditor Agreement shall be at the sole risk, cost and expense of each prospective bidder. Prospective bidders are advised that the failure to meet such requirements may result in a default under the Intercreditor Agreement and/or the inability of a successful bidder to purchase the Interests. The Secured Party reserves the right to require a showing of financial ability from prospective bidders prior to the date of the Sale. If a prospective bidder is a special purpose entity or an entity with creditworthiness that is, in the Secured Party’s reasonable judgment, insufficient to support the requirements herein, the Secured Party reserves the right to require additional credit support in the form of a guaranty by a creditworthy affiliate of such prospective bidder or other appropriate credit support.

The Collateral includes unregistered securities under the Securities Act of 1933, as amended (the “Securities Act”), and Secured Party reserves the right to restrict participation in the Sale to prospective bidders that represent that the Collateral will not be sold, assigned, pledged, disposed of, hypothecated or otherwise transferred without the prior registration in accordance with the Securities Act and the securities laws of all other applicable jurisdictions, unless an exemption from such registration is available.

Secured Party may, prior to the Sale described herein, assign all of its right, title and interest in and to the Mezzanine Loan to an affiliate, and in the case of such assignment the assignee shall be considered the “Secured Party” for all purposes hereunder. Secured Party reserves the right to credit bid, set a minimum reserve price, reject all bids and terminate or adjourn the sale to another time, without further notice. All bids (other than credit bids of Secured Party) must be for cash with no financing conditions and the successful bidder must deliver immediately available good funds (1) for the Required Deposit (as defined in the Terms of Sale) on the date of the Sale, and (2) for the balance of the purchase price for the Collateral on the closing date prescribed by the Terms of Sale. The winning bidder must pay all transfer taxes, recording fees, stamp duties and similar taxes as may be required to be paid under applicable law in connection with the purchase of the Collateral. Questions may be directed to John Daniels at (312) 224-3260 or John.Daniels@nmrk.com.

SECURED PARTY'S SALE AT PUBLIC AUCTION
Sale of Loan Secured by Former Marriott Courtyard Hotel
THURSDAY, JUNE 26, 2025 AT 11:00 AM EASTERN TIME at

Riemer & Braunstein LLP
Time Square Tower, Suite 2506 | Seven Times Square | New York, New York 10036
All right, title and interest of BC2 Beaumont LLC, a Delaware limited liability company, in and to a certain loan arrangement between BC2 Beaumont LLC as lender, and Dave Raj Brothers LP, a Texas limited partnership, as borrower, in the original principal amount of \$7,250,000, including a Deed of Trust, Security Agreement and Financing Statement with respect to real property located at 2275 Interstate 10 South, Beaumont, Texas.
For Further Information Please Visit www.re-auctions.com
Terms of Sale: \$250,000.00 deposit in certified or bank cashier's check will be required at the time and place of the sale in order to qualify as a bidder. If you wish to bid remotely then the deposit must be wired to the auctioneer prior to bidding. The balance will be due within 30 days at the offices of the Attorney for the Mortgagee: Phillip J Block, Riemer & Braunstein LLP, 71 South Wacker Drive, Suite 3515 | Chicago, Illinois 60606.

Daniel P. McLaughlin & Co. AUCTIONEERS LLC
77 Fourth Avenue, 3rd fl., Waltham, MA 02451 PH: 781-208-0377

COMMERCIAL REAL ESTATE

Notice of Disposition of Collateral
Public Auction – UCC Sale
Notice is hereby given that, in accordance with applicable provisions of the Uniform Commercial Code (the “UCC”), as enacted in the State of New York, MFI Capital LLC (“Secured Party”), a Delaware limited liability company will offer for sale (the “Sale”), at public auction, all right, title, and interest of DAJ 1500 Pine Manager LLC (“Pledgor”), a Delaware limited liability company, in and to 100% of the limited liability company membership interests, together with all economic rights and governance rights associated therewith, in and to DAJ 1500 Pine LLC (the “Collateral”). DAJ 1500 Pine LLC is a Delaware limited liability company and the owner of the real property, and improvements thereon, located at 1200 Pine Street, Philadelphia, Pennsylvania 19102 (the “Property”). The Sale shall occur on **July 22, 2025 at 10:30 a.m. (ET)** at the top of the front steps of the Courthouse of the New York County Supreme Court located at 60 Centre Street, New York, New York 10007 with an option to participate virtually via the following Zoom meeting link: <https://bit.ly/DAJ1500>, Meeting ID: 845-1412-0695, Password: 047854, Call-in number: 1-646-951-3660 (US). The sale will be conducted by Matthew D. Mannion of Mannion Auctions, LLC. Parties interested in bidding on the Collateral must contact Secured Party’s counsel, Jack Doherty, Esq. of Holland & Knight at (212) 751-3003 or jack.doherty@hklaw.com. Upon execution of a non-disclosure agreement, a copy of the Terms of Sale and additional documentation and information will be made available.
Secured Party, as lender, made a loan (the “Mezzanine Loan”) to Pledgor, in the original principal amount of \$2,950,000.00. In connection with the Mezzanine Loan, Secured Party obtained a first-priority lien on the Collateral pursuant to a certain Pledge and Security Agreement. Secured Party is conducting the Sale as a result of Pledgor’s default(s) under the applicable Mezzanine Loan documents. The Mezzanine Loan is subject to a senior loan (the “Senior Loan” and first-priority lien) made by another lender. Upon execution of the applicable Mezzanine Loan documents and liabilities set forth in the Senior Loan documents. The Collateral is being offered as a single lot, “as-is, where-is”, with no express or implied warranties, representations, statements or conditions of any kind made by Secured Party or any person acting for or on behalf of the Secured Party, without any recourse whatsoever to the Secured Party or any other person acting for or on behalf of the Secured Party and each bidder must make its own inquiry regarding the Collateral. The successful bidder shall be responsible for the payment of all transfer taxes, stamp duties and similar taxes incurred in connection with the purchase of the Collateral.
The Secured Party reserves the right to credit bid, set a minimum reserve price, reject all bids and terminate or adjourn the sale to another time, without further notice. All bids (other than credit bids of the Secured Party) must be for cash, and the successful bidder must be prepared to comply with the bidding and closing requirements in the Terms of Sale. None of the Collateral has been registered for sale under any federal or state securities or blue sky laws, and as such may not be sold or otherwise transferred by Secured Party or a purchaser of any Collateral except in accordance with applicable law.

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THE TICKER | MARKET EVENTS COMING THIS WEEK

Monday	Carnival 0.25/0.11	Jefferies Financial Group 0.44/0.64	15-year fixed 5.96%
Existing home sales	FedEx 5.88/5.41		Initial jobless claims
Apr., previous 4.0 mil.	TD Synnex 2.72/2.73	Micron Technology 1.59/0.62	Previous 245,000
May, expected 3.95 mil.		Paychex 1.19/1.12	Expected 248,000
Earnings expected			EIA report: natural-gas
Estimate/Year Ago			Previous change in stocks in billions of cubic feet
Commercial Metals			up 95
Ratio, days of trading volume of current position, at May 30			
FactSet Research Systems 0.85/1.02			Earnings expected
KB Home 4.30/4.37			Estimate/Year Ago
1.46/2.15			Acuity 4.41/4.15
			Concentrix 2.75/2.69
Tuesday			McCormick & Co. 0.65/0.69
Consumer Confidence			Nike 0.12/1.01
May, previous 98.0			Walgreens Boots Alliance 0.33/0.63
Jun., expected 99.1			
Current account			Friday
4th qtr., previous			Personal spending
\$303.9 bil. Deficit			Apr., previous up 0.2%
1st qtr., expected			May, expected up 0.2%
\$451.1 bil. Deficit			Personal income
Earnings expected			Apr., previous up 0.8%
Estimate/Year Ago			May, expected up 0.3%
AeroVironment 1.40/0.43			U.Mich. consumer index
			Jun., prelim 60.5
			Jun., final 59.5

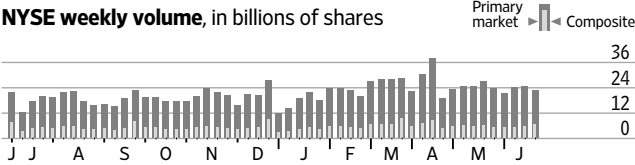
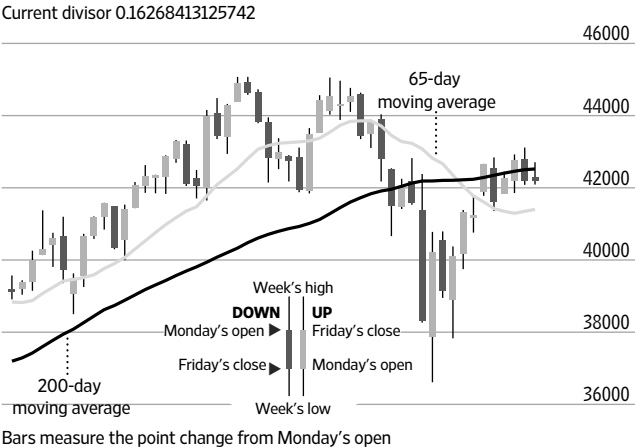
* FactSet Estimates earnings-per-share estimates don't include extraordinary items (Losses in parentheses)
◆ Adjusted for stock split

Note: Forecasts are from Dow Jones weekly survey of economists

Dow Jones Industrial Average

42206.82 ▲9.03, or 0.02% last week
High, low, open and close for each of the past 52 weeks

Last	Year ago
23.86	27.17
P/E estimate *	20.28
18.96	
Dividend yield	1.72
2.16	
All-time high	45014.04, 12/04/24



*Weekly P/E data based on as-reported earnings from Biriiny Associates Inc.; †Based on Nasdaq-100 Index

Major U.S. Stock-Market Indexes

	High	Low	Latest Week Close	Net chg	% chg	Low	52-Week Close (●)	High	% chg	YTD	3-yr. ann.
Dow Jones											
Industrial Average	42707.73	42089.99	42206.82	9.03	0.02	37645.59		45014.04	7.8	-0.8	12.2
Transportation Avg	14940.53	14653.33	14764.80	79.24	0.54	12637.04		17754.38	2.3	-7.1	4.7
Utility Average	1045.79	1016.42	1037.61	0.67	0.06	898.82		1079.88	14.1	5.6	5.3
Total Stock Market	59776.77	58844.54	59002.40	-26.27	-0.04	49067.76		61024.05	9.5	1.0	16.9
Barron's 400	1287.43	1267.17	1271.30	3.56	0.28	1058.38		1356.99	12.5	1.6	14.3
Nasdaq Stock Market											
Nasdaq Composite	19733.31	19380.58	19447.41	40.58	0.21	15267.91		20173.89	9.9	0.7	21.7
Nasdaq-100	21979.77	21552.80	21626.39	-4.65	-0.02	17090.40		22175.6	9.8	2.9	24.3
S&P											
500 Index	6050.83	5952.56	5967.84	-9.13	-0.15	4982.77		6144.15	9.2	1.5	17.5
MidCap 400	3054.93	3006.70	3025.18	18.48	0.61	2560.93		3390.26	3.2	-3.1	10.9
SmallCap 600	1314.67	1292.61	1296.70	2.63	0.20	1106.12		1544.66	1.1	-7.9	5.8
Other Indexes											
Russell 2000	2134.71	2100.44	2109.27	8.76	0.42	1760.71		2442.03	4.3	-5.4	8.2
NYSE Composite	20204.39	19838.30	19868.36	-112.71	-0.56	17188.46		20272.04	10.4	4.0	12.1
Value Line	592.61	582.82	584.20	0.81	0.14	495.50		656.04	0.1	-4.4	4.3
NYSE Arca Biotech	5648.31	5496.77	5526.33	-121.98	-2.16	5060.12		6318.63	5.3	-3.8	8.2
NYSE Arca Pharma	965.76	914.45	917.63	-48.13	-4.98	860.88		1140.17	-13.6	-1.8	5.6
KBW Bank	131.66	127.56	131.37	4.19	3.29	101.92		140.59	28.9	3.1	9.3
PHLX\$ Gold/Silver	211.24	204.69	204.94	-5.87	-2.79	136.20		210.81	48.9	49.4	19.1
PHLX\$ Oil Service	64.06	61.28	61.38	-2.00	-3.16	50.70		92.31	-25.3	-15.5	-2.4
PHLX\$ Semiconductor	5311.76	5143.65	5211.48	99.24	1.94	3562.94		5904.54	-5.9	4.6	26.4
Cboe Volatility	21.79	18.67	20.62	-0.20	-0.96	12.03		52.33	56.2	18.8	-12.8

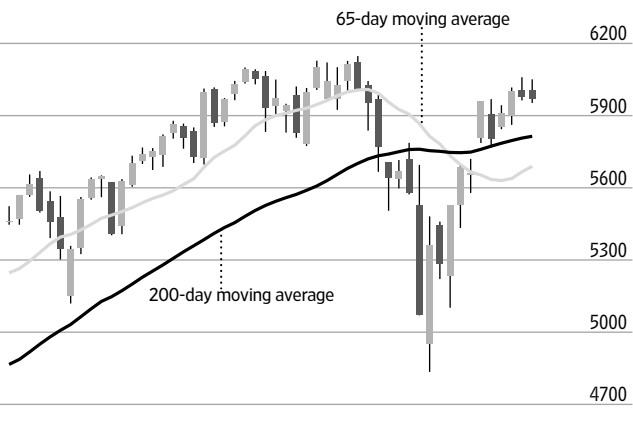
†Nasdaq PHLX

Sources: FactSet; Dow Jones Market Data

S&P 500 Index

5967.84 ▼9.13, or 0.15% last week
High, low, open and close for each of the past 52 weeks

Last	Year ago
23.58	24.01
P/E estimate *	22.75
22.27	
Dividend yield *	1.28
1.34	
All-time high	6144.15, 02/19/25

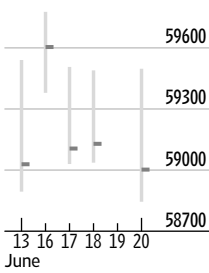
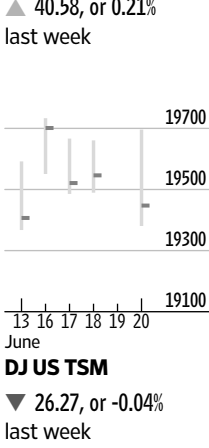


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Nasdaq Composite



New to the Market

Public Offerings of Stock

IPOs in the U.S. Market

None expected this week

Lockup Expirations

Below, companies whose officers and other insiders will become eligible to sell shares in their newly public companies for the first time. Such sales can move the stock's price.

Lockup expiration	Issue date		Symbol	Offer price(\$)	Offer amt (\$ mil.)	Through Friday (%)	Lockup provision
June 24	Dec. 27, '24	Park Ha Biological Technology	PHH	4.00	4.8	564.3%	180 days
	March 27, '25	WF Holding	WFF	4.00	8.0	25.0%	90 days
June 28	Dec. 31, '24	OneConstruction Group	ONEG	4.00	7.0	76.0%	180 days

Sources: LSEG Data and Analytics; Dow Jones Market Data

IPO Scorecard

Performance of IPOs, most-recent listed first

Company	SYMBOL	IPO date/Offer price	Friday's close (\$)	Offer price	1st-day close	% Chg From	Company	SYMBOL	IPO date/Offer price	Friday's close (\$)	Offer price	1st-day close	% Chg From
Axiom Intelligence Acquisition I	AXINU	June 18/\$10.00	10.06	0.5	0.1	0.1	Vantage	VNTG	June 12/\$4.00	3.85	3.85	-3.8	1.3
Caris Life Sciences	CAI	June 18/\$21.00	27.25	29.8	-2.7	-2.7	Ategrity Spcl Insurance	ASIC	June 11/\$17.00	22.57	32.8	-8.5	-8.5
Enigmatis	EGG	June 18/\$5.00	4.67	-6.6	-28.5	-28.5	Voyager Tech	VOYG	June 11/\$31.00	44.70	44.2	-20.9	-20.9
Pioneer Acquisition I	PACHU	June 18/\$10.00	10.00	...	-0.1	-0.1	Blue Water Acquisition III	BLUWU	June 10/\$10.00	10.02	0.2	0.2	0.2
Slide Insurance Hldgs	SLDE	June 18/\$17.00	23.30	37.1	15.1	15.1	707 Cayman Hldgs	JEM	June 9/\$4.00	6.27	56.8	62.9	62.9
Jyong Biotech	MENS	June 17/\$7.50	8.01	6.8	-20.8	-20.8	Omada Health	OMDA	June 6/\$19.00	15.20	-20.0	-33.9	-33.9
Airo Grp Hldgs	AIRO	June 13/\$10.00	22.24	122.4	-7.3	-7.3	Circle Internet Grp	CRCL	June 5/\$31.00	240.28	675.1	188.7	188.7
BEST SPAC I Acquisition	BSAAU	June 13/\$10.00	10.04	0.4	0.2	0.2	Pitmanium	PTNM	May 30/\$4.00	7.34	83.5	93.2	93.2
Blue Acquisition	BACCU	June 13/\$10.00	10.09	0.9	0.6	0.6	Jena Acquisition II	JENA.II	May 29/\$10.00	10.30	3.0	1.9	1.9
Chime Financial	CHYM	June 12/\$27.00	29.53	9.4	-20.4	-20.4	Wintergreen Acquisition	WGTGU	May 29/\$10.00	10.07	0.7	0.8	0.8

Sources: Dow Jones Market Data; FactSet

Public and Private Borrowing

Treasurys

Tuesday, June 24	Monday, June 23
Auction of 6 week bill; announced on June 18; settles on June 26	Auction of 13 and 26 week bills; announced on June 18; settles on June 26
Auction of 2 year note; announced on June 18; settles on June 30	Wednesday, June 25
Thursday, June 26	Auction of 5 year note; announced on June 18; settles on June 30
Auction of 7 year note; announced on June 18; settles on June 30	Auction of 17 week bill; announced on June 24; settles on July 1
Auction of 4 and 8 week bill; announced on June 24; settles on July 1	

A Week in the Life of the DJIA

A look at how the Dow Jones Industrial Average component stocks did in the past week and how much each moved the index. The DJIA gained 9.03 points, or 0.02%, on the week. A \$1 change in the price of any DJIA stock = 6.15-point change in the average. To date, a \$1,000 investment on Dec. 31 in each current DJIA stock component would have returned \$30,550, or a gain of 1.83%, on the \$30,000 investment, including reinvested dividends.

The Week's Action					\$1,000 Invested (year-end '24)		
Pct chg (%)	Stock price	Point chg in average	Company	Symbol	Close	\$1,000	
4.44	27.26	167.56	Goldman Sachs	GS	\$640.80		\$1,130
3.79	10.05	61.78	JPMorgan Chase	JPM	275.00		1,161
3.75	10.80	66.39	American Express	AXP	298.59		1,012
3.48	2.23	13.71	Cisco	CSCO	66.32		1,136
2.49	3.64	22.37	Chevron	CVX	149.55		1,057
2.32	4.55	27.97	Apple	AAPL	201.00		805
1.78	1.68	10.33	Walmart	WMT	96.12		1,069
1.35	3.75	23.05	IBM	IBM	280.97		1,295
1.32	1.88	11.56	NVIDIA	NVDA	143.85		1,071
1.20	1.71	10.51	3M	MMM	144.03		1,127
0.97	3.47	21.33	Caterpillar	CAT	360.52		1,002
0.86	2.23	13.71	Salesforce	CRM	260.63		782
0.57	1.51	9.28	Travelers	TRV	264.98		1,109
0.51	2.44	15.00	Microsoft	MSFT	477.40		1,137
-0.26	-0.31	-1.91	Walt Disney	DIS	117.63		1,056
-0.71	-2.38	-14.63	Sherwin-Williams	SHW	333.50		985
-0.75	-1.20	-7.38	Procter & Gamble	PG	159.08		961
-0.78	-1.57	-9.65	Boeing	BA	198.75		1,123
-1.11	-2.49	-15.31	Honeywell	HON	221.80		992
-1.14	-2.41	-14.81	Amazon.com	AMZN	209.69		956
-1.22	-0.74	-4.55	NIKE	NKE	59.79		799
-1.42	-5.04	-30.98	Home Depot	HD	349.62		910
-2.00	-5.89	-36.21	Amgen	AMGN	289.33		1,129
-3.05	-1.31	-8.05	Verizon	VZ	41.70		1,078
-3.07	-2.18	-13.40	Coca-Cola	KO	68.84		1,122
-3.24	-2.65	-16.29	Merck & Co	MRK	79.06		810
-3.67	-11.52	-70.81	UnitedHealth Group	UNH	302.01		604
-4.05	-14.28	-87.78	Visa	V	338.57		1,075
-4.65	-7.31	-44.93	Johnson & Johnson	JNJ	149.79		1,053
-4.79	-14.45	-88.82	McDonald's	MCD	287.46		1,003

International Stock Indexes

Region/Country	Index	Close	Latest Week % chg	Low	52-Week Range	High	YTD % chg
World	MSCI ACWI	885.76	-0.44	742.96		899.61	5.3
	MSCI ACWI ex-USA	367.43	-1.01	306.87		375.12	12.8
	MSCI World	3881.69	-0.49	3254.24		3944.58	4.7
	MSCI Emerging Markets	1189.85	-0.02	993.45		1208.98	10.6
Americas	MSCI AC Americas	2259.34	-0.16	1878.80		2316.90	2.1
Canada	S&P/TSX Comp	26497.57	-0.03	21554.86		26615.75	7.2
Latin Amer.	MSCI EM Latin America	2264.56	-0.29	1842.59		2345.73	22.2
Brazil	Bovespa	137115.83	-0.07	118532.68		140109.63	14.0
Chile	S&P IPSA	4206.67	-1.61	3306.43		4430.90	16.4
Mexico	S&P/BMV IPC	56264.69	-2.04	48837.72		58735.86	13.6
EMEA	STOXX Europe 600	536.53	-1.54	469.89		563.13	5.7
	STOXX Europe 50	4440.12	-1.85	3968.17		4809.98	3.1
Eurozone	Euro STOXX	552.81	-1.06	472.81		572.91	9.4
	Euro STOXX 50	5233.58	-1.08	4571.60		5540.69	6.9
Austria	ATX	4334.65	-0.47	3443.70		4455.03	18.3
Belgium	Bel-20	4439.53	-0.82	3862.22		4555.90	4.1
France	CAC 40	7589.66	-1.24	6863.02		8206.56	2.8
Germany	DAX	23350.55	-0.70	17339.00		24323.58	17.3
Greece	Athex Composite	1802.06	-1.82	1341.23		1876.42	22.6
Israel	Tel Aviv	2834.31	5.21	1916.13		2834.31	18.3
Italy	FTSE MIB	39231.35	-0.53	31107		40656	14.8
Netherlands	AEX	908.52	-1.53	796.45		948.54	3.4
Norway	Oslo Bors All-Share	1898.50	1.25	1563.79		1901.60	15.4
Portugal	PSI 20	7444.96	-0.41	6253.96		7545.86	16.7
South Africa	FTSE/JSE All-Share	94710.48	-0.64	78969.33		97029.34	12.6
Spain	IBEX 35	13850.30	-0.43	10390.5		14323.4	19.5
Sweden	OMX Stockholm	929.61	-0.47	824.22		1057.57	-2.6
Switzerland	Swiss Market	11871.32	-2.26	10887.73		13166.68	2.3
U.K.	FTSE 100	8774.65	-0.86	7679.48		8884.92	7.4
Asia-Pacific	MSCI AC Asia Pacific	197.53	-0.31	162.82		200.6	8.8
Australia	S&P/ASX 200	8505.50	-0.49	7343.3		8592.1	4.2
China	Shanghai Composite	3359.90	-0.51	2704.09		3489.78	0.2
Hong Kong	Hang Seng	23530.48	-1.52	16647.34		24771.14	17.3
India	BSE Sensex	82408.17	1.59	72989.93		85836.12	5.5
Japan	NIKKEI 225	38403.23	1.50	31136.58		42224.02	-3.7
Malaysia	FTSE Bursa Malaysia KLCI	1502.74	-1.01	1400.59		1678.80	-8.5
Singapore	Straits Times	3883.43	-0.72	3198.44		3981.57	2.5
South Korea	KOSPI	3021.84	4.40	2293.70		3021.84	25.9
Taiwan	TAIEX	22045.74	-0.12	17391.76		24390.03	-4.3

CLOSED-END FUNDS

Listed are the 300 largest closed-end funds as measured by assets. Closed-end funds sell a limited number of shares and invest the proceeds in securities. Unlike open-end funds, closed-ends generally do not buy their shares back from investors who wish to cash in their holdings. Instead, fund shares trade on a stock exchange. **NA** signifies that the information is not available or not applicable. **NS** signifies funds not in existence for the entire period. 12 month yield is computed by dividing income dividends paid (during the previous 12 months for periods ending at month-end or during the previous 52 weeks for periods ending at any time other than month-end) by the latest month-end market price adjusted for capital gains distributions. Depending on the fund category, either 12-month yield or total return is listed.

Source: LSEG

Friday, June 20, 2025

Fund (SYM)	NAV	Prem	52 wk
	Close	/Disc	Ret

Fund (SYM)	NAV	Prem	52 wk
	Close	/Disc	Ret
General Equity Funds			
Adams Diversified Eq Inc	ADZ	22.40	20.71
BlackRock En Lg Cap Cr	CI	21.78	20.34
Central Secs	CET	55.96	47.00
CohenStrsCEOppFnd	FVF	12.20	12.30
EVTXAdvDivIncm	EDV	24.23	NA
GabelliDivIncTr	GDV	NA	24.81
Gabelli Equity Tr	GAB	NA	5.70
GeneralAmer	GAM	61.93	54.00
JHancockTaxAdvDiv	HTD	24.67	22.54
Liberty All-Star Equity	USA	6.77	6.54
Liberty All-Star Growth	ASG	5.71	5.21
Royce Micro-Cap Tr	RMT	10.02	8.74
Royce Value Trust	RVT	16.16	14.49
Source Capital	SOR	45.09	42.53
Special Operations	SPE	16.64	14.97
Sprott Focus Trust	FUND	8.35	7.40
SRH Total Return	STEW	21.51	17.15
Tri-Continental	TY	34.67	30.67

Specialized Equity Funds

Fund (SYM)	NAV	Prem	52 wk
	Close	/Disc	Ret
abrdn Gbl Prem Pro	AWP	3.86	3.94
abrdn Global Infra Inc	ASGI	20.96	20.28
Adams Natural Resources	BNP	24.27	22.14
ASA Gold & Prec Met Ltd	ASA	35.98	32.59
BlackRock Energy & Res	BGR	9.16	8.53
BlackRock Enh Gbl Div	BOE	12.07	11.04
BlackRock Enh Intl Div	BGY	6.10	5.61
BlackRock ESG Cap Alty	BEZ	16.21	15.66
BlackRock Hlth Sciences	BMEZ	15.06	14.15
BlackRock SciTech	BSC	38.48	35.50
BlackRock Res & Comm	BCX	10.21	9.39
BlackRock Sci&Tech	BST	38.82	36.69
BlackRock Innov&Goro Term	BTA	7.33	NA
BlackRock UTI Inf & Pwr	BUA	24.18	24.60
CLEARBRIDGEENGYMOP	EMO	NA	46.83
ChnStrInfr	UTF	25.05	26.04
Cohen&SteersQualinc	RQI	12.90	12.29
CohenStrsRealEstat	RLT	16.05	15.05
Cohen&SteersTotRet	RFT	11.59	11.83
CohenStrsREITPrefInc	RNP	21.11	22.12
Columbia Sel Pm Tech Gr	STK	28.51	29.01
DNP Select Income	DNP	NA	9.66
Duff&PhiliAltnfraIncFd	DGP	NA	12.04
EtnVncEqtyIncl	EOI	NA	20.05
EtnVncEqtyIncl	EOS	NA	22.96
EVRS&MndVdEqInc	ETJ	NA	8.67
JHancockMgdByWrtInc	ETB	NA	14.00
EtnVncMgdByWrtOpp	ETV	NA	13.40
EVTXMnGblGldB	ETX	NA	14.93
EtnVncMnGblGldB	ETG	NA	8.33
EVTXMnGblVdEqInc	ETX	NA	8.47
First Tr Enhanced Eq	FFA	21.00	19.87
Gabelli HealthCare	GRX	NA	9.33
Gab Utility	GUT	NA	5.67
GAMCOGOLD&NatRes	GGN	NA	4.45
J Hanc Fin Opps	JOY	32.09	32.62
KayneEnergyInfranc	KYN	13.82	12.37
Neuberger Brmn Enrgy	NML	9.84	8.80
Neuberger Nxt Gen Com	NBGX	NA	13.64
NubrgRlESTSec	NJC	3.32	3.20
Nuv Dor 30Dm Overwrite	DIA	NA	13.63
Nuv CorEqAlpHa	JAX	NA	14.71
Nuveen Nasdaq 100 Dyn	QQQQ	NA	25.24
Nuv Real Est	JRS	8.40	7.75
NuvSP&S000DynVdF	SPXX	NA	16.93
NuvSP500BnylnFnd	BXMX	14.70	13.34
NGX Gushing Mdstm Enrg	SRV	41.79	42.15
NGX GenMst Infrns Inc	NXA	47.27	48.78
ReavesUtilityIncome	TYG	35.26	34.78
Tortoise Enrg Infr Cr	UTC	NA	42.58

Income & Preferred Stock Funds

Fund (SYM)	NAV	Prem	52 wk
	Close	/Disc	Ret
Dividend and Income	BKSY	20.47	NA
CalamosStratTot	CSQ	17.84	17.33
CohenStrsLtdDPrfInc	LDP	21.87	20.70
CohenStrsSelPrfIncm	PSF	21.38	19.75
CohenStrsTaxAdvPrfSecs	PTA	20.55	19.61
FirstTrIntDPrfInc	FPF	19.04	18.43
JHancPrefInc	HPI	15.66	15.79
JHPrefIncl	HPF	15.52	15.57
HockJPFdnInc III	HPS	13.96	14.07
J Hanc Pm	PDT	13.40	12.98
LMP Caplino	SCD	NA	15.27
Nuveen Pref & Inc Opp	JPC	7.90	7.93
Nuveen Pref Secs & Inc Op	JPI	19.72	20.31
Nuveen Var Rate P&I	NPF	19.82	19.00
TCW Strat Income	TSI	NA	4.88

Convertible Sec's Funds

Fund (SYM)	NAV	Prem	52 wk
	Close	/Disc	Ret
AdvtCnvtbldIncr	AVI	12.17	11.62
CalamosConvHi	CHI	10.33	10.52
CalamosConvOp	CHY	9.77	10.07
V Conv & Inc	NCV	NA	13.55
V Conv & Inc	NCZ	NA	12.25
V Div Inc & Conv	ACV	NA	21.96
V Eqty & Conv Inc	NIE	NA	22.81

World Equity Funds

Fund (SYM)	NAV	Prem	52 wk
	Close	/Disc	Ret
abrdn Emg Mkts Ex-China	AEF	6.44	5.69
abrdn Gbl Dyn Div	AGD	10.90	10.60
abrdn Tot Dyn Div	AGD	9.43	8.63
Allspring Gbl Div Oppy	EOD	NA	5.15
BlackRock Cap Alloc Term	BCAT	15.40	14.75
Calamos GldDylnic	CHW	7.66	6.78
EV TXAdvGlbDivIncm	ETG	NA	19.95
EtnVncTxAdvGlbOpp	ETO	NA	25.99
Highland Global Alty	HGLB	11.99	8.95
India Fund	IFN	16.79	15.91
Japan Smaller Cap	JOF	10.65	9.50
LazardGblTtRetLnc	RLG	17.16	16.09
Mexico	MXF	20.10	16.45
MS ChinaSrrFd	CAF	15.96	13.27
MS India	IF	30.03	27.16
New Germany	GF	12.58	11.37
Nuveen Multi-Asset Inc	GMI	13.49	12.28
Nuveen RI Asst Inc	GRI	13.35	13.06
NYU GBRG Gbl Inf Mgt	MEGI	15.24	14.02
Templeton Div Inc	TDI	NA	9.70
Templeton Em Mkt	EMF	NA	13.90

U.S. Mortgage Bond Funds

Fund (SYM)	NAV	Prem	52 wk
	Close	/Disc	Ret
BlackRock Mortgage	BKT	11.76	11.60

Investment Grade Bond Funds

Fund (SYM)	NAV	Prem	52 wk
	Close	/Disc	Ret
Angel Oak FS Inc Tms	FNS	NA	12.73
BlRck Core Bond	BHK	9.91	9.62
BR Credit Alloc Inc	BTC	11.21	10.68
InvescoBond	VBZ	16.16	14.07
J Hanc Income	JHS	15.20	11.06
MFS Intmdt	MIN	2.74	2.66

Loan Participation Funds

Fund (SYM)	NAV	Prem	52 wk
	Close	/Disc	Ret
BR Debt Strategy	DSU	10.29	10.46
BRF/R Inc Str	FRA	12.39	12.89
BlackRock Floating Rte Inc	BGT	12.09	12.26
Blackstone Lng Str Cr Inc	BGX	NA	12.23
BS SFR 2027 Tr	BGL	14.48	14.18
BS Str Cr 2027 Tr	BSL	12.66	12.00
EtnVncFltRtInc	EFT	NA	12.16
EV SenFIRTr	EFF	NA	11.80
FT/Sr Fltg Rte Inc	FCT	10.52	9.93
Highland Oppy & Income	HFRD	11.97	5.20
InvDyCrOpp:AX	VTA	10.75	NA
InvSnrlnc Tr	VVR	3.73	3.61
Nuveen Credit Strat Inc	JQC	5.62	5.27
NuvFlatRateIncl	JFR	8.76	8.25

High Yield Bond Funds

Fund (SYM)	NAV	Prem	52 wk
	Close	/Disc	Ret
abrdn Inc Credit Str	ACP	6.12	5.87
AllianceBemGhlncm	AWF	11.28	10.89
Allspring Income	AWI	NA	6.90
Barings Gld HDY Bd	BGH	NA	15.09
BR Corporate HY	HFT	9.58	9.68
BlackRock Ltd Dur Inc	BLW	13.84	13.96
BNY Mellon HI Yield Inc	BLY	NA	2.54
Brookfield Real Asst Inc	RA	14.40	12.94
CrSuisHighYld	DHY	2.16	2.08

Fund (SYM)	NAV	Prem	12 Mo
	Close	/Disc	Yld
CSAM Income Fd	CIK	2.90	2.87
DoubleLine Inc Sol	DSL	NA	12.07
DoubleLine Yld Opps	DLI	15.71	15.49
First Trust HY Opp27	FTHY	14.99	14.45
Franklin Univ	FT	NA	7.44
KRIIncome Opportunities	KIO	NA	12.30
NeubHdYldStrt	NHS	7.50	7.57
Nuveen Global High Inc	JGH	13.53	12.60
PGIM Global High Yield	GHY	NA	13.25
PGIM High Yield Bond	ISD	NA	13.78
PGIM SHur HI Yld Opp	SDH	NA	16.51
PioneerHilcm	PHT	NA	7.99
WstAstHf II	HIX	NA	4.25
Western Asset HI Inc Opp	HIO	NA	3.93
Western Asset HI Yld O	HVI	NA	11.92

Other Domestic Taxable Bond Funds

Fund (SYM)	NAV	Prem	12 Mo
	Close	/Disc	Yld
Allspring Multi-Sector	ERC	NA	9.31
Ares Dynamic Crdt Alloc	ARC	NA	14.22
BlackRock Mkt-Sctr Inc	BIT	14.27	14.37
BlackRock Tax Muni Bd	BBN	16.86	15.68
DoubleLineOppor Crd Fd	DBL	15.20	15.47
EV LmtDurlncm	EVV	NA	10.02
Franklin Ltd Dur Income	FTF	NA	6.36
FS Credit Opportunities	FSCO	NA	7.23
J Hanc Invest	JHI	14.47	13.49
MFS Charter	MCR	6.67	6.27
NuvCorePlusImpact	NPCT	11.16	10.80
Nuveen Taxable Muni Inc	NBB	15.88	15.39
PGIM Corp & Inc Oppy	PCN	NA	13.64
PGIM Corp & Inc Str	PCY	NA	12.55
PGIM Hincm	PHK	NA	4.76
PGIM IncomeStrFd	PFL	NA	8.27
PGIM IncmStrFd II	PFN	NA	7.28
Putnam Mas Int	PIM	3.43	3.31
Putnam Prem Inc	PPI	3.78	3.65
Putnam Asset Dvld Inc	PDI	NA	14.80
Western Asset Intf-Lnk Inc	WIA	NA	8.27
Western Asset Intf-Lk Ocl	WIA	NA	8.72

World Income Funds

Fund (SYM)	NAV	Prem	12 Mo
	Close	/Disc	Yld
abrdn AP IncFd	FAX	16.63	15.79
MS EmMktDomDebt	EDD	NA	5.09
Ms EmMktDebtFnd	EDD	7.55	7.86
PGIM Access Income	PAXS	NA	15.07
PGIM Dynamic Inc Str	PDX	NA	24.84
PGIM Dynamic Inc	PDI	NA	18.72
PGIM Dynamic Inc Opp	PDO	NA	13.30
PGIM Straty Inc	RCS	NA	6.82
Templeton Gbl Inc	SABA	NA	9.03
Templeton Em Inc	TEI	NA	5.86
WstAstEmergDebt	EMD	NA	9.90

National Muni Bond Funds

Fund (SYM)	NAV	Prem	12 Mo
	Close	/Disc	Yld
AlIBerNatlMunInc	AFB	11.46	10.18
BlackRock 2037 Muni Trg	BMN	24.90	24.90
BlckRk Inv Q Muni	BKN	11.81	10.83
BlackRock Muni Trd	BTT	14.01	21.57
BlackRock Muni	BKF	10.53	9.49
BlackRock Muni Intl	BLE	10.97	9.88
BlckRk Muni Inc Qly	BYM	11.54	10.36
BR MuniAssets Fd	MUA	11.00	10.18
BR MH Qly 2	MUE	10.55	9.46
BR MuniHoldings	MHD	12.32	11.12
BR MuniVest Fd	MVF	7.24	6.58
BR MuniVest 2	MVT	11.26	10.13
BR MuniYld Fd	MYD	10.90	9.95
BR MuniYld Qly	MYQ	11.96	10.92
BR MuniYld Qly 2	MYQ	10.53	9.52
BR MuniYld Qly 3	MYT	11.41	10.38
BNY Mellon Muni Bd Infr	MDI	11.15	10.05
BNY Mellon Str Muni Bond	DSM	6.16	5.58
BNY Mellon Strat Muni	LEO	6.52	5.78
BWS Muni Inc	KTF	9.07	8.71
EV MuniBd	EVN	NA	9.50
EV MuniBd Inc	EIM	NA	10.24
EVNatMuniOpp	EOT	NA	16.10
InvAdvMunlCr Trl	VKI	8.77	8.15
Invesco MuniOpp	OIA	5.94	5.67
InvescoMunOppTr	VMO	9.80	9.06
InvescoMult Tr	VKO	9.85	9.08
InvescoQual Inc	IQI	9.94	9.31
InvTrlnvGrMun	VGM	10.15	9.42
InvescoValMunInc	IIM	12.19	11.60
NeubrgBrm	NBH	10.97	9.80
Nuveen AMT-Fr Qly Muni Val	NUV	14.59	13.63
Nuveen AMT-Fr Qly Muni	NEA	11.34	10.80
Nuveen AMT-Fr Mu Ci	NVG	12.41	11.73
Nuveen Dyn Muni Opp	NOMO	10.39	10.00
Nuveen Muni Crdt Opps	NMCO	10.85	10.40

Fund (SYM)	NAV	Prem	12 Mo
	Close	/Disc	Yld
Nuv Muni Credit Income	NZF	12.35	11.76
NuvMuniHilncOpp	NMZ	10.25	10.20
Nuveen Muni Val	NUV	8.93	8.52
Nuveen Quality Muni Inc	NAD	11.75	11.16
Nuveen Sel Trf	NXP	13.99	13.97
NYU Macqay DT Fund	MMD	15.75	14.60
PIMCO MuniIncl	PMF	8.39	7.89
PIMCO MuniIncl	PML	7.82	7.34
Pimco Muni III	PMX	7.20	6.77
PioneerHilncAdv	MAV	NA	8.25
PionrMuniHilncOppy	MIO	NA	11.74
PioneerMuniHilcm	MHI	NA	9.09
Putnam Mgd Inc	PMI	6.39	5.87
Putnam Muni Opp	PMO	10.80	9.77
RiverNorth Flx Muni Incl	RFMZ	13.99	12.59
RiverNorth Mgd Dur Muni	RMW	14.71	13.36
Western Asset Mgd Muni	MMU	NA	9.88

Single State Muni Bond

BlackRock CA Muni	BFZ	11.61	10.78	-7.1	6.5
BRMH CA Qly Fd Inc	MUA	11.37	10.25	-9.1	6.0
BR MH NY Muni	NYM	12.03	10.79	-10.3	5.7
BR MH NY Qly	MHN	10.82	9.65	-10.8	6.0
BR MuniYld M Qly	MYM	11.92	11.02	-7.0	6.1
BR MuniYld M Qly	MYN	10.45	9.41	-10.6	5.1
BR MuniYld PA Qly	MPA	11.80	10.72	-9.2	7.3
BlackRock NY Muni	BNA	10.73	9.62	-10.3	7.0
Eaton Vance NB	EBN	NA	9.25	NA	5.6
EVCA Muni	BV	NA	8.74	NA	5.4
InvCalValMunlcr Tr	VCV	9.99	10.14	+1.5	7.5
InvValMunlcr Tr	VVP	10.62	9.88	-7.0	8.0
InvTrInvGrnYulM	VTK	10.71	10.13	-4.4	8.1
Nuveen CA AMT-F Qual M	NKX	11.71	11.48	-2.0	7.7
Nuveen CA Val	NCA	8.89	8.46	-4.8	4.1
NuveenCAQlyMunlc	NAC	11.22	11.04	-1.6	8.0
NuvNJ Qual Muni Inc	NXJ	12.27	11.25	-8.3	8.3
Nuveen NY AMT-Fr Qual M	NRK	10.48	9.76	-6.9	8.4
Nuveen NY Val	NNY	8.58	8.06	-6.1	4.2
Nuveen NY Qual Muni	NAN	11.06	11.27	+1.9	7.6
Nuveen NY Qual Muni Inc	NPV	11.93	11.03	-7.5	8.4
Nuveen VA Qly Muni Inc	NPV	11.11	11.19	-0.7	7.1
PIMCO CA	PCQ	9.37	8.43	-10.0	5.1
PIMCOCAMunlcr	PCK	5.98	5.32	-11.0	4.8
PIMCO CA Muni II	PZK	9.96	6.14	-11.1	5.7

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FINANCIAL ANALYSIS & COMMENTARY

Israel’s Markets Signal Confidence

Amid the Iran war, renewed investor optimism is lifting Israeli stocks and currency

Iranian ballistic missiles are raining down on Tel Aviv and Haifa. Israel’s main airport is shut. Much of the workforce is moving in and out of bomb shelters. For most countries, such a wartime scenario would send investors fleeing and markets tanking.

Yet the opposite is happening. Israeli markets are buoyant, outperforming the world. Israeli stocks, which trade Sunday through Thursday, have been posting solid gains. The TA-125 Index, also known as the Tel Aviv 125 Index, rose for five straight sessions as of the end of last week, even as global markets tread cautiously amid the specter of a prolonged Middle East war. It rallied again on Sunday after the U.S. strikes on Iran’s nuclear facilities.

What is going on?

Partly this can be explained by the familiarity of local investors with war. But markets are also signaling renewed confidence in Israel’s position and strategy—and Donald Trump’s decision to strike Iran’s nuclear sites has only strengthened that perception.

Much of Israel’s capital market is domestically held. After years of periodic conflict, local investors have learned that war rarely knocks the economy off course for long. For them, selloffs are often buying opportunities. Markets have tended to rebound quickly after recent conflicts.

Indeed, despite mass mobilization of reservists and fighting on several fronts, Israel’s economy has remained remarkably resilient since the Gaza war began nearly two years ago. The economy is still growing, and unemployment remains near multidecade lows of around 3%—though that figure partly reflects a recent shock to the labor supply after the departure of foreign workers and the revocation



of work permits for many Palestinians. The budget deficit has widened from prewar levels, but overall the economy is holding up, says Rafael Gozlan, chief economist at IBI Investment House in Tel Aviv.

An investor who bought Israeli stocks on the eve of Oct. 7, 2023, would have fared better than one who picked the U.S. market. Between the surprise Hamas attacks that prompted the start of the Gaza war nearly two years ago and Israel’s strike on Iran on June 12, the TA-125’s total return including dividends was about 46%, compared with a 40% gain for the S&P 500, according to FactSet data.

But the latest rally suggests something more is afoot. Investors aren’t just buying the dip. The TA-125 is up about 8% since the Israel-Iran war began, compared

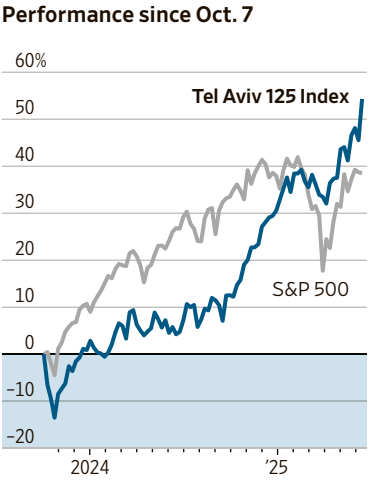
with a small decline for the S&P 500. It isn’t just equities: The shekel has strengthened against the dollar and the euro, while government bonds are holding steady.

It appears investors are betting that Israel’s strikes on Iran will deal a crippling, if not decisive, blow to the regional axis linking Tehran to Hezbollah and its other proxies. A decision by the U.S. to strike three of its nuclear sites late Saturday, joining Israel’s attacks, risks further regional escalation. On Sunday, Iran fired a new barrage of missiles at Israel, with injuries and damage reported in major cities like Tel Aviv. Still, the TA-125 gained over 1%.

That might seem like a bold call. But Israel’s security landscape has shifted dramatically over the past 20 months. Before Oct. 7, it faced

threats on several fronts: Hamas in Gaza, Hezbollah’s vast missile stockpile in Lebanon, potential for unrest in the West Bank, and Iranian use of Syria as a land corridor. Today, Hamas has been weakened, Hezbollah has been set back, the Assad regime has been replaced by an Iranian adversary, and Iran’s military and nuclear infrastructure has been badly damaged by surprise Israeli airstrikes and intelligence operations.

Investor optimism, Gozlan says, initially surged after Israel caught Hezbollah off guard in a surprise operation that culminated with the killing of its leader, Hassan Nasrallah, last year—and again after the recent strike on Iran. In short, Israel’s military actions have reduced what investors call its risk premium, or the amount



Source: FactSet

Israeli stocks, which trade Sunday through Thursday, have been posting solid gains.

that geopolitical risks are priced into its assets. That could pave the way for more foreign investment once the dust settles, Gozlan says.

It may prove too early to assess the extent of Israel’s achievements. On Friday, the Israeli military’s chief of staff, Eyal Zamir, warned that Israel must be prepared for a “prolonged campaign.”

And there is no clear endgame. Iran’s regime could survive—and decide to quietly rebuild its nuclear program or revive its support of proxy groups in the region. Perhaps even more consequential for Israel’s society and economy, the unresolved Palestinian conflict remains and is a source of much international opprobrium.

Experts will continue to debate the merits and consequences of the war. But for now, Israeli markets are delivering a clear verdict: that Israel’s security posture is on the brink of lasting improvement.

—David Wainer

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